

Part 5

HOW DO WE “KNOW” THIS? INTUITION AS AN OUTGROWTH OF EXPERIENCE

*Strange bedfellows: intuition
and analysis as partners in the
strategic learning process*

*All human knowledge begins with intuitions. Proceeds thence
to concepts and ends with ideas.*

– Immanuel Kant (1724–1804), German philosopher



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Intuition as a must-have for learning to think strategically

Anton is a hedge fund whiz. At just 25 years of age, he has such a feel for numbers that big names from all over the financial world want to run their ideas by him. Once they get Anton's nod, they move forward with a plan. In spite of enormous amounts of data, he knows precisely what to focus on. He can sift and filter volumes of information and figure out what is relevant, highlight key points, and prioritize in minutes. Although he dropped out of graduate school, he had lots of experience in analyzing numbers while helping his dad and uncle run a small investment business and while working as a trader for two years. He has learned to trust his gut to such a high degree that he can listen to analytic reports and in 15 to 30 minutes "know" his decision. No need for detailed explanations. His experience allows him to see what he needs, interpret, and decide in a flash. This makes Anton seem almost supernatural to his colleagues. He relies on his judgment, and everyone else envies it. His bets are on, and he rarely loses.

With strategy, everything hinges on decision making. Since we are often not fully aware of how our experience influences our ability to learn to think strategically, or not fully aware of how we learn informally, a closer look at intuition in the strategic decision-making process is useful.

Part 5 is divided into two chapters. Chapter 12 focuses on tacit knowledge and intuition as imperatives to strategic decision making. It also looks at the strong influence of intuition on pattern recognition and framing, and provides an overview of reflection *in* and *on* action. Furthermore, this chapter examines the complementary roles of analysis and intuition; it considers how intuition is a balance for analysis and how analysis provides a check for intuition in strategic thinking. Chapter 13 considers the effect intuition has on strategic decision making and coordinating intuition and analysis as we learn to think strategically.

There are two premises underlying this part on intuition. The first is that intuition guides strategic thinking, although this does run counter to what traditional strategy development approaches teach. The second is that intuition and analysis are complementary in the strategic thinking process, which is similar to the more expansive notion of strategy making offered by the ancient Greeks.

In my practice, I often notice that merely uttering the word *intuition* can make strategic planners grimace and unseasoned strategists squirm, because the term seems to conjure images of some kind of mystical daydream or worse. But among successful strategic thinkers, intuition is a familiar and comfortable concept, although it is an experience that is rarely articulated. Bringing intuition into the strategic thinking process simply requires paying attention to another way of knowing that can facilitate learning to think strategically.

Intuition is a natural outgrowth of experience and a vital component of learning to think strategically. The term *intuition* derives from the Latin *intuir*, or knowledge from within. Philosophy professor and intuition researcher Massimo Pigliucci notes that:

*Intuition works in an associative manner: Even though it feels effortless and is fast. Rational thinking on the contrary is analytical, requires effort, and is slow. . . . Intuitions get better with a lot of practice – because at the bottom intuition is about the brain’s ability to pick up on certain recurring patterns.*¹

Intuition researcher Gary Klein formulated a theory of intuitive decision making called the recognition-primed decision (RPD) model, based on his extensive research on decisions made by firefighters and medical emergency providers. In *The Power of Intuition*, Klein notes that “the evidence is growing that those who do not or cannot trust their intuitions are less effective decision makers, and that as long as they reject their intuitions, they are destined to remain less effective.”²

We may mistrust intuition, in the belief that it springs from emotion as opposed to reason, but intuition does not come from emotion.³ It is a highly complex process based on thorough understanding of a situation. Intuition draws from a vast reservoir of knowledge in our subconscious and is rooted in past experience – by no means is it an irrational process.

Several areas of strategic thinking are particularly relevant to intuition. I am advocating the type of *deliberative rationality* that Bert and Stuart Dreyfus described in their book *Mind Over Machine*:

*The . . . split between the mystical and the analytic will not do . . . for neither pole of that often misleading dualism names the ordinary, non-mystical intuition that we believe is the core of human intelligence and skill. . . . Analysis and intuition work together in the human mind.*⁴

1 Pigliucci, *Answers for Aristotle: How Science and Philosophy Can Lead Us to a More Meaningful Life*.

2 Klein, *The Power of Intuition*, 5.

3 The following three interesting articles are directly related to intuition and decision making: Agor, “The Logic of Intuitive Decision Making: An Agenda for Future Research”; Ray and Myers, “The Role of Intuition in Strategic Decision Making”; Vaughan, “Varieties of Intuitive Experience.”

4 Dreyfus and Dreyfus, *Mind Over Machine: The Power of Human Intuitive Expertise in the Era of the Computer*, xiv.

Among the executives with whom I am privileged to work, I have found that while intuition is a driver, analytical thinking is also a necessity for anyone learning a new skill. Bert and Stuart Dreyfus also contend that analytical thinking is good for scrutinizing data and information for validity, reliability, and accuracy.

It is also useful at the highest levels of expertise, where it can sharpen and clarify intuitive insight. . . . Detached deliberation and intuition need not be viewed as alternatives, as is all too often [the case] in simplistic treatments.⁵

In the strategic thinking process, intuition and analytical thinking are very much complementary parts of the whole. As Carl Jung noted: “Intuition does not denote something contrary to reason, but something outside the province of reason.”⁶ This concept is as the ancient Greeks defined strategy, not as competing parts, but as a whole.

I find that corporate strategists are often overwhelmed by strategic decision making, which involves constantly changing information, uncertainty, incomplete data, and things beyond their control. Experienced strategists, as well as strategy novices, know from their experience that there are limits to the rational linear approach when dealing with such a complex endeavor as strategy. As a consequence, strategists also seem to tacitly know about the iterative and generative process that is fundamental to strategic thinking. Good strategic decision makers notice and think while they are in the process of managing complex and high-stakes situations – they register subtle cues without even realizing it. Decisions are made subconsciously, before they even begin their analysis. What explains this, and how can this process be used to facilitate strategic thinking?

Our intuition is based on accumulated and compiled experience.

Strategic thinking includes continuous decision making; therefore, learning to think strategically can be enhanced by understanding how our intuition influences our ability to make choices. Daniel Kahneman’s research has led him to an explanation about how this occurs, as he notes that, “a tentative plan comes to mind by an automatic function of associative memory. . . . The next phase is a deliberate process in which the plan is mentally simulated to check if it will work.”⁷ Our intuition is based on accumulated and compiled experiences. Solid intuition is like solid data – it is neutral and free of interpretation or evaluation.

5 Dreyfus and Dreyfus, *Mind Over Machine: The Power of Human Intuitive Expertise in the Era of the Computer*, xiv.

6 Jung, *Modern Man in Search of a Soul*.

7 Kahneman, *Thinking, Fast and Slow*, 236.

In learning to think strategically, we should not blindly follow our intuition, because intuition can be unreliable and requires monitoring. Yet, we should not suppress our intuition either, because it is essential to our decision making and cannot be supplanted by analysis or procedures. We rely on intuition to make all kinds of judgments related to strategy. Thus, a highly competitive option is to strengthen intuition so that it becomes more accurate and provides us with better insights.

One Japanese finance executive whom I interviewed insisted:

Thinking about strategy is not a “task” – it is about what you think and feel and believe and how you react . . . and don’t try to separate your feelings from your thinking – I don’t understand how that helps anyone because it is not possible to do. But many people try only to think [without feeling] when they make strategy. It’s a mistake.

As any strategist knows, there is a big difference between an informed and uninformed gut feeling.⁸ We want to avoid impulsive actions and make decisions based on informed intuition. Luckily, skillful intuitive decision making can be learned. Intuition skills can be acquired and expanded by building a richer experience base and putting the skills to better use. We are not born with good judgment skills, just as we are not born as good skiers, skaters, or swimmers. Similarly, the kinds of know-how and judgments that successful, seasoned strategists make also require tremendous energy and work. Such strategists have to build up an experience base that lets them accurately size up situations and know how to respond. The better we understand situations and the more expansive our experience base, the more polished our intuitive skills become.⁹

Tacit knowledge

When we are engaged in the spontaneous, intuitive thinking of strategy in everyday life, we demonstrate our knowledge in a particular way. But when we try to describe it, we often find ourselves at a loss. Our knowing is often tacit, implicit in our patterns of action and in our feel for the stuff with which we are dealing. Our knowing is in our action. The role that tacit knowledge plays in strategic thinking is often underestimated and ignored.

The term *tacit knowledge* connotes knowing in action, or what is commonly called *know-how*. The tacit knowledge of a prima ballerina, for example, is embedded in and revealed by the way she glides across the stage – her knowing is demonstrated in her graceful action. Similarly, a professional tennis player’s tacit knowledge is in directing his serve to an opponent’s weak spot, or rapidly changing his pace.

⁸ Ariely, *The Upside of Irrationality*.

⁹ Duggan, *Strategic Intuition*.

SCENARIO

At the recent International Business Development Meeting of an American fast food corporation, everybody was ecstatic: HQ had just made their decision known. It's a green light – we are going to Kazakhstan.

Rob Miller, VP of International Marketing, started distributing files to the attendees. He said, "Here, in your document binders you will find all the relevant findings – marketing research, pedestrian and car traffic patterns, parking space availability, statistics, census data, income, and family size data. You will also find offers for several sites which fit our size requirements – with an entire chapter building conversion costs along with exhaustive data on what the buildings were used for before, the background on the previous owners, and so on. And please consider how big of a space we'll need for future expansion. Also, there are several pages covering surrounding businesses, types of neighborhood restaurants, and competitor's analysis, as well as crime reports for the areas where we hope to open our very first restaurant in Kazakhstan."

Extensive marketing research was done. Rob continued to elaborate by saying, "We will also have to address the geography: Shall we locate in the largest city, Almaty, with a population of 1.5 million, or the present-day capital of Astana, with 800,000 people?"

Team members started to enthusiastically dig into the wealth of data contained in their binders. Curiously, Rob noticed that Peter Frank, a new PR guy, hadn't even opened the binder; looking instead at Rob with a silent question and a twinkle in his eye.

"Hey Peter, so you don't care that much about the windy steppes of Kazakhstan?"
 "Just the opposite, Rob. I've just spent four years teaching in Astana – I loved the place. Nevertheless, with all my due respect, I believe we will have to think past demographics and dig deeply into psychographics. I'm afraid most of the otherwise useful information in the binder is irrelevant for a rather straightforward decision on the site for our first restaurant in Kazakhstan. It's all about location, location, location. In a still rather feudal state with strong authoritative rule, I can tell you that the flagship restaurant will have to be within a stone's throw of the Presidential Palace and his offices in the capital. This is the kind of foot traffic we are mostly interested in for our first flagship restaurant."

Rob was taken aback; how did Peter come to this conclusion without so much as a peek at our compiled data?

Tacit knowledge is not about the know-how in the rules or detailed plans of the action that we entertain in our mind prior to action; tacit knowledge is a kind of knowing in the action. Tacit knowledge is not to be confused with either luck or some "gift." Tacit knowledge comes from accumulated and acquired success experience, disciplined skills, knowledge, and extraordinary amounts of focused practice. The fact that tacit knowledge becomes spontaneous, like a sixth sense, deceptively, makes it appear to happen easily.

Although sometimes we think before acting or deciding, spontaneous decision making does reveal a kind of knowing that does not stem from a prior intellectual

operation. This decision making comes from a tacit knowledge that we accumulate through successful repetition. Tacit knowing is partly intuitive and is triggered by our feelings and affective responses. Also, tacit knowing draws from exceptional mastery of disciplined techniques that have become automated.

When a professional tennis player has a “feel for the ball,” this knowing lets her repeat the exact same tactic she used previously that proved successful. Her repetition is her acknowledgment that she has been doing something right, and her “feeling” allows her to do that same thing over and over again. This process requires reflection on her own patterns of action and on the situations in which she is performing. She may reflect *on* action and occasionally *in* action. Numerous theorists point out the limitations of technical rationality and explain how we think on our feet, or just know what to do, based on our tacit knowledge and habits of acting.

Learning theorist Donald Schon notes:

*We learn to execute such complex performances as walking, skipping, riding a bicycle, skiing without being able to give a verbal description even roughly adequate to our actual performance. Indeed, if we are asked to say how we do such things, we tend to give wrong answers, which, if we were to act according to them, would get us into trouble.*¹⁰

Every competent strategist can recognize groups of “normal” patterns associated with a specific market, peculiarities of a certain kind of organizational structure, or irregular patterns of data – for which he cannot give a reasonably accurate or complete description.

Good strategic thinking requires an awareness of tacit knowledge. Every competent strategist can recognize groups of “normal” patterns associated with a specific market, peculiarities of a certain kind of organizational structure, or irregular patterns of data – for which he cannot give a reasonably accurate or complete description. Amidst day-to-day operations, a strategist makes innumerable decisions, but cannot state specific criteria used in those decisions. A seasoned, successful strategist demonstrates skills for which he cannot state the rules and procedures. Even when making conscious use of research-based theories and techniques, seasoned strategists rely on tacit recognitions, judgments, and skillful past experiences. In other words, the strategist operates automatically because of

10 Schon, *Educating the Reflective Practitioner*, 24.

trusted intuition, due to a vast repertoire of successful experiences, but she also has the capacity to pause and critically reflect.

SCENARIO

John Bright, an American President of a Russian American automotive joint venture, was puzzled and a bit annoyed by the unbridled enthusiasm of his marketing and PR guys regarding some articles in the local papers. According to the local media, the SUV that was manufactured by the joint venture was reportedly the number-one choice of Russian car thieves.

"This is fantastic news! Our car is the most popular SUV in the country. Russians love our car so much that they are ready to steal it in order to satisfy their yearning for a great piece of American automotive engineering. We must come up with a marketing campaign built around this unexpected development." This was the battle cry of John's international team.

As much as John respected the opinion and ideas of his marketing team, his gut feeling told him that there was something wrong with this picture. If nothing else, the five years that John spent working in China before coming to Russia taught him a very important lesson – trust your gut feeling and intuition – things were very often not exactly what they appeared to be. The intuitive skills he developed in China happened to be easily transferable and extremely helpful when he transferred to Russia.

To get to the bottom of the matter, John shared his concerns with Alex, his trusted outside consultant, and asked him to analyze the phenomenon. In a couple of days, Alex barged into John's office grinning and holding a bunch of documents in his hand. "Well, John, I guess that we both believe the local economy is still a work in progress. But at least Russians have mastered the fundamentals. Clearly, they understand supply and demand – the local car thieves, I mean."

Alex continued, "Your Russian joint venture partners are solely responsible for the manufacturing and distribution of the car's spare parts. And according to the documents that I have here, they practically stopped spare parts manufacturing in the last six months – it's not very profitable, they say. So, your cars are being snatched off the streets for spare parts: destination – the chip-chop shops in the suburbs."

The next morning, John stopped operations at the automotive plant's assembly line – an unheard of, potentially volatile, and decisive course of action. "I don't manufacture cars without providing maintenance services and spare parts supply," explained John.

Once again, his intuition had not failed him. It had served him well. A couple of hours later, he received a phone call from the office of the country's president.

Tacit knowledge can be a source of sustainable competitive advantage because it is impossible for competitors to imitate and difficult to substitute. For that very reason, it is incredibly valuable. Or, as literary master T.S. Eliot once offered, "Talent imitates, genius steals."

The intuition factor and framing

What role does intuition play in our making strategic thinking decisions? Intuition is what allows us to recognize patterns and frames that we use as part of strategic decision making. Interestingly, we recognize patterns primarily through a process based on intuition.

A pattern is a set of cues, which usually appear together, so when we see a few of the cues, automatically, we expect to find the others. In other words, a pattern is any repeatable concept, thought, or image whose repetitions together make up an approach to a problem, a way of looking at things. A pattern is a repeatable sequence of neural activity.

A particular viewpoint may develop gradually over time. An idea that was beneficial at one time, however, may not be useful today; and yet, the current idea may have developed directly from the outdated idea. A pattern may develop in a specific way because the pattern was derived from the combination of other patterns. In organizations, we tend to form patterns based on partial, inaccurate, or incomplete information – snapshots of our condition. However, if all the information had been available at one time, the pattern would probably appear quite differently.

Patterns persist because their sequences are useful and sufficient to our frames, but if we allow ourselves to pause and step back from the sequence, we might be able to imagine a restructuring of that pattern and create something quite different or even better. Once experienced intuitive strategists see a pattern, any decision they have to make is usually obvious. Following patterns can be enormously useful when we are dealing with day-to-day decisions that occur in rapid succession, when we are under pressure, or when we are dealing with a scenario that includes a lot of inconclusive or uncertain information. We need to be able to filter and sift rapidly. Intuitive pattern recognition is how we do this.¹¹

Pattern recognition can take place in a split second and without conscious thought. Because this process is rapid and not conscious, we are rarely aware of how we arrived at an intuitive judgment, which is precisely why it seems mysterious to us. Even if the situation is not identical to what we have seen before, we can recognize similarities with past events, and automatically “know” what to do, without deliberately having to think through the options. When we recognize a pattern, we familiarize ourselves with a situation. We have a “feel” for what will work and what will not. Basically, at this point our decision making becomes intuitive.

Formal analysis can be valuable to supplement intuition, but it cannot substitute for intuition when it comes to complex strategic decisions.

11 Ariely, *The Upside of Irrationality*.

Very large repertoires of patterns that have been acquired over years of practice enable successful strategists to make good decisions using intuition. Without these patterns and without this experience base, strategists would be paralyzed as strategic decision makers. The formal methods of analysis are not enough, even when applying the fastest and most advanced computers to crunch all the numbers. Strategic analysis serves to generate testing, challenging, reflecting, and acting on the intuitive hunch. Formal analysis can be valuable to supplement intuition, but it cannot substitute for intuition when it comes to complex strategic decisions.

Research studies show that executives use intuitive pattern recognition to create mental simulations in order to imagine how a scenario might play out. In order to recognize the framework in which we are playing out our scenario, we need to learn to stop the automatic process.¹² Truly innovative strategic thinking is not about playing out new patterns in existing frameworks but, rather, about creating new frameworks and different patterns within these new frameworks. Daniel Kahneman's research has led him to conclude that it is "far easier said than done, [as] our mind tends to make up narratives about the past as a way of making meaning."¹³ These narratives are placed within frames that can stubbornly resist shifting and shattering.

When we think strategically, we need to be mindful of pattern recognition as an automatic process of making sense. However, problems emerge when we expect to see a certain pattern and are blinded from seeing anything else. We must judiciously monitor ourselves by making sure we can and do switch off our autopilot from time to time, and deliberately set out to test and challenge the patterns we notice and the meanings we attribute to these patterns. This monitoring is our strategic thinking advantage. An inability to recognize our patterns can get us locked into constructing strategy based on false or irrelevant assumptions.

We know intuitively what cues are going to be important and need to be monitored. We "know" what types of results we "should" be able to accomplish. We have a sense of what to expect next because of our patterns and frames of reference. So detailed and habitual are our patterns that they include routines for responding and *action scripts*. If we recognize a situation as typical, we can recall the typical ways to react. These nearly instantaneous recollections are our hunches about what is really going on and how we determine what we should do about it.¹⁴

Figure 13.1 illustrates the process of intuitive pattern recognition and framing that we typically and automatically use in strategic thinking.

Just as we see a new problem as a variation on patterns in the old one, so our new problem-solving actions and decisions are a variation on the old. Just as we are unable at first to articulate the relevant similarities and differences of the situations, we struggle to articulate the similarities and differences of our

12 Hogarth, *Educating Intuition*.

13 Kahneman, *Thinking Fast and Slow*, 202.

14 Glöckner and Witteman, "Beyond Dual-Process Models: A Categorization of Processes Underlying Intuitive Judgment and Decision Making," 1–25.

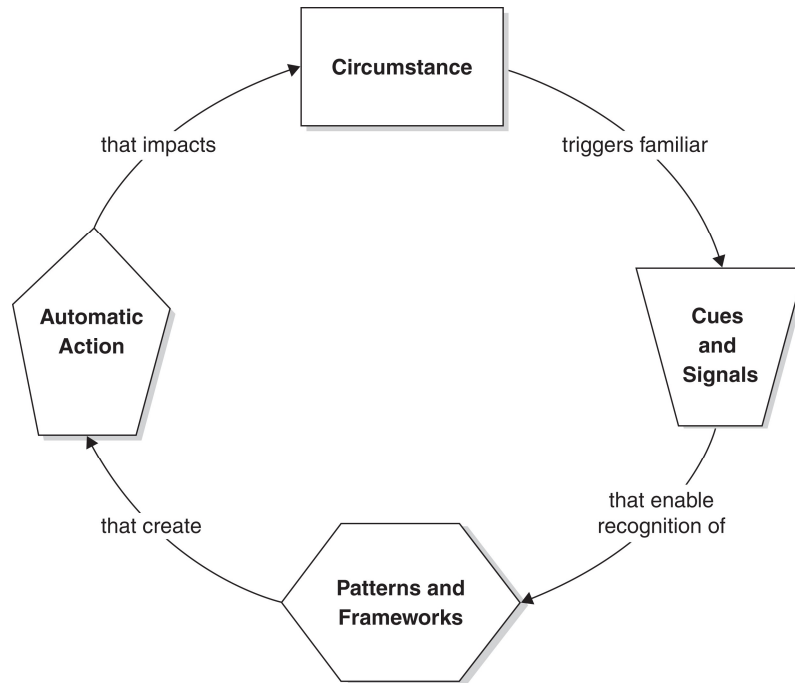


FIGURE 13.1 Intuitive pattern recognition and framing process that occurs in strategic thinking

problem-solving procedures. Indeed, the whole process of “seeing as” before and “doing as” before may continue without conscious verbal articulation.

Our capacity to see unfamiliar situations as familiar ones and to decide and act in unfamiliar situations as we have done in familiar situations enables us to bring our past experience to bear on a unique situation.

Our capacity to see unfamiliar situations as familiar ones and to decide and act in unfamiliar situations as we have done in familiar situations enables us to bring our past experience to bear on a unique situation. Our capacity to “see as” and “do as” allows us to have a “feel” for problems that do not fit existing rules. This capacity rests on the range and variety of the repertoire that we bring to unfamiliar situations. Because we are able to see these new and unfamiliar situations as elements of our repertoire, we are able to make sense of the uniqueness of unfamiliar situations and need not reduce them to instances of standard categories.

Rational and a-rational thinking

The differences between *rational linear thinking* and *a-rational thinking* are fundamental to learning strategic thinking because we utilize both. The processes are, however, quite distinct. One is not more effective than the other for learning to think strategically, but rather, both are necessary, and we must realize their differences in order to be able to use both effectively.

Rational, linear thinking is selection by exclusion. We work within a particular frame of reference and toss out what is not relevant. With a-rational thinking we realize that a pattern cannot be rearranged from within itself, but only as a result of some external influence. The frame is perceived as an impediment. We attempt to discard the frame to disrupt the pattern by means other than rational, logical, linear thinking. Part of the frame-shattering process is to invite outside influences and to embrace their provocation as a support to divergent and deep-divide thinking.

Developmentally, there may be situations that require an emphasis on strengthening the rational linear thinking process, while other situations may call for a focused approach to learning a-rational lateral thinking.

Intuition is the way we translate our experiences into judgments and decisions. Intuition is our ability to make decisions by using patterns to recognize what is going on in a certain situation and to access the typical way to react.¹⁵ We use our experience to recognize and determine what to do and how to respond.

When strategists fail to recognize or respond to patterns in value conflicts, violate their own ethical standards, fall short of self-created expectations, or ignore public problems they have helped to create, increasingly, they are subject to expressions of disapproval, failure, and ineffectiveness. These important areas of strategic thinking stretch beyond the conventional boundaries of rationality, logic, and analysis. They call on us to draw on a “feel” or a “sense” about the problem that doesn’t fit our existing rules. Our a-rational processing becomes eminently important. This processing includes the skillful judgments, decisions, and actions we make tacitly and intuitively, without being able to state the procedures or rules that we follow.

The successful executives whom I interviewed spoke of vacillating back and forth between rational and a-rational thoughts without any concern. Each had a well-developed intuitive sense of the situational appropriateness required for using rational and a-rational thinking. This characteristic comes from successful intuitive practice. When we look at data, an adept strategic thinker will question whether anything in the picture is unusual. We need to imagine new patterns even when the old patterns are very vivid. The reframing problem shows that our intuition is fallible. Even when intuition is based on expertise, we may still have overlooked something important. Too often, experienced strategists can fall into

15 Hilbig, Scholl and Pohl, “Think or Blink – Is the Recognition Heuristic an ‘Intuitive’ Strategy?”

a routine that blinds them to new possibilities.¹⁶ The habit of critical reflection is essential for breaking through this barrier of expertise.

Reframing a strategic issue relies on our ability to identify our habits of mind, challenge what we “know,” and become aware of our intuitions. Just because intuition is fallible does not mean that we cannot make good use of it. Our eyes are not perfect; they blur and have blind spots, and they often require lenses to correct for distortions. Yet we don’t reject the information we receive from our eyes. So, too, we need not refute what we learn through our intuition. We need to pay close attention to our intuition and cultivate it with the same degree of seriousness that we give to analysis. As common sense would suggest, intuition researcher Philip Tetlock reminds us, “Experts are just human in the end. Experts are led astray not by what they believe, but by how they think.”¹⁷

Noticing “red flags”

What makes us tune in to the alarm bells or recognize the red flags waving in front of our faces? Our intuition. Built up through repeated experiences that we have linked together unconsciously to form a pattern, our intuition endows us with a sense of familiarity – “Yes, I’ve seen that before!” Pattern recognition explains how we can make effective decisions without conducting a deliberate analysis. Regardless of the business or functional area in which we make strategy, we accumulate experiences and build up a repertoire of recognized patterns. The more patterns we learn, the easier it is to match a new situation to one of the patterns in our repertoire. When a new situation occurs, we recognize the situation as familiar by matching it to a pattern we have encountered in the past.

For example, at a quarterly meeting in Jakarta, Tobo, a discerning Indonesian, hears the global strategy team suggest trucking the company’s product across the country. Quickly, Tobo sees a *red flag* waving as a cue that there could be problems with security. By transferring his knowledge from previous logistical efforts in the country and assessing the variables therein (e.g., time, place, people), Tobo “gets it.” Without pausing or thinking, he grimaces and abruptly redirects the conversation to alternative transport options because he “knows” the danger signs.

Pattern recognition explains how we can make effective decisions without conducting a deliberate analysis.

¹⁶ Kahneman, *Thinking, Fast and Slow*.

¹⁷ Tetlock, *Expert Political Judgment: How Good Is It? How Can We Know?*

SCENARIO

While scouting for a new and more economical plant facility, Nicholas reviews the demographic data of a fairly desolate region of Romania and zooms in on its 70 percent unemployment rate among 18- to 50-year-olds in eight surrounding villages. Also, he notes that the average education level is fourth grade. A warning light flashes in his mind, and within minutes he dismisses this region outright as a potential site for a new commercial container assembly plant because he can read the writing on the wall – disaster!

As the global chief operating officer of a commercial container manufacturing company, his gut feeling is that operating costs will be sky-high. Expats will have to be cajoled to join his team as supervisors and top managers, local staff training will nibble chunks out of the budget, and equipment replacement costs will be exorbitant because everything will “grow legs” and walk away. He knows that a bribe cache will need to be replenished constantly to appease the local government officials, not to mention that there will be drugs, crime, theft, lack of loyalty, and a deplorable work ethic. Nicholas “knows” the rest of the story because he grew up in Romania and witnessed four similar assembly plant mistakes (against his advice) as chief operating officer of his previous company. He sees the data, recognizes a familiar pattern, and makes a negative judgment in a matter of minutes.

Across the table from Nicholas sits Chiho, who cannot believe what she is hearing. These same data make her salivate! She had championed the company in its business development initiatives with tremendous success in Vietnam. She has scrutinized these data, not just zoomed in on a couple of points. The region looks like a dream to her – no competitors, a captive recruitment ground, eager and appreciative employees, no distractions from work, no labor unions, rock-bottom operating costs, and an opportunity to contribute to the future of the region.

The company heeded Nicholas’s gut feeling and decided to postpone a decision while it studied other options. Within months, a competitor set up shop, only to find itself involved in a nightmare of tangled expenses and crime. The operation closed up shop one year later.

This scenario reminds us that executives from different countries and industries recognize very different patterns as a result of their unique repertoires of experience, culture, and education. Needless to say, these differing viewpoints can complicate strategy sessions when people see the same data in different patterns, different patterns from the same data, or the same patterns from different data. Although a certain pattern may be a red flag to one person, the pattern may not even register with another. Knowing that patterns may be understood differently requires us to identify and explicitly articulate the patterns we see, as well as the assumptions we make about them, through critical reflection and dialogue. Bringing people from other socio-national, functional, and corporate cultures into strategy making ensures that we get some degree of variation in the interpretation of data because, unconsciously, we all bring along our patterns and frames.

Even the most experienced executives can make the mistake of assuming that their colleagues see the patterns that are so obvious to them. The ability to detect patterns is simple and, as such, is easy to take for granted and difficult to learn. Therefore, it is critical that we challenge ourselves as much as we challenge others to carefully describe, listen, and see patterns. Differences in pattern recognition can be as important as similarities when creating winning strategies.

Challenging through reflection *in* action and reflection *on* action

What distinguishes reflection *in* action from other kinds of reflection is its immediate and perceivable impact. Interestingly and subtly, when we define the scope and breadth of our strategy, we choose the focus of our attention and we name the things we will notice. Generally, when we examine a strategic issue, we tend to repeat the familiar patterns and frames we have acquired through our experience, simply out of habit. Reflection in action requires that by naming and framing we select things for attention and organize these things in the moment; doing this can alter meaning and suggest a new direction.

Reflection in action, based on Donald Schon’s work on reflective practice, is a process consisting of “on-the-spot surfacing, criticizing, restructuring, and testing of intuitive understandings of experienced phenomena.”¹⁸ Learning takes place when action is informed by reflection. Action and reflection are considered not as separate concepts, but as parts of a single process by which we become aware of our underlying assumptions, reflect on our initial understanding of the problem, and develop new ways of defining problems. Reflection in action implies that we learn as we define and implement new strategic decisions and action.

As Schon sees it:

*When someone reflects-in-action . . . [h]e does not keep means and ends separate, but defines them interactively as he frames a problematic situation. . . . [H]is experimenting is a kind of action, implementation is built into inquiry. [Therefore] reflection in action can proceed, even in situations of uncertainty or uniqueness, because it is not bound by the dichotomies of technical rationality.*¹⁹

If we can place technical, analytical traditional problem solving within a broader context of reflective inquiry, then strategic thinking will be enriched greatly.

¹⁸ Schon, *The Reflective Practitioner*, 241.

¹⁹ Schon, quoted in Mezirow, *Transformative Dimensions of Adult Learning*, 104.

With regard to strategic thinking, reflection in action has a critical function in questioning and identifying the assumptions underlying our tacit knowledge or knowing in action. In other words, we think critically about the thinking that got us into a predicament or presented us with an opportunity. In the process, we may restructure a sequence of action, re-create the meaning, or devise a new way of framing problems. We begin to ask: “What else could I do?” or “How else could I see this?”

Through reflection in action, we can slow down or suspend the process and actively diverge our patterns and frames. We can broaden and deepen our views and intentionally distort the familiar in order to explore and create, because we frame strategic problems in different ways according to various perspectives.

For these reasons, the process of reflection in action is critically important when facilitating the learning of strategic thinkers. Questions about the legitimacy of reflective capacity and its relevance to strategy may dissipate once we understand how reflective capacity balances the analytical dimension of learning. If we can place technical, analytical traditional problem solving within a broader context of reflective inquiry, then strategic thinking will be enriched greatly.

Strategic problems are interconnected in complex ways. Indeterminate factors, such as uncertainty, ambivalence, contradictions, and value conflict, defy the basic tenets of technical rationality. What is necessary when making strategic decisions involving these factors is not only the analytic techniques, which have been traditional in strategic development but also the reflective action abilities. Reflection in action and reflection on action involve the natural process of learning decision making and problem solving in a way that fuses the cognitive and the affective dimensions of learning. As we can clearly see, reflection in action and reflection on action require extensive use of the deeper-dive domain of learning.

A further complication of reflection *on* action is that everything makes sense in hindsight. In his insightful book, *The Black Swan*, Nassim Taleb pointed out that

*our tendency to construct and believe coherent narratives of the past makes it difficult for us to accept the limits of our forecasting ability. . . . The illusion that we understand the past fosters overconfidence in our ability to predict the future.*²⁰

In his book *Thinking, Fast and Slow*, researcher and Nobel Prize winner Daniel Kahneman says:

*A general limitation of the human mind is its imperfect ability to reconstruct past states of knowledge, or beliefs that have changed. Once you adopt a new view of the world (or of any part of it), you immediately lose much of your ability to recall what you used to believe before your mind changed.*²¹

20 Taleb, *The Black Swan*, 218.

21 Kahneman, *Thinking, Fast and Slow*, 202.

The process of reflection in action is essential to dealing well with situations of uncertainty, instability, uniqueness, and value conflict. Western historical and cultural bias toward rational thinking blinds us to the a-rational process that is omnipresent in developing critical reflective capability. Our ability to learn to think strategically can therefore be thwarted if we do not learn to pay attention to the affective dimension of learning and to appreciate how this dimension impacts upon strategic thinking.

Phrases like “thinking on your feet,” “keeping your wits about you,” and “learning by doing” all suggest that we can, and sometimes actually do, think about what we are doing while we are doing it – when we reflect in action.

The element of surprise

Much reflection in action hinges on the experience of *surprise*. When intuitive, spontaneous performance yields nothing more than the results we expect, we tend not to think about it. But when an intuitive decision leads to surprises, whether promising or unwanted, we may respond by reflecting in action. Until this moment of surprise, we have been deciding and acting via autopilot. After the moment of surprise, we focus on what we have unintentionally created. In such processes, reflection tends to focus on the outcomes of action, the action itself, and the intuitive knowing implicit in the action. Very often, due to a surprise, and the inherent tension it brings, we are propelled to reflect on the understandings that have been implicit in our decision or thinking process or pattern. Due to the surprise, we are able to uncover assumptions, criticize, restructure, and reframe for further critical action.

Strategists often do think consciously about what they are doing – sometimes, even while doing it. Particularly when struck by surprise, they reflect back on action and on the knowing that is implicit in their decisions. For example, they may ask themselves: “What features do I notice when I recognize this incident as being familiar or dubious?” “What are the criteria by which I make this judgment?” “How am I framing the problem that I am trying to solve?” Generally, the aftermath of a surprise is when we look reflectively and introspectively on these opportune moments in an attempt to describe the tacit knowledge behind our action. Our descriptions of the surprise may vary, depending on our purpose and the language of descriptions available to us. We may refer, for example, to the sequence of operations and procedures that we execute or to the clues we observe and the rules we follow, or the values, hunches, and assumptions that underlie our reasons for action.

The sequence involved in the process of reflection in action resembles a breakdown outlined by learning theorist Donald Schon. Initially, we are involved in a situation where we take action spontaneously and routinely – using our autopilot response. This action reveals our tacit knowledge and is our way of framing a

problem appropriate to the situation. This knowing in action is spontaneously delivered without conscious deliberation. This sequence of pattern recognition works, providing intended outcomes, so long as the situation falls within the boundaries of what we have learned to treat as normal.²²

Next, a routine response produces an unexpected outcome – pleasant or unpleasant – that is incongruent with the categories of our tacit knowledge. This incongruence or surprise is what gets our attention, and our autopilot is interrupted. The attention we pay has significant implications for our ability to choose the focus of our critical reflection in strategic decision making.

Surprise provokes the final step, which is reflection in or on the present action. Reflection is, to some degree, conscious, although it need not be conveyed with words. We ask ourselves, “What is this?” or “What’s happening?” and at the same time ask, “How have I been thinking about it?” Our thought turns back to the surprising incident and, at the same time, includes our present thinking and feeling.

Honing our reflective capacity is essential because reflection serves as an important corrective technique – one that halts over-learning, interrupts complacency, and reduces over-reliance on our autopilot. Through critical reflection, a strategist can recognize and greet surprises as an opportunity to reveal and critique the tacit understanding that has developed around repetitive experiences of expertise and familiar habits of mind. Looking at surprises in this way can create a chance to make new sense of the situation and to look differently at uncertainty or uniqueness, which is an inevitable part of a global strategy environment.

Most often, these high-potential candidates are, essentially, placed firmly inside the corporate frame to learn its construction (i.e., the corporate way). Learning the corporate way is important for building a knowledge base and reinforcing the organizational culture, but frequently this learning is where the strategy-development process ends – and where the strategic thinking problem begins. These high-potential individuals learn the existing corporate frames and all of the subtle cues about changing those frames – or not.

Because of this socialization, these candidates may easily mistake strategic planning for strategic thinking. As a result, typically, they fail to adopt a habit of challenging the corporate frames and remain unclear about their strategic role: is it to maintain existing frames, or is it to truly shatter and reframe? Furthermore, rarely do these high-potential candidates take the time to familiarize themselves with their greatest strategic asset – their own unique frames. Without critical reflective ability, they cannot challenge and test their own frames, nor can they test the existing corporate frames on which strategy is currently made.

Unless frame testing occurs, the personal beliefs and assumptions of the high-potential individuals and those of the company are never made apparent. Granted,

22 Schon, *The Reflective Practitioner*.

this sometimes happens by chance, but luck is not the aim of this process. In order to create an innovative, adaptive, and sustainable strategy, these individuals must shatter deconstruct the existing frame (shatter it) and reconstruct it (reframe). Ultimately, those who succeed at strategic thinking understand, articulate, and test their own existing frames, as well as those of the company.

Roles of analysis and intuition in strategic decision making

“No more marketing research. No more focus groups. No more promotions and commercials – we’ve been sinking money in this black hole for a couple of years. No more. I should’ve trusted my gut feeling long ago!” That was the declaration made by Louisa Perez, the country manager of an American soft drink corporation operating in Venezuela, to her executive committee. For the first time in her life, she could not get answers to a problem from the research and analysis. For the longest time, she had had an uncomfortable feeling that something was not right, but she ignored the feeling in favor of more analysis. Louisa is known within the company as a meticulous analyst; her decisions are always based on well-researched data. She has been annoyed with the same song that the locally hired managers sing every day: “My gut feeling tells me this, my gut feeling tells me that.” Louisa has guts – she just never felt like basing her strategy on these gut feelings.

She continued:

It’s amazing – we’re beaten to a pulp in the orange soda drinks segment of the Venezuelan market by a newcomer that doesn’t invest any money in marketing its own product. It just dumps the drink concentrates at the feet of local bottlers and waits for more orders – which come like clockwork.

Later, at a dinner with the sales team of the local distributor, Louisa could not help but share her frustration with a young sales manager seated beside her. He smiled awkwardly and said:

I’m sorry, Mrs. Perez, that nobody told you about it earlier. But I believe the reason your product’s sales are going down has nothing to do with your marketing efforts. Some dishonest soda fountain operators have

figured out a way to open sealed concentrate containers and dilute the beverage with tap water. The competitor’s containers are much easier to tamper with than yours – that is why they keep buying them; it’s not the quality of the soda. Your company’s technological prowess and the growing numbers of dishonest operators have driven you out of the market.

Louisa’s gut feeling turned out to be right. The problem was not about jingles and research. Now, she faces another dilemma – to start researching the new phenomenon or to skip the research and deal with it by relying on her newfound strategy tool: intuition.

This chapter offers a discussion of coordinating intuition and analysis to strengthen strategic thinking.

Rational analysis can never be a substitute for intuition within the process of strategic thinking.

Intuition within the context of strategic thinking has to be balanced with deliberate, rational analysis. But rational analysis can never be a substitute for intuition within the process of strategic thinking. Cognitive knowledge must be integrated with having “a feel” for the situation, which is otherwise known as *tacit* knowledge. Although analysis has its function and intuition is not perfect, trying to replace intuition with analysis is a huge mistake, if the intention is to think strategically.

Analysis is a supportive tool for making intuitive decisions. The concept of rational, logical thinking is one of selection based on the process of rejection. Information and ideas are put in order and tested according to linear criteria; and then, they are discredited and discarded if they do not fit. When time and information are available, analysis can help uncover cues and patterns as well as provide new points of focus for the creation of different patterns and reframing. Also, analysis can help evaluate a decision, but analysis cannot replace the intuition that is at the center of the strategic decision-making process. Strategy does not always obey the logic of our framework.

Despite increasingly analytical approaches to making strategy, it remains principally an iterative process of two distinctly different cognitive clusters – one that is reliant on conceptual, divergent, and critical reflective processes and the other a cluster of rational, convergent, logical, linear capabilities (see Chapter 4). We need to explore the connection between analysis and intuition in an effort to develop strategic thinking. Ultimately, we need to learn how to conduct analyses that improve intuitive thinking and to distinguish what types of decisions are most

appropriate for analytical thinking and for intuitive thinking. Intuition expert Gary Klein notes:

Our intuitions function like our peripheral vision to keep us oriented and aware of our surroundings. Our analytical abilities, on the other hand, enable us to think precisely. We may believe that everything we think and decide comes from our analytical thinking, the conscious and deliberate arguments we construct in our heads, but that's because we're not aware of how our intuitions direct our conscious thought processes.¹

In situations that require strategic thinking, sometimes we need to rely more on intuition and other times we need to draw more on analysis. According to intuition experts and research, when the situation keeps changing, when the time pressure is high, or when the goals are vague, analysis is not enough. We have to go with what we “know.”² These situations require risk taking, yet they can also yield strategic rewards if we invest in building a repertoire of successful intuitive experiences. By contrast, when our strategic decision involves a lot of computational complexity (e.g., determining whether there is a cost advantage), we are doomed or duped if we do not do the analysis.

*Numbers are not always any more trustworthy
than intuition.*

Because our intuition can mislead us, we often opt to track events using objective measures, which are quick and easy things to share. Relevant or not, this objectivity feels safe. To use objective measures, we develop metrics that will record what we need to know – a rate of change, a degree of progress, or some other feature that will help us make decisions. Market-share metrics, for instance, tell us the extent to which a company dominates its industry.

On the other hand, intuition comes to us through subconscious and sensory reactions and perceptions, not through numbers, so hunches just pop into our minds without leaving any trail about how they were formed. In contrast, metrics provide firm documentation for our decisions. If someone questions us, we can point to the numbers to explain our decisions. Intuition cannot really help us to figure out overhead rates or make budget projections. Unfortunately, numbers are not always any more trustworthy than intuition. As the nineteenth-century

¹ Klein, *The Power of Intuition*, 66.

² Kahneman, *Thinking, Fast and Slow*.

British prime minister and statesman David Lloyd George (1863–1945) wisely pronounced, “You cannot feed the hungry on statistics.”

Accurate, reliable numbers are often difficult to obtain, subject to multiple interpretations, and even harder to apply. Quantifying the elements of a situation does not guarantee that we will make a good decision. Metrics can even interfere with intuition. For example, the hard numbers of a particular niche market don’t necessarily add up to a story that explains why we feel a strategic decision is just plain wrong. There is considerably more to a strategic decision than a chain of numbers.

Nevertheless, we cannot dispense with numbers. They force us to align our intuition with reality. For example, numbers keep us from pursuing a strategy whose image masks the reality of reduced capacity, changed circumstances, over-extended budgets, or disappointing rates of return. Therefore, numbers cannot be discounted or discredited entirely.

Intuition as a check on analysis

How does intuition keep analysis in check? Intuition helps us monitor our attention by signaling to us to be more alert in high-stakes situations. For example, we “smell a rat” or get that gut feeling that something is not quite right. Intuition can help us spot problems earlier and warn us that our decisions, and actions based on those decisions, are insufficient to reach our goal. Our intuition enables us to pick up on subtle inconsistencies in patterns, which triggers a feeling, which then leads to a certain decision or action. Because of this, we draw confident and incredible conclusions from very little information. Intuition is what we use when we try to see patterns when we look at data and facts. The patterns are not linear, so they are not always obvious. This is when intuition becomes our best friend – we look over a set of data or variables and suddenly a pattern becomes visible. The ability to recognize patterns is intuitive. Our experience is what arranges things into patterns.

One strength of metrics is that they give us a snapshot without the cumbersome details of the process by which that snapshot was acquired. This absence of history and context accelerates communication in strategic meetings, because details of the method for obtaining data are not usually shared. This means that we have to judge the numbers on face value – the risk is in not knowing if we can trust the numbers.

I am not suggesting that we reject or be shielded from data; rather, we need to use critical dialogue and inquiry to scrutinize and test the data. We need to ask, “Whose data?” “Where did they come from?” “Why were they collected?” “Whose interests were they intended to serve?” “Whose interest do they actually serve?” “Why were they compiled in a particular way?” and “Who paid for the data collection and analysis?” in order to get the story and the context behind the numbers. Seeing numbers out of context can cause us to misinterpret information and lead to regrettable strategic decisions and conclusions. In this strategic environment of ambiguity and paradox, analysis will take us only so far.

Analysis as a check on intuition

Although it is important to emphasize the role of intuition in strategic decision making, of equal note is that intuition alone does not generate or constitute strategic thinking. What are some of the limitations to intuition? Why does intuition sometimes prove unreliable? Several important limitations to the use of intuition come from the types of decisions we face, the opportunities we have had to develop our intuition, and the inherent nature of expertise. Intuition researcher Gary Klein suggests three reasons why our intuition may not serve us well.³

First, while complex and uncertain decisions make intuition difficult to apply, these are the very kinds of situations in which we need to use highly skilled intuition more than ever. Since much of strategic thinking includes dealing with very complex, incomplete, and uncertain information that is constantly changing, we must develop our intuition to a degree that we can trust it as a reliable tool. Analysis alone does not suffice. Intuition must be tested against analysis, and analysis must be tested against our intuition in these highly complex and constantly changing circumstances.

Developing intuition based on pattern matching is hard when the strategic situation we are trying to resolve is complicated. Even if we think that we recognize a pattern, we may be fooling ourselves, which is why we must be adept at using critical reflective processes to challenge our perceptions, frames, and assumptions. There are no substitutes for testing and reflecting.

Second, the strategist may not have had a chance to acquire expertise. We may not have a chance to build a strong experience base because we cannot get feedback about our judgments. The absence of a strong experience base can lower our confidence when using our intuition.

Third, the experience base of our intuition may be distorted. Even if we know how to acquire and evaluate our intuition, we still have to worry about the validity of the feedback we receive. Therefore, we must habitually test validity through dialogue and critical inquiry.

Rational and intuitive thinking are not mutually exclusive. When both are well developed, our composite knowledge is extremely advantageous for learning to think strategically.

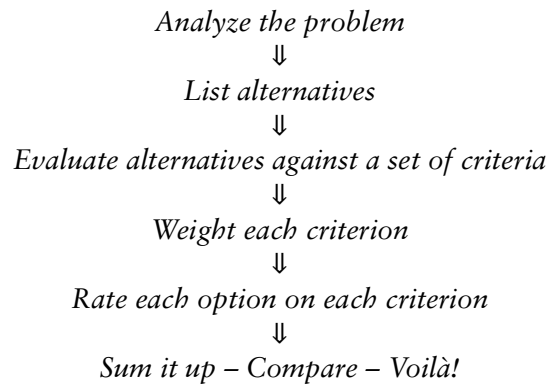
Decision-making approaches to strategic thinking

Decision making is central to strategy making, and therefore it must be practiced, challenged, and refined as we learn to think strategically. First, we will look at the familiar and traditional Western approach to strategic decision making, and follow with an approach that integrates intuition and rationality.

3 Klein, *The Power of Intuition*.

Traditional strategic decision making

Traditional strategic planning approaches, steeped in the customs of the technical rational scientific school of thought, emphasize some variation of the familiar, classic six-step model of decision making:



This linear model of decision making strikes many of us as very comforting and appealing. The model is straightforward and is based on solid analysis and logic. It is systematic, rational, and methodical. Leaving nothing to chance, a good decision is guaranteed if we just follow the process. This model allows us to justify our decision intelligibly to others – there is something reassuringly “scientific” about it.

The catch is that this linear model provides a false sense of assurance. It is a sanitized sequence that omits the untidy parts of the complex problem-solving process. The messy, nonlinear parts of problem solving are imperative to distinguish strategic thinking from strategic planning and are necessary for strategic innovation, adaptability, and sustainability.

As we have discussed in great detail, critical reflective processes are essential for challenging the underlying assumptions of a current strategic issue in order to ensure that it is examined and explored. Complex strategy decisions call for a combination of cognitions that include critically reflective processes. Reflection in action may be slow and arduous or quick and decisive. When a strategist reflects in and on his action, the possible targets of reflection are as varied as the kinds of factors, variables, and patterns before him, and as wide ranging as the multitude of underlying frames, assumptions, and belief systems that he brings to his reflections.

Reflection may be about the tacit norms and reasons that underlie a particular judgment, or on the theories that are implicit in a pattern of events, decisions, or reactions. Also, reflection could be on the feeling about a situation that has guided a particular course of action or decision. Possibly, reflection could be about the way in which the strategist has framed the problem encountered, or on the role he has constructed for himself within a larger organizational or business context.

Although reflection in action is an extraordinarily complex process, it is commonplace among successful strategists. For many strategists, reflection is the defining trait of their success because of its impact on complex decision making.

We must be willing to enter into new kinds of confusion and uncertainties when we engage in critical reflection on action.

Our attitude about critical inquiry influences greatly our attitude about the strategic decisions we make. We probe the information and stories of the leaders of the key business units and systematically pursue the implications of our familiar and chosen frames. At the same time that we try to shape the situation to our frame, we must hold ourselves open to any “playback” from or of the situation.

Although judgments must be grounded in relevant data, conclusions should remain open to reevaluation, which can be stressful. We must be willing to enter into new kinds of confusion and uncertainties when we engage in critical reflection on action and decision making.

To apply reflection in and on action to strategic thinking, the following tenets of learning are recommended:⁴

- 1 Give and get valid information. Valid information is essential for informed decisions.
- 2 Seek out and provide others with directly observable data and correct reports so that valid attributions can be made.
- 3 Create the conditions for free and informed choice.
- 4 Try to create, for ourselves and for others, awareness of the values we embrace in making the decision, awareness of the limits of our capacities, and awareness of those factors that are beyond our control.
- 5 Increase our internal commitment to decisions made. Try to create conditions, for ourselves and for others, in which we are committed to an action because it is intrinsically satisfying – not because we anticipate external rewards or punishments.

Integrated strategic decision making

As we strengthen our capacity for strategic thinking, we must remain mindful of and adept at integrating the roles of intuition and rationality. Critical reflection is an approach that can help integrate intuition and rationality effectively in strategic decision making. Figure 14.1 illustrates the complementary roles of intuition and

4 Goleman, *Working with Emotional Intelligence*.

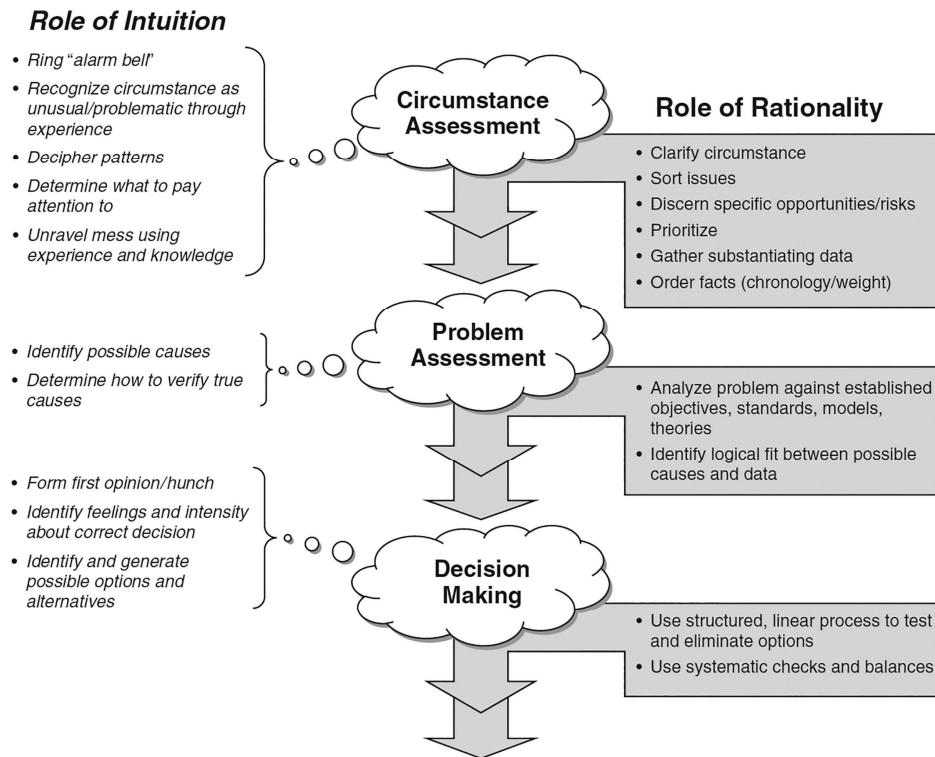


FIGURE 14.1 Integrated roles of intuition and rationality in strategic decision making

rationality in the overall strategic decision-making process. Although, in reality, intuition and rationality coexist, they tend to alternate in performing a predominant function within the strategic decision-making process.

Upon encountering a strategic circumstance or dilemma, intuition is what waves the red flag or nudges us under the table. By leveraging our experience and knowledge in a non-analytical and discreet manner, intuition gets our attention and helps us recognize something as problematic. Intuition helps us determine where to focus our attention and helps us sort issues.

Then, the role of rationality kicks in by clarifying and systematically discerning issues and opportunities that warrant further consideration. Rationality is essential for ordering facts in a linear and logical way. Meticulous prioritization, data collection, and analysis are crucial in order to move forward the assessment of circumstance.

As our problem assessment progresses, our intuition works to identify possible causes and to verify true causes. Without a well-honed intuitive sense, problem analysis can remain clinical, sanitized, and ineffectual, in that problems are exposed only superficially and analyzed without much, if any, examination of the “truthfulness” of their cause. Rationality then plays the critical role of identifying relevant information and analyzing facts. Rationality serves to evaluate a logical fit between possible causes and data, by analyzing the problem against established objectives, standards, formulas, and models.

The final decision-making step is where the tension between intuition and rationality is most apparent. The consequences of making a strategic decision today can be daunting – huge stakes within an unpredictable future make the risk factor enormous. Executives whom I interviewed noted consistently that intuition usually leads their strategic decision making; if their intuition is not countered by rationality, then runaway intuition can be as detrimental as it can be beneficial. Intuition provides our first judgment or gut reaction in decision making. The role of rationality is essential and imperative, then, as a “testing” method, to verify the hunches and preferences we have intuitively made. We need to work through the rigors of a disciplined rational process while noting and suspending our initial claims. The focused and skillful use of both intuition and rationality offers a structured process of checks and balances in strategic decision making.

Coordinating intuition and analysis

As we have examined thus far, neither analysis nor intuition alone is sufficient for strategic decision making. The challenge is to find a way to balance intuition and analysis. We do not want to abandon metrics, but we do not want to be fooled by numbers either. We need to find ways to use data effectively to support and correct our intuition, so that we can benefit from both analysis and intuition as ways of interpreting strategic events.

The synthesis of intuition and analysis that seems most effective for strategic thinking is when we permit intuition to direct our analysis of the circumstances and guide the strategic thinking process. This way, intuition helps us recognize situations and decide how to react, and analysis verifies our intuitions to make sure they are not misleading us. Table 14.1 highlights the optimal use of intuition and numbers in strategic decision making.

TABLE 14.1 Constructive uses of intuition and numbers for strategic decision making

Use Intuition to Support Strategic Decisions by	Use Numbers to Support Strategic Decisions by
Initiating strategic concept and framework (“gut sense”)	Testing intuitive framework
Formulating frameworks	Establishing strategic targets and goals
Identifying patterns (“hunches”) that are negative and positive	Making comparisons
Making sense of incomplete, partial, inaccurate information	Ensuring compliance
Making sense of rapidly changing data	Spotting trends and patterns
Mentally simulating scenarios (“dress rehearsing”)	Evaluating strategic performance
Exploring new possibilities and alternatives with stories Expanding and enriching context of data	Testing stories and creating and re-creating new stories
Constructing new frameworks	Constructing new frameworks

There are several other things we can do that combine intuition and analysis, including (1) mapping the strengths and weaknesses of strategic options without attaching metrics and (2) not replacing intuition with procedures as a means of taking control of gray areas – a very common mistake. Another integrated approach is to fuse numbers and intuition by using stories in the form of metaphors, analogies, parables, and fables – a narrative can describe how the metrics came to be and what they represent. These metaphors and narratives can explain how a few primary influences caused the circumstance we are trying to grasp and navigate. Stories add nuance and context as we make meaning of metrics – and those same metrics help us to structure our stories.

Further, strange as it may sound to those who have not experienced it, I often coax the strategists with whom I work to “draw” their strategic problem, along with details of any risks and conclusions. Drawing the strategic problem is a great way to integrate intuition and analysis, and it develops cognitive fluency and flexibility.

Just because someone has run the numbers does not mean that we have to believe the conclusion. Numbers are as vulnerable to interpretation as is our intuition based on experience. Once we know what a metric is, we can usually find a way to play with or around it – to show that we are doing well according to the official measuring stick, even though we are not making progress toward the larger objectives.

Regrettably, traditional strategy development approaches tend to focus almost exclusively on the cognitive cluster comprising linear, logical, rational thinking – useful for analytical thinking – at the expense of an appreciation of the cognitive cluster consisting of a-rational thinking, critical reflective processes, and intuition. Aside from the attention given to emotional and social intelligence,⁵ the relevance of the affective, a-rational domain to strategic thinking remains largely ignored or discredited.

Do we wonder, then, that we are struggling to develop strategic thinkers? The cognitive cluster required for strategic thinking (see Chapter 4) takes a considerable amount of time, tolerance for ambiguity, heightened sensitivity, and a strong desire and discipline to develop. Furthermore, in practice, the traits of this cognitive cluster are largely invisible and occur informally. As we attempt to combine intuition and analysis, we must also accept a degree of ambivalence, which is part of the complex reality of strategy.

Regardless of its limitations, honing our intuition is critical as we learn to think strategically. Therefore, we need to develop our intuition into a reliable instrument. There is no magic formula or shortcut that improves such judgment. We can only develop our intuition for making decisions by prioritizing its development. This means continually challenging ourselves to make tough judgments, honestly appraising those decisions in order to learn from the consequences, actively

5 Goleman, *Working with Emotional Intelligence*.

building up an experience base, and learning to balance and blend intuition with analysis.

Successful strategists and those responsible for developing a cadre of strategic thinkers include intuition in their learning approach because it is precisely the reason why others trust their opinions and decisions. These strategists are known to be right on the mark – the ones who spot the early signs of problems and recognize opportunities without having to gather all the relevant data and perform all the required analysis – they just “know.” Through years of experience, they have developed and translated that experience into a level of confidence necessary to make important judgments. If key strategists understand where their intuition originates, if they can discern when their intuition may be misleading, and if they can convince others to take their intuition seriously, then they are able to justify their authority.



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Part 5

Summary and questions

Executives often rely too heavily upon either data analysis or intuition to the detriment of their strategic thinking. Although data analysis is an important tool to understand the strategic environment, an over-reliance can lead to same-frame thinking in the strategic thinking process. It is important to balance rational analysis with intuition when making strategic decisions. One cannot replace the other, as they are complementary.

Intuition is necessary to ensure that our data analysis makes sense. However, it is equally important to use analysis to ensure that our intuition is correct. Effective and consistently accurate strategic thinking is accomplished through deliberate application of rational analysis and intuition, in tandem.

Furthermore, the a-rational cognitive cluster (see Chapter 4) comprises other ways of “seeing” and “knowing” that can also expand our ability to scrutinize and interpret complex strategy data, particularly massive volumes, paradoxical, and inconclusive. Both cognitive clusters assist us to integrate intuition and data analysis into the strategy decision. Such an integrated approach can also broaden our thinking and assist in applying prior knowledge to new contexts when determining the validity of our intuition. Successful strategists use intuition to help identify patterns, trends, and problems early on. They understand the origins of their intuitive thoughts and know when their intuition might be flawed, and they compensate by alternating their intuition with rational analysis.

- 1 Think of an instance when you were involved in a strategic decision where the data and intuition were not in agreement. How did you make the decision? What role did the data play in the decision? What role did intuition play in the decision? How could rebalancing the use of data and intuition have changed the decision and the outcome?
- 2 How does having a flawed framework affect intuition? How can you identify a flawed frame and change the frame in order to effectively use intuition in decision making?

- 3 Are you aware of any of your own flawed frameworks? How could you know? What could be the origins of your flawed intuitive thoughts?
- 4 Why is it important to identify the risks you might incur by ignoring or discrediting your intuition as you make strategic decisions? How can you mitigate the risks?
- 5 Think of a moment when you were in the midst of a problem, but you were able to “think on your feet” and consciously suspend the solution, to reframe and act on it in a different way. What did you notice about your habit of mind? What allowed you to reflect *in* action on the situation? What was the impact?
- 6 What are some ways that you could interrupt your habitual, reflexive, auto-pilot response to decision making that will allow time and deeper insights into alternative solutions?

Part 6

WHAT ROLE DOES CULTURE PLAY?

*You'd be surprised: culture
as a factor for learning to
think strategically*

*What we wish, we readily believe, and what we ourselves think,
we imagine others think also.*

*– Gaius Julius Caesar (100–45 BC), Roman statesman,
general, and historian*



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Role of culture in strategic thinking

Why address strategic thinking in relation to socio-national culture? The role of culture in strategic thinking is a topic that is often either at the forefront of the minds of those responsible for the strategic success of companies and other organizations or buried deep in oblivion. Globalization has forced our hand to examine the role of culture with regard to strategic thinking. As Part 6 will highlight, we need to understand the learning process involved in strategic thinking in order to position constructively the role that culture plays in strategic thinking.

This part consists of two chapters. Chapter 15 looks at the role of culture in relation to strategic thinking, typical problems encountered, and the cultural dimension of hierarchy as it impacts upon frame formulation. Chapter 16 discusses the challenge of introducing strategic thinking across cultures. It also includes a section on shattering and reframing across cultures and common factors to consider when dealing with other cultures in developing strategic thinking.

Executives, managers, professionals, entrepreneurs, customers, suppliers, shareholders, governments, and competitors of various cultural backgrounds in vastly different locales are all connected in an intricate global web. Individually and collectively, these players are influential in some aspect of strategy: policy reform, business development, leadership development, talent management, relocation assignments, executive searches, change management, and so on. Expatriates, repatriates, and nationals are all involved in developing the internal capacity to create and re-create innovative, sustainable, and adaptable strategy.

As conveyed in previous chapters, successful strategic thinking does not occur in a vacuum. Such thinking can occur only when those involved are able to identify and challenge underlying assumptions, to make frames explicitly, and to shatter and reframe their own basic beliefs and those of the organization. Supporting the frame-changing process means endorsing the use of critical reflective processes (critical inquiry, critical reflection, and critical dialogue) to constructively challenge anyone involved in the strategy process. Also, successful strategic thinking means that everyone is invited to question the business, political, social, and economic environments and to test the company's capabilities on a continuous basis and without retribution.

In my work with corporate strategists, government policy reformers, and innovative entrepreneurs around the world, I am constantly bombarded with one question: “Why can’t I find any good strategic thinkers here?” In fact, this question is often the springboard to many of my client relationships. In working with strategic thinking issues all across the globe, I have found leaders in every country, every industry sector, and within private and public organizations who drive at the second, more compelling part of the question: “What can I do to make ‘these people’ think strategically?” What many clients want to hear, of course, is a simple diagnosis indicating that their strategic thinking problem is due to “cultural differences,” followed by some neatly packaged three-step solution, and accompanied by a timeline. They are eager to receive standard course proposals and correlated metrics tables.

Unfortunately, the remedy is not quite that simple or clear. Typically, I find that senior executives and corporate boards use a strategic planning framework as a basis for complaints about the absence of strategic thinkers. But this is like saying that you want to go fishing, so you head straight to the desert. This frozen mindset of strategic planning is symptomatic of the executives’ lack of, or misunderstanding of, the cognitive processes underlying both strategic thinking and strategic planning. These executives fail to differentiate between strategic thinking and strategic planning, and are unaware of the role that culture plays.

Most often, I find that clients tend to lack a process or criteria by which to identify and develop strategic thinkers, because they lack knowledge about the informal, iterative learning process or have no awareness of the attributes needed to proceed. Furthermore, rarely do these executives have foundational information about the cultures with which they are working. Once these missing pieces are clarified, culture becomes yet another variable to identify in facilitating learning to think strategically.

Culture’s impact on pattern recognition

What role does socio-national culture play in learning to think strategically? Culture plays an interesting role, as it shapes our frames and, in turn, teaches us what to pay attention to. Culture informs the patterns we come to recognize and rewards us for learning them. Specific patterns are inherently cultural, since they teach us what to fear, where to attach values, and which values to assign to our frames.

Culture per se is not a differentiating factor in the learning process of strategic thinking. Culture is but one factor that influences our experience. The strategic thinking process is identical, regardless of culture, because strategic thinking is driven by the informal human learning process. The informal learning process required for strategic thinking exists at a level that supersedes culture – socio-national culture, organizational culture, or functional culture. But if we are unaware of the informal learning process that underlies strategic thinking, one might mistakenly and easily blame culture as the culprit for a shortage of strategic thinkers across the globe.

Culture per se is not a differentiating factor in the learning process of strategic thinking. Culture is but one factor that influences our experience. The strategic thinking process is identical, regardless of culture, because strategic thinking is driven by the informal human learning process.

Management and public policy researcher Khalid Alyahya's studies on Middle Eastern senior managers support the notion that, at some point, national culture becomes irrelevant to thinking and learning. His extensive research on management cultures in the Middle East concurs with other findings which claim that, to a certain extent,

people act and . . . organizations operate the same way regardless of where they are located, . . . regardless of the culture or historic experience of a society. Democratic practices such as empowerment, decentralization, and participation that prove to be successful and effective in one setting are transferable to other national settings.¹

What is most important for global organizations is for their managers and executives to model and establish an expectation for critical reflective processes and to reframe experience. This reflective capacity enables us to learn from our experiences, and fosters learning for strategic thinking.

Too often, I find that culture is a convenient veil with which to cover our frustrations and unanswered questions about the strategic thinking process – particularly when we are working with leaders from outside of our primary culture. Things are further complicated by the fact that strategic thinking is an overused and under-defined term, as previously mentioned. Furthermore, the informal learning process of strategic thinking is generally not well understood; so we can easily misattribute the inherent messiness to culture and may attempt to absolve ourselves of responsibility for development.

All cultures have customs and deeply embedded values that help us to determine what we know, how we know it, and the degree to which it is safe for us to use challenge, dialogue, and critical reflection in our organizational contexts.

¹ Alyahya and Vengroff, "Human Capital Utilization, Empowerment, and Organizational Effectiveness in the Middle East: A Comparative Perspective," 6.

Although culture per se is not a primary factor in learning to think strategically (the learning process is), culture has a visible impact on the patterns that we learn to recognize and the frames we use to outline and assess strategic data, information, and decisions. For example, culture determines the way we assess creditworthiness for mergers, it influences why we predict political stability for investment, it affects how we judge a provincial governor's or deputy minister's trustworthiness for a joint venture, and it determines how we plan our market-entry strategy.

All cultures have customs and deeply embedded values that help us to determine what we know, how we know it, and the degree to which it is safe for us to use challenge, critical dialogue, and critical reflection in our organizational contexts.

Typical faux pas

What kinds of cultural errors typically occur in global strategy-making meetings? Very often, I find that we think we know more than we actually do about foreign markets, about the capabilities of our local businesses with regard to implementation, and about local agendas and priorities. Furthermore, we have inconsistent degrees of comprehension about the way that global operations are positioned relative to the organization's core strengths. One strategic learning imperative is to take the time to critically reflect and critically dialogue with others to determine the limits of what we know and what others know at the start of the strategy-making process.

Regardless of geographic location, rarely do we find a company which has a consistent understanding or expectation of the strategic thinking process. Mind you, having this consistent understanding is distinctly different from having an official, formal, strategy-making routine in place. The kind of instrumental, mechanical, strategic planning process that is well known basically consists of people showing up at a certain time and place with requested information and analysis and conducting a surf-level discussion within existing corporate frames of reference. This discussion tends to be logistically rich and learning poor.

Very often, when we are making strategy outside our primary culture, critical information is missed or misinterpreted because it is not available through the usual market-research processes. Essential frames may be omitted from strategy discussions because the relevance of the perspectives is not visible in the same way as it is back home. Furthermore, key contributors are frequently overlooked due to language or geography, time zones, and technology issues. We tend to convince ourselves that getting their partial insight or fragmented information is good enough.

Cross-cultural dimensions impact frames

We carry our existing frames with us across continents and time zones without realizing that they may be juxtaposed on a pile of other existing frames that are very different from our own. This lack of realization can be destructive to strategic thinking if left uncovered and unchallenged, but it can become a constructive and

competitive source of innovation if new and different frames are identified, tested, shattered, and reframed. In order for this shattering and reframing to happen, we must engage in the deeper dive domain of learning to examine the role that culture may play in our attitudes and beliefs, particularly with regard to the notion of challenging others and being challenged ourselves.

Cross-cultural theorist Geert Hofstede, in his seminal work *Culture's Consequences*,² identified five dimensions that exist in every culture to varying degrees. These dimensions influence the frames of reference that we develop over time. Although Hofstede's studies have been criticized in a number of ways, his cultural dimensions provide us with a convenient way of classifying the differences among cultures and have continued to be a subject of revision and debate for subsequent cross-cultural theorists.

Alfons Trompenaars and Charles Hampden-Turner modified these dimensions in their book, *The Seven Cultures of Capitalism*, to include seven dimensions: (1) universalism vs. particularism, (2) analyzing vs. integrating, (3) individualism vs. communitarianism, (4) inner-directed vs. outer-directed orientation, (5) time as sequence vs. time as synchronization, (6) achieved status vs. ascribed status, and (7) equality vs. hierarchy.³ Many excellent sources are available on cross-cultural dimensions, and an understanding of the dimensions can serve as a basis for inquiry, to challenge the assumptions underlying strategic decisions.

Regardless of the specific terminology, all of these cultural dimensions play a role in shaping our frames of reference. When working with clients around the world, I am frequently asked to pare down the cultural dimensions to the single, most influential aspect related to learning to think strategically. Doing this is, of course, impossible. The complex combination of cultural dimensions and individual personal traits that impact our cognitive capacity must be accepted en masse when learning to think strategically.

Nevertheless, for the purpose of demonstrating the impact of the combination of cultural dimensions on strategic thinking, I reluctantly and cautiously will stick out my neck and mention *hierarchy* as but one manifestation of the combined dimensions – and only to exemplify the impact that culture has on learning to think strategically. Hierarchy leaves its sticky fingerprints on every aspect of strategy making. I find, because of its pervasive influence, the dimension of hierarchy is important to address early on when working with executives. Hierarchy is evident in a multitude of ways, which makes it a convenient starting point for challenging beliefs and igniting critical dialogue about content, process, and premise assumptions.

Hierarchy as a factor

How a culture perceives hierarchy within a business or government environment can determine the experience that leaders typically have with challenging

² Hofstede, *Culture's Consequences*.

³ Trompenaars and Hampden-Turner, *The Seven Cultures of Capitalism*.

information and expressing divergent opinions. From our respective cultures, we learn specific things about hierarchy. For example: Who can we question? Under what circumstances? What is a “question” as opposed to a “threat” or an “insult”? How do we structure a question? What is the right way to respond to questions? Why? Where? When? When do we attempt to save face or to display status through questions and responses?

In some cultures, for example, challenging a colleague, a superior, or a visitor is considered disrespectful because this challenge is interpreted as an attack, an interrogation, or humiliation; such a challenger is labeled as disloyal or untrustworthy. This label can make it difficult to incorporate a rigorous routine of critical inquiry and critical dialogue that are so necessary for learning to think strategically. Developing the trust required for making and implementing critical strategic decisions may be difficult as well. Perhaps most importantly, the quality of strategy can be substantially weakened if the deeper dive domain of learning is not embraced and practiced by everyone involved with strategic issues in every geographic location.

In some cultures, to remain within the surf domain of learning is considered to be polite business and good interpersonal interaction because nobody dares to be challenged, except in accordance with hierarchical rules – this protects against a loss of face. In these cultures, using critical dialogue and inquiry openly for testing may be more difficult. At the same time, a particular individual within that culture may have strong critical reflective capacity, but open and public challenge may be culturally difficult to accomplish. This dilemma can become one of relative consequence.

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Recently, Junichiro had been promoted to be the Asia president of a German international investment bank. A big part of the position was obviously strategy, and the stakes were high. He had a stellar strategic planning and execution track record. In fact, this record is why he was promoted into the position, but his rope began to fray when his strategic thinking ability was put to the test. His role within the bank had changed overnight from being a brilliant strategic planner to becoming a successful strategic thinker. Without the capacity to create and re-create strategy, there would be no strategy to implement.

He was caught between a rock and a hard place. He knew that within Japanese business society he would quickly lose the respect of the very people who promoted him, especially if he questioned them overtly or publicly. At the same time, his own neck and the bottom line of the bank depended on him to routinely scrutinize every particle of data and analysis. He realized that he needed to think differently in order to do this. Panicked, he sought help.

During our initial meetings, Junichiro mentioned that he had never learned to “think”; what he had learned was to be very adept at rapid pattern recognition and correcting imprecisions. In fact, his adeptness is how he had made a name for himself, because in minutes he could automatically sift through mounds of data and accurately solve complex problems. He quickly discovered that this was not enough for strategic thinking.

In order for Junichiro to commit to taking the risk of learning the critical reflective processes that he understood were essential for learning to think strategically, he had to resolve the polite, on-the-surface Japanese cultural requirement that clashed with the particular practices required in critical reflection. This first step was a confidence builder. He identified several key strategic thinking strengths he already possessed (honed intuition, experience of using reflection in non-work contexts, access to positive role models, and a fierce desire to win). Also, he distinguished strategic thinking from strategic planning in his executive and management vocabulary. And, as the new company president, he set an expectation within the corporate culture of practicing critical inquiry – challenging, testing, and refining strategic ideas.

Furthermore, Junichiro retained his personal and cultural preference for dealing with people one-on-one, and he subtly modified his indirect style so that he did not feel as though he was “attacking” his Asian colleagues. This modification was important for him to remain authentic. Junichiro took great care to preface his critical inquiry with an explanation of the mutual and collective benefits of such a process. He invited his Asian colleagues to reciprocate, and he demonstrated appropriate language of questions – making a game of the process. Also, he took care to thank each person before and after each critical-dialogue encounter, expressing gratitude for their support of the bank’s long-term strategic capacity. Once Junichiro had drawn up this list of conditions that he felt were necessary culturally, he was satisfied that he could commit himself to the learning process. The very process of drawing up the list engaged him in identifying and testing his own assumptions and beliefs about the learning process involved in strategic thinking.

Regarding the influence of hierarchy: Some cultures consider disregarding hierarchy to be disrespectful and disloyal, particularly when junior executives or those from a certain group (e.g., women, newcomers, outsiders, functional groups, nationalities) express alternatives or imagine beyond their prescribed status in society or outside the hierarchical bounds of a specific team or job description.

Quite commonly, I find that executives from these cultures – organizational cultures as well as socio-national cultures – lack an ability to notice pattern variations because they are short of the experience base. Their culture taught them to follow a tightly defined, prescriptive approach to pattern identification – and this approach was so limited that imagining new ways of seeing things does not even register, since they have no experience doing so. Their forte is in paying attention to and quickly noticing a set of “correct” or “incorrect” patterns in a given circumstance. Although this focus has advantages, it is a habit of mind that needs to be tested in order to learn to think strategically.

Most importantly, remember that just because we “don’t” doesn’t mean that we “can’t” learn to recognize different patterns and develop different frames of reference. I have worked with exceedingly capable strategic thinkers in Saudi Arabia, Egypt, and Russia – all strong hierarchical cultures with clearly established cultural norms for questioning. Pattern recognition and shattering is learnable.

Culture is not an excuse to hide behind. Certainly, culture has a strong influence on the patterns that we learn to recognize and the frames we learn to use, but our human capacity to critically reflect is limitless. Therefore, we can learn to shatter and reframe through critical reflective processes, if we seek to and commit.

After several months of working on strategic thinking with a newly promoted and ambitious Chinese global head of manufacturing for a multinational paper company, this executive described the difference that he noticed in his own decision making after concentrating on critical reflective processes:

It used to be impossible for me to make decisions that were not given to me because I didn't even know what "think more strategically" meant. But there is a lot of pressure on me in my new job. I couldn't "see" anything except [for] what had been pointed out to me. I didn't know how to notice things. I was afraid to look for other things. The only things I "saw" were the things I was permitted to look at; everything else was blacked out in my mind.

In my case, it was always important to notice what other people expect you to see – the aim in my culture is to avoid seeing anything that you are not supposed to see. It was like everything else was in the dark, and, naturally, I was afraid of the dark. I was supposed to be afraid of the dark. [Anything that is] new or different hides in the dark [for protection] – and now, that is what you are telling me and helping me to practice! I feel a little bit afraid, but I am amazed already at what I can see now that I am looking. I think I only needed permission and a guide. It is only now that I realize all the other things that are happening at the same time. I am already making better and bigger decisions and it's surprising to me, but I have a wonderful feeling of freedom and control in this way of thinking.

Due to the influence of culture, history, and language, interesting and specific differences exist between Western and Chinese ways of thinking strategically. One factor to consider when working across borders is the impact that language plays in learning to think strategically, particularly between the phonetic and ideographic writing approaches. In his study on the development of strategic thinking amongst Chinese, Ruohao Chen notes that, "This [writing approaches] influences how we visualize or imagine broad strategic concepts. The differences between phonetic and ideographical writing also mediate different ways of thinking between Westerners and Chinese people."⁴

A deeper look at the historical background suggests that the phonetic writing process that developed around 1000 BC in ancient Greece lost pictorial ties with reality and focused more on logic and concreteness.⁵ Logical frameworks and models have been developed to elicit effective management in the West. A quite

4 Chen. *How Chinese Business Leaders Learn to Think Strategically in a Time of Crisis*, 27.

5 Jullien. *Detour and Access: Strategies of Meaning in China and in Greece*.

different approach has developed in China, where ideographical characters help promote the Chinese habit of envisioning images and metaphors in their thinking and communication. Consequently, metaphors and images are routinely used in Chinese business management, negotiation, and communication strategies.⁶ Chen's research offers numerous examples of Chinese business leaders' use of metaphor as they develop strategy in a crisis situation. For example, the common proverb "Leaves grow in rainy seasons, while roots grow in dry season" underscores the potential benefits of reframing a business crisis in times of duress, visually imagining that fortune can come from misfortune.⁷

Challenges of introducing strategic thinking across cultures

Having lived and worked abroad for more than two decades, I feel very strongly about the strategic need to transcend culture and to refocus as quickly as possible on the informal, iterative learning process of strategic thinking. I do not mean ignoring culture, but that we must acknowledge and appreciate culture within the larger learning context. The intent of strategic development is to increase the capacity for learning to think strategically, and culture is just one, albeit significant, piece.

Yet the influence of culture on shaping collective and individual frames can have an impact on nearly every aspect of strategic decision making. Therefore, we must understand some common frames that need to be shattered and re-created across cultures. One of the more common strategic challenges is information gathering. Credible, valid, verifiable, relevant, and timely information is often hard to come by, and yet it is integral to strategic decision making. Cross-cultural expert Ernest Gundling notes that, while there may be numerous reasons why information is not shared readily:

In general, concerns about sharing information directly are more pronounced in hierarchical, group-oriented cultures where enduring personal relationships are a key personal asset. To place in jeopardy your relationship with a senior member of the hierarchy or a key network member could have dire long-term consequences.⁸

In many countries, who gives information is given greater significance than what the information is.

6 Yang, "Using Metaphors as Politeness Strategies in Business Negotiations."

7 Chen. *How Chinese Business Leaders Learn to Think Strategically in a Time of Crisis*, 99.

8 Gundling, *Working GlobeSmart*.

Business information that is standard in some countries, such as annual reports, auditing and accounting reports and data, marketing data, and economic reports, may not be readily available or even exist in others – for a variety of reasons. Furthermore, the quality and the objectivity of available information can be problematic. In many countries, who provides information is given greater significance than what the information is. No one dares to question either the data or the individual who provided it, because to do so would threaten the hierarchy that sustains the culture. In these cases, there is no line that distinguishes fact from fiction.

The political environment can also influence information gathering and complicate strategic decision making. When working in a country or with people from countries with a history of politically oppressive regimes, the legacy of fear and suspicion lives on long after the political landscape has changed. The ghosts of experience continue to haunt even the most bold and progressive people. Providing relevant and truthful information to anyone outside a tight circle of family and a few friends is considered foolish and risky. Furthermore, the shadow of thriving crime elements or remnants of a former regime can guide the information flow of local and international businesses, and leaders are likely to be guarded and hesitant about sharing information about anything – revenues, plans, or client relations – for fear of how it may be used against them.

As a means of introducing a strategic thinking imperative into a non-Western or a culturally diverse environment, it is helpful to position strategic thinking as a directive, by having an authority figure from headquarters or from a well-respected government ministry officially sanction the critical reflective processes as being an integral part of making strategy or policy reform competitive. Presented as a corporate culture expectation, the pronouncement can and should be followed by crucial modeling among senior leaders and guided coaching that is respectful of individual practice. This approach bows to the dimension of hierarchy and legitimizes the unfamiliar new practice. It also gives permission to executives and managers to commit to practicing such things as critical inquiry and testing.

In other words, with this kind of positioning, the expectation of using a critical reflective process and a divergent process for the development of strategic thinking is explicitly stated as an imperative or directive from the top. This establishes parameters that place the corporate culture above any socio-national culture for eight hours of each day within a specific context. This way, the emphasis is not on behavioral change but, rather, on a fundamental process of embedding change that includes behavioral practices that undoubtedly counter existing belief systems on many levels. This practice will be disruptive, but dealing with disruption is part of adaptive and innovative thinking, which is essential to competitive strategic capacity.

Shattering and reframing across cultures

As we have discussed, culture can be influential on our ability to shatter and reframe. Cultural values tend to direct our focus; culture highlights the patterns

we are “supposed to see.” And culture creates a context in which we practice and experience the right and wrong ways of identifying, interpreting, and evaluating these patterns. Culture is how we learn our first frames of good and bad. We learn to look at a situation in a particular way and make decisions according to prescribed frames. Through culture, we also learn the degree of value given to both analysis and intuition.

Shattering frames requires that we are able to challenge and test ourselves, others, and the habits of mind, beliefs, and underlying assumptions that support the traditions of the organization. Therefore, we must be willing to risk comfort and familiarity in favor of the uncomfortable and uncertain. We need to be able to live with all the what-ifs that will haunt us as a result of shattering: What if my questions are laughed at? What if my [data/information/hunch] contradicts the commonly accepted way? What if I don’t know the answer to my own question? What if I posit a question or topic that is a “forbidden frame”?

Time and again, clients from around the world confide and comment that it is actually very liberating and freeing to use the deeper dive domain of learning, rigorous and risky as it may be, because they do not have to give up their authentic selves. Instead, they are able to choose, discard, borrow, and adapt at will. In my experience, this tedious and emotionally strenuous process of shattering frames cannot be taught in a traditional manner, but it can be modeled and coached. Remarkably, I have found that as clients engage in shattering their frames, they notice that the strategic thinking process is identical, regardless of culture. The strategic thinking process is driven by an informal and iterative learning process, not by culture per se.

Sometimes, clients are anxious about the strategic thinking learning process, fearful that they might find themselves reclining on a couch, hanging from tree limbs, or positioned on a yoga mat. This learning is an intensive, exhaustive, and formidable process. But one that is generally attained through knowledge about the three-stage process of informal learning (preparation, experience, and reevaluation) discussed in Part 2 and agility using the five attributes (imagination, broad perspective, juggle, no control over, and desire to win) presented in Chapter 16 are essential for executives in any culture to understand if they are to think strategically.

Personal and organizational determination and commitment levels are much more important for learning to think strategically than any one particular cultural frame.

Once the informal learning process and the five attributes are understood and attended to, culture sort of evaporates from the strategic thinking process. The validity of data is greatly enhanced, integrity issues are made apparent, and better

strategy making and implementation are a result. Learning to think strategically is well worth the investment if a company or government truly wants to grow a global pipeline of strategic thinkers. The road can be quite long and full of bumps, but making this journey is certainly worth it. Personal and organizational determination and commitment levels are much more important for learning to think strategically than any one particular cultural frame.

Everyone can learn to think more strategically

Although it is a surprisingly pervasive belief in corporate corner offices, and in executive development circles, believing that someone may be unable to think strategically just because she or he comes from a certain culture is a myth. Once again, I emphasize that culture is simply one factor that influences our learning experience. There is a beauty to experience that transcends culture – it can be broadened, deepened, acquired, and transferred over the course of our entire life.

SCENARIO

Abo was a fiercely determined, strategically successful African tribal leader who was also illiterate due to sustained and dire economic, political, and social circumstances. His country had the good fortune of his being appointed to a government ministerial post as part of a nation-building process that was being instituted. I had the great pleasure of being invited to work on strategy development with the various government ministers and was told it would probably be easier for me if I just politely ignored Abo, because it would be impossible for him to fathom strategic thinking, but I found his contributions to be original, his questions to be insightful, and his wit to be irresistible – he was an experienced (and perhaps a natural) strategist.

Despite my modest expectations, this man tested my beliefs about learning strategic thinking – heretofore, illiteracy had not been part of my strategic development experience. Abo, it turned out, was very adept at using the informal learning process in the same way as literate corporate executives. He methodically gathered and analyzed massive amounts of information from diverse sources, humbly acknowledging that much of it was incomplete and inaccurate. He was not at all hesitant to ask focused questions that exposed underlying complexity and contradictions.

It quickly became apparent that he had a thinking habit that was admirable and inspiring to other government ministers. He asked critical questions to test the motives and beliefs of himself and anybody else in attendance. His probes were insightful and provocative, and they tested for implications and consequences that were broadly based. He dutifully tested and retested his own and others' viewpoints, and he claimed that his feisty nature was a result of being doubtful, curious, and eternally hopeful – not dissimilar to those descriptors put forth by the ancient Greeks that included dealing with seeming polarities. This combination compelled him “to fight for what I know in my heart is

right.” He was an incredible problem solver with an ability to make connections between seemingly unrelated matters in the hope of sowing the seeds of new possibilities.

Abo was a highly experienced strategic thinker who simply didn't read or write. He was thinking at very deep levels and had extraordinary critical reflection capability. When he spoke, his words were artful and profound, and he had developed a talent for transferring learning across various contexts. With ease and pleasure he used his learning experiences in the wartime and peacetime villages and mountains to draw analogies and metaphors for the new government challenges – his storytelling was riveting. It was as if he had years of experience in dealing with members of the new parliament and international agencies, because his intuition was honed in his prior experiences. He was very wise in the ways of politics, such that none of these strategic policy problems was new to him; only the context had changed.

In addition to further developing his strategic thinking strengths, he chose to focus development on the flip side of the strategy-making coin – building his linear, logical cognitive abilities such as sequencing information and understanding the logic of cause and effect – necessary skills for strategic planning. He also jumped at the chance to enroll in a literacy program to make up for lost time.

Admittedly, this is an extreme example, but only because I point it out as exceptional. Cases similar to this (e.g., illiteracy, dyslexia, autism, and speech, hearing, and physical disabilities) abound in organizations and in communities around the globe. My point is twofold. The first point is that we can all learn to further develop the critical reflective processes that are essential to strategic thinking. The second point is that we need to be aware that our own cultural frames can limit our ability to see strategic thinking talent, because talent may not fit the pattern of what we believe it should look like. Based on her study of entrepreneurs and strategic thinking, Croatian professor Lara Jelenc concludes that “there are many myths and interpretations of its meaning . . . largely due to the problem of articulating the cognitive character of strategic thinking.”⁹

Understanding the five attributes (see Chapter 16) and the informal learning process (see Chapter 5) inherent to strategic thinking is critical if we aspire to develop others and ourselves. Simply bringing together a group of highly intelligent or well-educated people is insufficient for strategic thinking to occur. Strategic thinking requires a mutual understanding among people about the strategic intent and an awareness of the process involved to achieve that intent. This learning process is dependent on a high capacity for meaningful critical reflection, trusted intuition, and substantial critical dialogue, all balanced with meticulous analytical skills among the people involved. Strategic capacity building requires that this multifaceted process become embedded in the organization's culture.

9 Jelenc, “The Impact of Strategic Management Schools and Strategic Thinking on the Performance of Croatian Entrepreneurial Practice,” 28.

The following seven suggestions are useful for introducing strategic thinking across socio-national cultures:

- 1 *Clarify intent.* Is the aim to develop strategic thinking or strategic planning? We need both, and the cognitive clusters need to be complementary functions in order to achieve a winning strategy. Learning is easier if a clear focus is articulated.
- 2 *Pick and choose broadly and encourage self-selection.* Not everybody in an organization needs to be a strategic thinker. Although reflective processes can be developed to varying degrees, we also need strategic planners – especially if an excellent strategy has a prayer of being successfully implemented. Offer information about developing strategic thinking to everyone with strategic responsibility, but allow people to self-select initially, in order to create role models and momentum.
- 3 *Give permission to use a deeper dive level of learning,* which includes the critical reflective processes of inquiry, challenge, reflection, and testing.
- 4 *Provide an abundance of information about the strategic thinking learning process up front.* This creates a foundation for trusting the process and encourages self-directed learning.
- 5 *Use an informal development process,* such as coaching or mentoring, and be patient with the timeframe that may be needed. Don't pressure people to see results – remember, this is an informal learning process. Focus instead on including and practicing critical inquiry in daily business tasks and increasing the critical dialogue on day-to-day issues. Much of the learning process may be invisible, and much of the early learning may be incidental (i.e., trusting senior leadership, trusting the critical reflective process, trusting changed relationships, and so on).
- 6 *Don't assume.* Clarify what you know and what others know; what you *do not* know and what others do not know; and what others might know.
- 7 *Avoid using "culture" as an excuse* for not developing strategic thinkers in every area of the world. The informal learning process and attributes required are of a human, not cultural, nature.

In summary, it is helpful to understand what influences the way we frame our experiences as well as the assumptions and beliefs that we hold about strategy issues. We must understand the culture into which the learning framework fits. Learning to shatter and reframe beliefs that are culturally influenced must occur in order to learn to think strategically. Admittedly, this shattering and reframing can be more or less challenging from one culture to the next, but it is part of human adaptation and thought innovation. It can be learned, and it is inclusive of all cultures.

Debunking the myth of the chosen few: Five attributes

Luckily, and despite many implied messages about strategic thinking being a reserve of the chosen few, strategic thinking is indeed learnable. Is it teachable? Perhaps not directly, but it is learnable. A look at the five critical attributes of successful strategic thinkers can help debunk this pervasive myth of the chosen few. In this chapter, the role of culture and strategic thinking are linked through a discussion of the five attributes – they are human capabilities, universal in nature, and they reside within every socio-national culture. They are not the domain of a chosen few. Learning to think strategically is a global leadership imperative, and the following five attributes construct a bridge across cultures, once we know what it is and how we learn it.

As mentioned in Chapter 14, culture is often mistakenly blamed for an absence of strategic thinkers in various countries. But the following five are universal attributes possessed by successful strategic thinkers – irrespective of their socio-national culture. Although culture certainly influences the experience with and exposure to the five attributes, they can be learned if and when the cultural barriers are crossed.

The temptation to accept a myth about who can learn to think strategically is understandable in a strategy environment that is overloaded with complexities, contradictions, and confusion. A myth, after all, controls the possibility of conflicting evidence – myths help us to make meaning of conflict and ambivalence.

With regard to strategic thinking, four reasons propagate the myth of the *chosen few* – those who do think strategically. First, overuse of the term *strategy*. Without a clear definition of strategic thinking or a distinction between strategic planning and strategic thinking, we easily create, and get caught in, confusion.

Second, strategy is generally talked about as something we get to make when we become (more) important. Not being a strategic thinker is a well-known, sacrosanct excuse used to prevent people from promotion. So surely, those who make strategy must be among the chosen few.

Third, we recall the capstone strategy courses in most business school curricula and the tip of the triangle in corporate strategy structure. Both imply elitism

and perpetuate illusions of grandeur. Criteria for entry remain implicit and mostly vague, so we are left with the impression that whatever is required of strategists, we somehow lack. This serves to reinforce the myth of the chosen few. In truth, most of what occurs in the strategy meetings of these elite pockets of organizational power bears little resemblance to strategic thinking – it is mostly about strategic planning. So, it's a bottle that hasn't been uncorked, a party that hasn't happened!

The fourth myth is that successful strategy is deceptively simple. It either works or it doesn't. This myth deludes us into believing that making strategy is about the luck or magic of those clever chosen few. However, the underlying thinking process is mostly informal, invisible, and not well understood.

To dispel these deeply held and widely believed myths is not easy. If, however, we understand the attributes that support the learning process involved in strategic thinking, we can begin to imagine ways to develop our capacity to learn to think strategically.

The following five attributes identified by seasoned and successful strategists as being critical to learning to think strategically are as follows:

- Having a vivid *imagination*
- Keeping a *broad perspective*
- Being able to *juggle*, or attend to competing, incomplete, and inaccurate information all at once
- Dealing with things over which you have *no control*
- Possessing an adamant and relentless *desire to win*

Irrespective of culture, industry, and age, leaders who are conceptual, divergent, nonlinear, and intuitive thinkers tend to have a natural inclination toward strategic thinking. By the same token, concrete, linear, analytical thinkers tend to have a natural edge in strategic planning. As with any highly complex and high-stakes endeavor, there are those who have a natural propensity for strategic thinking and those who may find it challenging. However, a challenge can be overcome, and a natural inclination is only a temporary advantage.

Personal cognitive capabilities need to be respected, and differences should be perceived as complementary to and compatible with the strategic thinking process. In other words, concrete, linear, analytical thinkers can most certainly learn to become more conceptual, critically reflective, intuitive, and a-rational – though they may squeal from time to time. Conceptual, intuitive thinkers can, likewise, learn to become more linear, logical, and rational – though they, too, may squawk at times.

Everyone is capable of improving and developing the five essential attributes, to varying degrees. Because of this potential, organizational leaders must ensure that everyone within an organization has access to resources that support the learning process used for strategic thinking through:

- Information about the strategic thinking process
- Opportunities to observe critical dialogue among senior leaders

- Practice through participation in critical dialogue regarding strategic issues
- Encouragement to engage in creative endeavors
- Engagement in the critical reflective processes

With such exposure and learning expectations, some natural strategic thinkers will emerge from the shadows, creating a first segment of the pipeline. Skillful planners who wish to strengthen their strategic thinking capacity will also come forth, creating another segment to the pipeline. From there, interest is generated and others tend to be attracted and drawn into the pipeline.

Having worked with both accomplished and aspiring strategists, I contend that genuine strategic thinking growth is largely about making sure that people understand what is required for learning to think strategically and allowing them to take the lead in their own learning. This learning process differs dramatically from one person to another.

Once strategists understand the learning process that underlies strategic thinking, they can and do come up with their own best ideas and approaches to support the development of the five attributes and critical reflective processes. When aspiring strategists lead the learning process, their commitment to wrestling with entrenched habits of mind, identifying patterns, and taking the risk to trust some informal learning increases considerably.

The aim is not to create a strategic thinking campaign but, rather, to create a pipeline of strategic thinkers across functions and at all levels within an organization, for competitive purposes.

Importantly, not every person in an organization needs to be a strategic thinker. The aim is not to create a strategic thinking campaign but, rather, to create a pipeline of strategic thinkers across functions and at all levels within an organization, for competitive purposes. Rest assured that each of the following attributes can be developed to some level of mastery through discipline, determination, and practice.

The executives whom I interviewed for the research underlying this book were asked to describe what they paid attention to when making good strategy and what was the most essential requirement for thinking strategically. I expected that the executives' different backgrounds might generate different attributes that they considered essential to learning to think strategically. But I was surprised to find that the five attributes presented here were consistently and emphatically articulated: a vivid imagination, broad perspective, being able to juggle, the ability to deal with things over which you have no control, and an adamant desire to win.¹

1 Sloan, "A Case Study of How Nine Executives Learn Informally to Develop Strategy in a Global Context."

These five attributes are not arranged in order of importance, since they are all equally essential to learning to think strategically and are synergistic.

Imagination

The eyes are the window to your soul.

– William Shakespeare (1564–1616), English poet, actor, and playwright

Activating our imagination is a critical factor for learning to think strategically. Dealing only with information or linear matter is insufficient. One of the Japanese financial executives in the study stated:

To start, I have an idea or a problem. As I become aware, I usually start to ask questions, and, of course, then my imagination begins to act. (leans forward, talks very quickly and gradually louder) And depending on what I do about it, I can get into trouble (laughter) or have some fun! You know, imagination is, I will say to you, a very, very important part of good strategy making. This is probably the best part, and it is necessary to enjoy it – to spend time with your imagination! (smiles, sits back) I think it's a big mistake not to include imagination [in making strategy]. It is something that happens inside – and can happen anywhere. You know, other people tend to ruin this part, so I do it privately and don't tell anybody it's happening! (laughter)

A Polish senior manufacturing executive also explained the importance of imagination in making strategy:

You must always try to imagine what else or how else things could be. Imagination! This is something nobody talks about in strategy sessions; maybe they think it's not so serious or sophisticated. Or maybe it is that you cannot buy it. (laughter) But it's the jewel nobody expects in the pauper's attic.

One American executive stated: “A really important part of making good strategy is being able to imagine things. You can't just work with facts and data. Your mind and imagination have to kick in if you're going to be any good.”

The CFO of the technology company concurred with other successful strategists in the study: “Your imagination kicks into high gear, you read everything and talk with everybody – no stone goes unturned; you keep rolling them around.”

Strategic thinking requires the cognitive duo of divergent and deep-dive thinking. Divergent thinking helps us break mental habits, see new patterns, and imagine possible connections. Deep-dive thinking involves having continuous and meaningful internal conversations that are critically reflective, and having external conversations that are insightful and challenging – conversations with others that

focus on data, experience, and insight that stretch our frames and expose us to other possibilities of knowing.

Occasionally, some of my business clients lump creativity and intuition together. These aspiring strategists assume, mistakenly, that if they focus on developing creativity they will automatically improve their intuitive judgment. Unfortunately, the two do not always function well together. Creativity comes from combining different, seemingly unrelated, dimensions of experience. Creativity, by definition, is not tied to our past experiences, whereas intuition is a by-product of patterns we have previously experienced. Therefore, an intuitive approach to creativity may rely on previous experience, but it also transcends that experience.²

*Creativity comes from combining different,
seemingly unrelated, dimensions of experience.*

We know that successful strategists delight in using their imagination when thinking strategically and that we all have the capability of transferring learning from one context to another.³ This transfer of learning is an essential part of the imagination that is so vital to strategic thinking; we need to know it and trust it in order to leverage it for strategic advantage.

One of the most perplexing problems regarding strategic thinking is that we treat business and creativity as if they do not belong together. The reality is that they do. They only seem like odd partners because we assume their opposition and position them as such. Within this framework, we feel compelled to pick one or the other; but for businesses to thrive in a competitive global economy, by way of sustainable strategic capability, it is imperative to see them as complementary.

Ironically, at a time when innovative strategic thinking is among the most pressing concerns, business schools are upping the ante on analysis, with the serious intent of churning out people who will make innovative strategy. To return to an earlier metaphor, using only analysis to create innovative strategy is like hoping to fish while heading to the desert.

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² Hogarth, *Educating Intuition*.

³ Sloan, "A Case Study of How Nine Executives Learn Informally to Develop Strategy in a Global Context."

If strategic innovation is what business schools wish to cultivate, then students would be much better off engaging in photography, painting, design, or perhaps guitar or piano lessons in order to “know” creativity. These outlets will contribute substantially to their long-term ability to create innovative strategy, simply because they will have first-hand creative experience on which to draw. Creation is a generative process. Creativity is about combining the original and the new. Unfortunately, the resultant tension that launches divergent thinking drives many aspiring strategic thinkers to halt the creative process and return to their prior habits of mind and same-frame thinking. This serves only to perpetuate and preserve the existing organizational frames and habits of mind. Our formal and conventional education, paradoxically, teaches us that when we feel this sort of tension, the appropriate solution is to frame the situation as a “problem.” We are often guided to select one approach or another. By remaining in this traditional frame of problem solving and eliminating tension, we stop short of ever progressing in the creative thinking process. The tension that is provoked by the contradiction and opposing mindset is merely a signal inviting us to move through the situation by using the divergent AND thinking process, rather than “either/or” thinking (see Chapter 17).

It is fascinating to me that although the core business of any successful company depends on its ability to re-create innovative strategy, the creative people are often left out of strategy meetings. They tend to be excluded from a process that is dependent on their greatest asset, creativity. We often assume that truly creative people do not know the “business” side. What then, would happen if we excluded financial experts from the strategy meeting because we assumed they did not know the “creative” side of the business? Truly creative people often report that they feel sidelined or disconnected from the business. Furthermore, in many businesses there is an aversion to the word “creative,” and yet innovative thinking is not possible without it.

The strategic thinking process requires the inclusion of those individuals who hold very different perspectives and experiences to help challenge, test, and refine the underlying frames and assumptions that support current business strategy. Also, innovative strategic thinking requires an understanding that shattering and reframing are part of the divergent and creative process needed for strategic success.

In order to develop innovative strategy, the role of imagination must be acknowledged, celebrated, and integrated into the strategic thinking process. At a time when companies say they are desperate to have a more innovative strategy, their daily decisions often undermine them and prevent them from moving in that direction.

Broad perspective

*If the doors of perception were cleansed,
everything would appear as it truly is, infinite.*

– William Blake (1757–1827), English poet and artist

The second attribute is the ability to see a situation from a broad perspective. This attribute has two parts: (1) to literally “see” the strategic problem from a bird’s-eye perspective and in panoramic view; and (2) to draw on a vast and diverse range of frames and points of view. The executives who were interviewed maintained that the ability to see things from a broad perspective is crucial because this view allows them to see many things at the same time and to begin to imagine seeing things differently – both as they are and as they might be. When asked how he broadens his perspective, an American technology executive explained:

I just talk to people, trying to hear about their experiences . . . all kinds of people. That’s what you realize about strategy and why I like making strategy. If you want to develop a big picture or see a big picture, you need to talk to people. I mean everywhere you go, in the market line, at the beach, at the movies – even at my parents’ house, flying, you name it. Wherever there are people, somebody’s willing to talk. If you listen to all of them and pull back, way back, you start to see things more broadly. You have to look at the picture differently though; when you look at the whole picture, you can figure out how strange things actually fit in – and your options explode.

Interestingly, the executives often referred to developing a broad perspective and expanding critical dialogue within the same thought. They claimed that talking to a vast and diverse range of people on a regular basis helped them develop their capacity for broad perspective. They also implied that critical dialogue led them to a broader perspective.

An international cybersecurity executive who also happens to be a hot air balloon pilot once told me that he does not just think strategically while he is flying his balloon, but that he is using all his balloon-flying strategies in his business life. He explained:

When I compete in a hot air balloon race, I try to find the wind blowing in the right direction. I position my balloon at the highest point above the other balloons and patiently watch the balloons below . . . who is catching the wind; at what height and in what direction are they moving, and then I make a decision – I see a balloon going in the direction that I need, I descend, and follow this balloon. I apply this same strategy to my business.

If you want to be competitive, you must find a way to take a step back to go to the highest point . . . then look at what happens below – in the market, in your region, or in your industry. Take a deep breath, gather as much information as possible, talk to everybody all the time, not just a few people during one time of the year. Sure, there is a big element of risk. But strategy is all about risk; and this is worth the risk. There is a danger of losing momentum and time while the competition is charging ahead. But for me, the value of taking time to assess the situation from the highest vantage

point, to carefully observe your competition, is well worth the risk. For me, it's better than frantically going up and down, randomly searching for the wind blowing in the right direction to take me to my destination.

A Chinese executive said: "I like to look broadly at things and imagine what they might look like in different arrangements – and this is really important, I believe, for making strategy." After reflecting on the question of the most essential requirement for thinking strategically, an American financial executive responded:

You know, another thing I guess I'd say is perspective. That's why you've got to get out and talk to people – it broadens your perspective. And that's what strategy, or good strategy, is all about. (pause) The best vantage point is from the highest point – that bird's-eye view.

The technology CFO from Hong Kong explained:

I like to see the big picture – that's why I like making strategy. Even though it is difficult to do, you must make it a habit to talk to many people, about every issue. This is how you get the broad perspective that you need to make successful strategy.

The CEO of a financial company commented that one of the most important reasons to broaden perspective is "to improve your way of thinking. So get to the highest point, to get the best broad view. That's the best way to improve thinking because you see things differently, and then you have more possibilities for thinking."

The most successful way these strategists broadened their perspective was by diversifying and expanding their interactions and contacts, because expanding them forced the executives to challenge their frameworks and to see and imagine other patterns. Interestingly, nearly all of the executives interviewed attributed their experience of living and working outside their home country to broadening their perspective in ways that nothing else could. Although not everyone tasked with making strategy can or will choose to live and work in another country, going outside our comfort zone is enormously beneficial, and breaking with the familiar is a means to broadening our perspective.

Social scientists Susan Weil and Ian McGill maintain that "a person or organization which knows only their own village will not understand it. It is through dialogue across villages that we are enabled to consider what we intend and what we do from new perspectives."⁴ This perspective suggests an experiential link to an expanded perspective.

These executives had an extensive capacity to shift between rational thinking and a-rational thinking, and an uncanny ability to see connections and create

4 Quoted in Boud and Garrick, *Understanding Learning at Work*, 221.

synergies among seemingly unrelated things. Making these connections is the essence of creativity and is necessary for taking a broad perspective.

Juggle

A fool thinks himself to be wise, but a wise man knows himself to be a fool.

– William Shakespeare (1564–1616), English poet, actor, and playwright

The third essential attribute is the ability to comprehend many things at once, specifically being able to deal with incomplete and inconsistent information, inaccurate data, and information in flux. This attribute is among the biggest challenges for global strategists.

The ability to see and to work with opposing relations and paradoxes is indeed an attribute identified by effective strategists as a requirement for strategic thinking – as opposed to planning, where the ability to eliminate paradoxes and ambivalence is required.

A technology executive in the study responded to the question about what he pays attention to and what is essential for learning to think strategically by exclaiming:

Learn to juggle! [You're] bombarded with tons of information and data, especially about economics and political processes . . . and it changes all the time. [You] need to start thinking about how everything affects everything else. You juggle in your mind – that's how you're able to deal with so many unknowns and unpredictable things.

Juggling is about far more than multi-tasking. In his seminal work that challenged the rational model of decision making, Nobel Prize winner Daniel Kahneman noted:

Like a juggler with several balls in the air, you cannot afford to slow down; the rate at which material decays in memory forces the pace, driving you to refresh and rehearse information before it is lost. Any task that requires you to keep several ideas in mind at the same time has the same hurried character. Unless you have the good fortune of a capacious working memory, you

*may be forced to work uncomfortably hard. The most effortful forms of slow thinking are those that require you to think fast.*⁵

This juggling attribute is in stark contrast to the prioritization and reductionist thinking required of strategic planning. Strategic thinking demands that we see and work with opposing relations and paradoxes, whereas strategic planning requires us to eliminate paradoxes and areas of ambiguity. Sometimes, juggling can feel awkward or downright overwhelming. A Polish manufacturing CEO quipped: “It is very easy to gather information. Most of it is of no use – or it is not true – it is incomplete always! (pause) You must know this and treat it like you carry hot potatoes!” A technology company executive emphatically stated:

The importance of filtering and figuring out ways to use tons and tons of information, most of it incomplete and inconsistent, is a must. If you can’t work with a lot of incomplete or contradictory information, you’ll never be a good strategist. If you can and you enjoy it, and you’re driven, then you have a chance.

In describing what he pays particular attention to when making strategy, one of the Japanese financial executives said:

I pay attention to everything all at once. (laughter) It’s not good to separate or categorize things when you make strategy – everything must be included and you must figure out a way to think like this if you want to win. If you practice, at first it will look [like] a blur. Then you must keep step[ping] back until you either see something you recognize, or maybe you will see the whole as a new idea. (pause, followed by a big breath) That is how to make sense of too much information! And you must never trust it [information].

The country manager of a pharmaceutical division covering a remote area of South-east Asia smiled and shook his head as he read his job description aloud: “responsible for corporate compliance and making strategy.” Laughing, he described it as “inhaling and exhaling at the same time!” And he’s right. On the one hand, he is responsible for enforcing compliance with myriad corporate, industry, and country regulations, rules, and meticulous procedures – tasks requiring extreme convergent thinking. On the other hand, he is expected to come up with a successful, sustainable, adaptable, and innovative strategy in an unbelievably competitive market – a charge requiring divergent and intuitive thinking. An ability to juggle the competing strategic demands and to fully use the complex cognitive cluster is a reality of thinking in a global business strategy environment.

The pharmaceutical executive juggles an everyday strategic challenge of being responsible for compliance (where the role is to ensure that others remain within

5 Kahneman, *Thinking, Fast and Slow*, 37.

the existing framework) and also being responsible for strategic thinking (where the role is to move beyond the current framework). This example demonstrates one of the great juggling challenges for global executives, because monitoring compliance and thinking strategically require drawing on very different cognitive clusters.

No control over

Anyone can hold the helm when the sea is calm.

– Maxim 358, by Publicius Syrus (first century BC)

The fourth attribute is the ability to deal with things over which we have no control. A Japanese financial executive explained:

I'd say always prepare for the unexpected – you never know. But you'd better plan for a lot of them – things you never expected – they'll be there! (moves forward, talks faster) And I'd say to pay attention to what you can't control. (sits back in chair, talks louder, and gestures with hands) This is backwards from what they teach you in all these courses and books, but it's what I think from my own experience.

The American financial company executive reminded us of the following:

The world is full of the unpredictable, and these are the things that make or break business strategy. You need to be on top of these unpredictable things, get comfortable thinking about them. (moves forward, puts both hands on the tabletop) When you're talking about developing a good strategy in this kind of a merger-and-acquisition environment, you can't waste your time on things you can control – you'd better spend it thinking about what you can't control.

One of the Polish executives put it another way:

We must think about what we don't know and expect the worst always. And it's no use having a party about what you now control, because you don't know tomorrow. Control is only in our imagination. If you think in this way, you will ask good questions.

This attitude was shared by a German manufacturing company executive, who explained: “We need to think about everything, especially the things we don't have any power or control over. These are the things we must include in good strategic thinking.”

A Japanese executive commented: “Thinking about strategy is not so predictable – and it is pain[ful]. I must work mostly with unknown information, many missing pieces . . . but always think about the big picture.”

To underscore the importance of being able to deal with things you cannot control when making strategy, an American executive declared: “You’re driven to find ways to overcome the unpredictable and changing obstacles and disasters, things you’re totally dependent on yet have absolutely no control over.”

Contrary to what is taught in many formal strategic planning courses, the executives in this study indicated overwhelmingly that, for strategic thinking, it is critical to pay attention to what they could *not* control, rather than to focus on what they could control. This appears to have been a result of their personal experience. For example, a Danish executive who was also a ceramicist mentioned his metaphor of clay – that he cannot control the physical properties of clay; they are what they are. Yet, when working with clay, he pays close attention to these things over which he has no control, in order to work *with* these events.

Interestingly, the executives viewed their lack of control as a kind of tool for leveraging risk. The elements of risk and fear were referenced throughout the interviews by all of the executives as an emotional motivator for learning to make strategy. Also, risk and fear contributed to the executives’ incidental learning, particularly about not trusting sources of data, which conversely led them to trust themselves. They learned to *reframe* situations to enable themselves to see new opportunities and to think and trust a-rational and intuitive thinking in situations over which they had no control.

Perhaps this attribute of dealing with things over which we have no control helps explain why these successful strategists thrive on a high level of challenge and why they identified the ability to deal with things over which they have no control as being one of the five essential attributes for making strategy. This ability – to deal with things over which they had no control – appealed to and tested the executives’ competitive drive and strengthened their desire to win. Things over which they had no control offered challenge, which in turn offered meaningful learning, which eventually led to successful strategic thinking. The factor of fear was a motivator, and they learned incidentally to value negative experiences as being important to the learning process. This learning experience allowed them to take risks with decisions over which they had no control. Through their experience, they learned that negative factors were really just challenges for them to overcome in order to win.

Recent research shows that tension is created when we deal with decisions that include constantly changing and unknown variables. As a result of his studies, Daniel Kahneman pointed out that “inconsistencies reduce the ease of our thoughts and the clarity of our feelings.”⁶ In tough situations, successful strategists act as if they have already won, because they do not believe they can lose – akin to what poet Rainer Maria Rilke penned: “Follow your fear.”

6 Kahneman, *Thinking, Fast and Slow*, 200.

The strategists whom I interviewed experienced the great power that came with releasing the very thing that shamed them, and they converted their source of fear into a source of pride. Their conversion was possible because of their uncompromising desire to win. For these executives, the element of risk enticed them and played to their competitive nature. Learning to deal with things over which they have no control seemed to give them a competitive advantage. If everyone has access to the same data, paying attention to what they do not know or cannot control requires imagination in order to devise a winning outcome.

Desire to win

The lion cannot protect himself from traps, and the fox cannot defend himself from wolves. One must therefore be a fox to recognize traps and a lion to frighten wolves.

– Niccolò Machiavelli (1469–1527), Italian diplomat, historian, politician, and poet

The fifth and final critical attribute is a strong, relentless desire to win. This is the passion and conviction behind all strategic change. For the executives with whom I spoke, the element of competition influenced strongly their ability to learn to think strategically. In response to the question “What has allowed you to be successful in making strategy when others have not been?” the CFO of a financial company instantaneously replied: “I like to be ahead of everybody else. If you don’t have that drive, you’re not the one to make strategy – it won’t be strong or good enough.”

The Polish manufacturing CEO emphasized that in order to be successful in making strategy, “You must be determined to win, have a fighting spirit.” He explained: “Making good strategy – it’s about figuring out how to win – this compelling need to get things right, perfect, or win. It’s mandatory to good strategy making. Without it, you’re simply making plans.”

New strategies can emerge from competition, confusion, and confrontation, as these create a necessary tension. Without it, innovative strategy can never proceed.

In response to a question about what has allowed him to be successful in making strategy when others have not been, the American CEO of the technology company exclaimed:

The stakes are too high to not win. You’ve got to win. You’d better be able to take risks, be extremely well informed, and always build in backups. (pause) And you’d better win. (grin) Sometimes it doesn’t seem like work – it’s more like a game (laughter) – and we want to win. We must win!

The German manufacturing executive stated succinctly: “I like to win. I like the challenge of the game. And when you run one of the world’s best textile companies, you must win, or you lose. It’s simple.”

A Japanese financial executive confessed sheepishly: “I am very stubborn, (*laughter*) or at least everyone says this about me – so maybe it’s true. It must be this way if I want to make good strategy. I don’t lose!”

The desire to win was a strong undercurrent in the thinking of all the successful strategists whom I interviewed. This will to win was one area where they seemed to make a definitive case for black or white – they either win or they lose. Repeatedly asking themselves, “Am I playing to win — or not to lose?”. A strong argument could be made that having an intense desire to win had attracted these executives to a highly competitive business environment in the first place, but their relentless perpetuation of competition is what is remarkable. This drive to win is precisely what enabled them to excel and thrive in a competitive environment and earn their reputations as successful strategists.

A passion and determination to survive and thrive connects all five of the attributes, in that it is the primary motivator for learning to make a winning strategy. A compelling desire to win can reframe reality. This after all, made Lady Macbeth the most powerful woman in Scotland. She created the future because she alone demonstrated the greatest desire, and everyone in Shakespeare’s *Macbeth* followed her agenda before their own.

Interplay of the five attributes

The combination of this particular set of five attributes supports the critical reflective processes and the divergent and deep-dive dimensions that are required of the informal strategic learning model presented in Chapter 5. Different combinations of the five attributes, in a simultaneous interplay, are used during each of the three stages: preparation, experience, and reevaluation.

I would argue that the set of five attributes establishes a mental precondition conducive to engaging in the reflective processes and that the routine use of the critical reflective process model fosters the set of five attributes – in a cyclical and generative way. As a result, paying close attention to and developing the five attributes is an important aspect of developing the cognitive cluster used in learning to think strategically (see Chapter 4).

Although the specific interplay of these attributes is different for each individual, collectively they are essential to learning to think strategically. A compelling and fierce desire to win can propel the critical reflective process. A vivid and active imagination generates curiosity and creativity in the reflective process. The quest for broad perspective is enhanced by both a desire to win and imagination, offering the individual a perpetual array of new possibilities that requires continuous testing. The ability to juggle, to constructively deal with many conflicting things at once, invites challenge and tension to the reflective process, especially when it is

combined with the ability to constructively deal with things over which we have no control.

Interestingly, while there is a strong interplay among the five attributes, the nature of the five attributes is paradoxical. Just as their interplay is essential to strategic thinking, they can also lead strategists to frustration, obsession, and anxiety. Yet, according to the executives I interviewed, the five attributes are also the very means by which they overcome this tension. In other words, the five attributes are both the affliction and the antidote.

For example, the Japanese financial CEO explained that in his quest to achieve a broader perspective, he felt overwhelmed and desperate by having to attend to so many things over which he had no control. He expressed tremendous feelings of angst when attempting to balance competing feelings of trying, on the one hand, to unleash his creativity and, on the other hand, to rein in his imagination. He expressed distress at having to monitor his nearly compulsive desire to win. Yet he did not ascribe a negative connotation to the descriptors he used (i.e., “frustration,” “overwhelmed,” “distressed”), but instead, gave these descriptors a positive connotation – he became animated and energized as he recalled numerous such experiences. Instead of succumbing to this unease, the tension created as a result of the interplay among these attributes motivated and challenged him. They propelled him in his pursuit of making strategy.

The executives regarded situations that could easily have been considered detrimental to making strategy as an opportunity to exercise imagination. Frequently, they used reflection in action to reframe the circumstance as an opportunity for a win. In this sense, being able to engage the attribute of imagination functioned as a motivator because the executives could create options and alternatives to gain a competitive advantage. According to their descriptions, the executives regarded having their imagination challenged as a kind of sport or game that was fueled by their desire to win.

Storytelling as a technique for attributes integration

The deeper dive learning domain is used extensively to connect the attributes to one another. Storytelling, metaphor, dialogue, discussion, and debate are communicative learning techniques favored by many successful strategists, not only to inspire creativity and to stimulate their imagination, but also to build, sustain, and connect the five attributes. Storytelling creates a means by which they could deal with things over which they had no control, and provided a reference point for testing subsequent experiences, and a means of sharing information. Interestingly, stories created in the form of complex metaphors, parables, and analogies were commonly described as a way of transferring strategic learning across contexts.

Because storytelling is reflective in nature, many of the strategists with whom I spoke indicated that they received more knowledge by putting the information and deeper insight into a story context than by exchanging facts. They tended to

use this technique to challenge their assumptions and reflect both in and on action. This is congruent with informal learning, suggesting that “only after a chance encounter, random events and circumstances do people construct a logical story to explain their learning to themselves and others.”⁷

A story can serve as an impetus for gathering data. For example, a small factual detail is brought to light in the telling of a story, making the listener realize that this detail could be crucial. This realization prompts an inquiry for more information from a variety of sources. Or, a story may serve to broaden and deepen the data by providing context. A German manufacturing executive explained how:

We just like to come together and talk about what we read – it seems we all read different things – and of course we also read the same publications. And we tell stories, a lot of stories about different scenarios. It’s better than just talking all the time. I think storytelling elevates my thinking.

Curiously, storytelling can also be used as a kind of testing tool. Several of the strategists highlighted how stories can change in the telling, even while the facts of the circumstances of the story remain constant. Have you ever noticed how the story of a major business success changes depending on when the story is told? For example, within minutes of an announcement, six months later, or 12 years later? Who the audience is (e.g., a news commentator, your kids, a recruiter, a new hire, your rival), how often it has been told, and who tells it all change the story. The more it is told, the more it is tested. The first telling of any story is likely to be quite different in its description of details, the sequence, the pace, and so on than subsequent versions of the same story.

The ability to continually add layers of context and color is an inherent strength of storytelling of a strategic issue and, because stories change all the time, they allow strategists to continually use their imagination to combine information and try out various scenarios with their colleagues. The hypothetical scenarios served to engage the executives in reflection in action. As they presented a story, they received a flurry of reactions, questions, and new data that challenged the original story. Reflection occurred, followed by revisions to the story; subsequently, either part of the story was retold or a brand-new story emerged. More questioning followed, leading to more information, and eventually more reflection – and so the cycle continued.

In my research, storytelling repeatedly surfaced as a method for refining thinking about strategy. By drawing on each other’s thinking and hearing others’ stories, the executives were able to frame and reframe situations by putting things into a broader perspective and, therefore, to view situations, variables, and options differently. In this sense, the executives appeared to use what is sometimes called

7 Marsick and Volpe, *Informal Learning on the Job: Advances in Developing Human Resources*, 7.

a symbolic frame,⁸ which is effective in ambiguous or uncertain circumstances where roles, relationships, and goals are unclear.

The executives in the study were acutely aware that they were tasked with making global strategy within a chaotic environment, and storytelling allowed them to create symbols, which helped generate hypothetical scenarios that minimized some of the unpredictability. “The symbolic frame considers the roles of myths, symbols, stories, . . . actors, rituals, ceremonies, humor, play, and metaphors in organizational life.”⁹ The strategists in this study perceived a disorderly and confused environment as a challenge to advance their strategic agenda, and storytelling served as an effective communication technique for clarification and unification to this end.

Practicing the combination of five attributes is important to strengthening the cognitive cluster that we use when learning to think strategically. A compelling and fierce desire to win propels the reflective processes. A vivid and active imagination generates curiosity and creativity in the reflective process. The quest for broad perspective is enhanced by both a desire to win and imagination, offering the individual a perpetual array of new possibilities that require continuous testing. The ability to juggle, to constructively deal with many things at once, invites challenge and tension to the reflective process when it is combined with the ability to constructively deal with things over which one has no control. The specific combination of attributes involved is not the same every time, but the interplay of these attributes is consistently used when we engage in strategic thinking.

8 Bolman and Deal, *Reframing Organizations: Artistry, Choice, and Leadership*.

9 Marsick and Volpe, *Informal Learning on the Job: Advances in Developing Human Resources*, 85.



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Part 6

Summary and questions

Although socio-national culture structures do indeed influence our habits, mindsets, pattern recognition, and frames of reference, they are not the primary factors in learning to think strategically. The capacity to think strategically is driven by the informal human learning process, and it is identical across countries and cultures. If, however, we are unaware of the informal processes that exist at a level that supersedes culture and that underlies strategic thinking, culture can easily become the culprit for a perceived absence of strategic thinkers.

Too often, in cross-cultural strategy settings, information is missed, frames are omitted and ignored, attributions are made, and key mindsets are overlooked. Critical reflection, critical inquiry, and critical dialogue are imperative to determine the limits of what we know at the start of the strategic thinking process when developing a global strategy.

The pronounced hierarchy that is inherent in some cultures can stifle strategic thinking and must be acknowledged to effectively implement strategic thinking practices. In many cases, it is helpful for an organization's senior leaders to promote the idea of strategic thinking and to model critical reflective processes in order to generate acceptance of strategic thinking practices within their company.

To introduce strategic thinking across different cultures, it can be useful to clarify the purpose, choose contributors to the strategic thinking process who represent broad backgrounds, and to encourage people to self-select into strategic thinking sessions. It is also helpful to solicit employees at all levels and within all functions to participate various aspects of strategic thinking.

Strategic thinking requires more than a roomful of the smartest people. It requires people who understand the intent and the process of strategic thinking within the broader strategy framework and have the courage to explore new thinking for the sake of the business.

Nearly anyone anywhere can learn to think more strategically. Strategic thinkers exist around the world. To learn to think strategically, we need to develop a set of five universal attributes: a vivid *imagination*, a *broad perspective*, be able to *juggle* incomplete and competing pieces of information, deal with things over

which you have *no control*, and have a fierce *desire to win*. The best strategic thinkers around the globe use these five attributes in concert to enhance their strategic thinking. Genuine strategic thinking growth is largely about making sure that people understand what is required for learning to think strategically, making the time and space for it to occur, and allowing them to take the lead in their own learning.

- 1 Why is the creation of a global pipeline of strategic thinkers necessary to the sustainability of an organization's future? How could you support this in your role?
- 2 Why is an understanding of the socio-national culture important to developing strategic thinking?
- 3 How might the process of asking deep-dive-level questions that expose and challenge fundamental assumptions disrupt an organizational or socio-national culture? What are the implications of such a disruption?
- 4 What suggestions could you offer to constructively introduce the critical reflective processes required of strategic thinking within a socio-national culture that values hierarchy? That values a collective orientation?
- 5 What are some of the cross-cultural challenges you might anticipate when introducing strategic thinking within your organization? What are some of the risks involved? What could be some of the benefits to the business? What can you do to leverage the impact on learning strategic thinking?
- 6 Which of the five attributes are your strengths? Why? How does this impact your ability to contribute to strategy conversations? How could you further develop these strengths?
- 7 Which of the five attributes is your weakest area? Why? How does this impact your ability to contribute to your strategy conversations? What changes could you make?

Part 7

HOW DO WE BECOME STRONGER STRATEGIC THINKERS?

Engage in the arts

*Learning is the only thing the mind never exhausts,
never fears, and never regrets.*

*– Leonardo da Vinci (1452–1519), Italian painter,
inventor, and architect*



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Strengthen strategic thinking through the arts

You may be relieved to know that this part does not include a list of how-to exercises and one-time activities. Rather, I am recommending approaches that work for clients in my consulting practice as ways to strengthen the long-term development of strategic thinking. These are heavily reliant on informal learning, yet easily adaptable to formal workshops and lectures, which are more structured. I invite you to use this part as a source for creating your own developmental ideas, to experiment, and to modify current approaches.

Part 7 discusses the role that the arts can play in developing strategic thinking. The early section of Chapter 17 closely looks at how the arts activate the five attributes, while the latter part lists how critical reflective processes can support the development of the five attributes. Chapter 18 presents three unconventional approaches that can strengthen learning to think strategically and then offers a discussion of two traditional approaches to the learning process of strategic thinking. It also includes a presentation of the impact of adaptation on strategic thinking. The overall recommendations that I put forth in this part focus on strengthening the five essential attributes previously discussed in Chapter 16 (imagination, broad perspective, juggle, no control over, and desire to win) and on developing critical reflective processes as introduced throughout the book, allowing strategists to link learning in their expanded life experience to a global business strategy context.

Many things can be done to strengthen strategic thinking, but I recommend a somewhat unconventional approach of emphasizing engagement in the arts. The arts and critical reflective processes are both readily accessible in every socio-national culture. We simply don't usually think about their expansive breadth, depth, and impact with regard to developing the capability of strategic thinking.

Advantages of engaging in the arts

One of the most comprehensive and powerful strategic thinking influences I have experienced in my own business life, and those of the strategists whom

I interviewed, is exposure to and engagement in the arts. You can breathe easy, as it has nothing to do with artistic talent per se. The aim is not to achieve fame or fortune as an artistic master but, rather, to “open the doors of perception,” as poet William Blake wrote in *The Marriage of Heaven and Hell*. Odd as it may sound, increasing exposure to the arts and participation in the arts can activate the capabilities closely tied to and inherent to strategic thinking. From trying your hand at painting to tapping a new dance step, the arts provide manifold ways to develop strategic thinking capacity.

The arts and humanities offer infinite a-rational as well as rational experiential learning, inclusive of all five of the critical attributes. Engagement in the arts teaches mastery of the critical reflective processes including critical inquiry, critical reflection, and critical dialogue. Learning to think strategically is enhanced not merely from participating in an artistic process, but all the more so when paired with critical reflective processes.

One of the most comprehensive and powerful strategic thinking influences I have experienced in my own business life, and those of the strategists whom I interviewed, is exposure to and engagement in the arts.

We can acquire firsthand learning through the experience of “doing” painting, photography, acting, writing, singing, dancing, playing an instrument, and so on. Also, we can learn through secondhand experience or observation – what the early twentieth-century philosopher William James called “knowledge about” the arts and humanities; for example, by listening to an orchestra, watching a dance, reading a novel, or seeing a play. Naturally, what we read, hear, see, and feel about the play, novel, painting, or dance performance contributes to our “knowledge about,” which often triggers our deeply held beliefs. We find ourselves taking sides with a particular character and passionately defending or vilifying the actions of another. Experiencing the arts is an excellent way to broaden our repertoire of experience, surface assumptions, transfer learning, identify patterns, and become aware of the convictions on which we take strategic action and make decisions.

When either first-hand or secondhand artistic experience is coupled with critical reflective processes, personal interpretations and premise beliefs can be tested and new alternatives brought to light. Our reflection about our artistic experiences is what occurs as we create alternative endings, when we disagree or are disappointed with an unsatisfactory conclusion. It arises in the dialogue, discussion, and debate we have with friends or family as we leave a moving play, a challenging exhibition, or a rousing concert.

Although both cognitive clusters (see Chapter 4) are used to create meaning from engagement with the arts, not surprisingly, the complex cognitive cluster underlying strategic thinking moves the experience to a deeper-dive-level.

A-rational thinking that is melded to critical reflection comes into play as we become enveloped in an arts experience. Experiencing the arts requires us to use both the surf and the deeper-dive learning domains and rational and a-rational thinking. With drama, a novel, or a film, there is often a visceral feeling that compels us to take a particular position. Engaging in critical reflection and critical dialogue about the assumptions we hold about the origin of such experiences is a great way to build analogies and to facilitate the transfer of the learning of such an experience to strategy problems. The content of the drama or novel need not be business related, because it is the content-process-premise levels of reflection and the metaphoric conversion that are essential to transferring the artistic experience across contexts. When it comes to strategic thinking, believe it or not, I find that clients who regularly engage in an artistic endeavor generally “get it” very quickly.

An arts encounter can become a metaphor for a business strategy experience (and vice versa) if critical reflection and critical dialogue follow.

Participation in an art form not only exposes us to new patterns through heightened sensory stimulation and imagination, but such participation also engages experientially both the affective and cognitive learning dimensions that are needed for strategic thinking. These artistic experiences allow us to practice essential aspects of strategic thinking without really “thinking” about it. In some sense, such an experience serves as a “dress rehearsal” for dealing with complex strategic thinking issues. Cognitive agility and imagination are strengthened as we scan for parallels and patterns within a business context. The practice of learning transfer from one context to another presents us with one of the most impelling strategic thinking learning experiences.

Breaking barriers

As noted earlier, for arts engagement to stimulate the development of strategic thinking capabilities, the goal is not on artistic perfection or technical expertise. The determination to engage in a new art form can be a tough mindset to adopt, especially for those surmising the array of options. It is easy to become discouraged when first attempts do not match our expectations, but I encourage you to stick with it. As we will discuss, practice and experimentation align with strategic thinking in that they force critical reflection and support all of the five attributes. A senior product engineer was quick to note:

When my team leader recommended that I take some kind of lessons to develop my strategic thinking, I was confused – but also excited. This was way off from anything we had ever focused on. Anyhow, I chose painting

lessons. After the first two lessons I felt like I was swimming in water over my head – what I imagined in my head just wouldn't appear on my canvas! It was frustrating . . . but I stuck with it and began to notice that my drawing hand had a mind of its own (laughter)! In the strangest way, it took the lead. After a while it seemed like my thinking mind and drawing hand had fused.

Additionally, it is possible for us to inadvertently erect knowledge barriers around arts engagement, opting out of activities in which we may feel uncomfortable about our lack of familiarity with the art form or artworks. Although I advocate informal learning as a means to strengthening the five attributes, I also adamantly support the intermittent use of highly structured formal “learning about” the arts. For example, formal learning from workshops, presentations, and provocative lectures can help us “learn about” artistic information (e.g., topics such as form exaggeration and figure distortion in abstract painting). Not only does this kind of learning break down some of the intimidating knowledge barriers to engaging in the arts, but it also provides insight that allows us to sequence a chain of deeper dives into the critical reflective processes, such as considering how a mode of printing affects the aesthetic of a photo.

Arts support the five attributes

Participation in the arts supports the development of the five attributes for learning to think strategically: imagination, broad perspective, juggle, no control over, desire to win. These attributes develop fluidly, with multiple attributes being intertwined and strengthened at once. For example, the repetition that comes from practicing over and over can strengthen a desire to win, and also prompts imagination, as we seek to find new ways to master the activity. As an actor performs the same role continuously, he finds new depths of the character, gains a broader perspective of how that character relates to his surroundings, and may try more inventive interpretations as he becomes more confident with the piece.

Additional ways that arts engagement can support the dimensions of the five attributes of strategic thinking include the following:

- *Expand perspective.* We see, hear, and feel different interpretations of the same data; balance individual and group roles; experience the impact of elemental changes in structure, form, texture, dynamics, distortion, diminution, and exaggeration; and experience historical and cultural contexts on the interpretation of data. For example, although the musical notes printed on a page are fixed, they can be interpreted in many different ways. We recognize a tune, yet it is different each time because of the instrumentation, the tempo, the acoustics, the performer, our mood, and so forth. The smile of Mona Lisa remains the same, beautiful and fixed over the centuries, yet it changes with each viewing.

- *Deal with many competing things at once.* We pay attention to the mastery of technique and focus simultaneously on the overall form, the structure of a piece, changing emotions, and creativity. We learn to juggle many things at once, focusing and shifting our attention with ease. A dancer has to hear the tempo, balance her body, anticipate what is coming next, and be aware of her fellow dancers all at once.
- *Engage imagination.* The arts foster creativity and infinite possibilities. We see and experience new relationships, patterns, and connections between things and ideas as a result of our decisions, actions, and responses. We enjoy the surprise of new discoveries.
- *Experience tension.* An affective dimension is inherent in the arts. We have a feeling that generates an intense reaction, which creates options of exploration and divergence, or a release. The various feelings generated by the arts can be divergent and competing, allowing us to experience the resulting tension.
- *Pay attention to things we cannot control.* We understand that we cannot control every specific aspect of the final movement of an orchestral performance – only our part. The properties of oil paint are what they are – heightening our attention and elevating our appreciation, and perhaps sensitizing our curiosity.
- *Develop emotional awareness.* We experience a wide range of emotions when viewing a photograph or listening to a brass quintet – from disgust, revulsion, pain, aggression, and sadness to happiness, pleasure, eroticism, and ecstasy.
- *Deal with paradox.* We experience the finished *and* the incomplete; repetition *and* free form; continuity *and* deviation; prescription *and* creation; structure *and* experimentation; sameness *and* surprise.
- *Accept incomplete information.* A creation is never truly a completed work. Just as successful strategy is always past tense, a successful performance is only a moment in time passed, and may never be truly finished.
- *Take a risk.* Learning something new requires commitment and risk. We place ourselves in the vulnerable position of being a non-expert or a novice.
- *Learn discipline.* Regular practice is required for improvement. Practice requires discipline, sacrifice, precision, sequence, repetition, drill, and consistency. Discipline is required to balance technique versus feelings, which is required for artistic mastery.
- *Appreciate practice.* Practice requires feedback and determination. We learn to appreciate a distinct sense of time (no shortcuts), movement toward something we strongly desire, nonlinear progress, and a combination of thinking and feeling. We learn that we cannot set a deadline for mastery.
- *Learn the creative process through technique.* Creation does not just happen; learning the technical rudiments is necessary in order to create. We build a will to succeed.

Across the five attributes, we are reminded that both the arts and strategic thinking are inherently emotional and human. The arts push us to become more comfortable with our a-rational thinking, emotions, and remind us to balance our intuition and rational thinking. Although we may be awed by an initial viewing of a painting, layering our knowledge and feelings and personal experience enables us to find still more meaning. Furthermore, as our perspectives shift and expand, we become more attuned to those around us, considering what others are thinking and feeling. In this way we are reminded that in any complex strategic endeavor, we are part of an ensemble and that our perspective is not the only one. We can choose to reframe our strategy problem and consider the human components to the landscape we are exploring.

The arts expand our perspective

Engaging with the arts and becoming versed with the critical reflective process facilitates our ability to see problems in broad panoramic view. One of the admirable attributes of a strategic thinker is the ability to see a problem from a broad perspective. In addition to knowledge and a conscious awareness of this intent, it also necessitates an ability to rise above the obvious and observe layers of context. This appeals to our imagination and the inclusion of multiple frames. Consider listening to a piece of music. We can zoom in and zoom out with little conscious thought. In one moment we may notice a particular lyric with acute attention to detail, but in the next moment we zoom out to hear the piece as a whole. Or, we may consider how the opening six trumpet notes connect surprisingly to the chorus, and then ultimately how they relate to the overall operatic composition. This sort of ability is what I call panoramic thinking; it can occur through engagement with all arts activities. Becoming comfortable seeking the wide panoramic view of a work translates to how you approach a strategy problem. We aim to zoom in and out with ease on aspects of our strategy problem, just as we would with a piece of music or a painting, scrutinizing the details and then examining a far bigger picture. Connections are made that we may have ignored in a strategic planning mindset.

In addition to supporting panoramic thinking, participation in the arts encourages us to expand our perspectives in another way, by shifting frames. Photography can be one of the simplest and most accessible ways to try this. As we move our lens around a subject, we see new things, consider a different perspective, and step out of our default perspective. We may have to adjust to different light or less ideal conditions. Similarly, engaging in observation can push frame shifting. In a museum exhibition we may see different artists approaching similar subjects from different perspectives. For instance, consider how many variations of an apple or a horse or a dragon might be found across the exhibits in a museum. Spotting these iterations is a playful form of practicing frame shifting. We do this as we tackle a strategy problem by shifting our frames and considering the different possible

approaches. An arts encounter can become a metaphor for a business strategy experience, and vice versa, if critical reflection follows.

Critical reflective processes strengthen the five attributes

As indicated many times in previous chapters, the critical reflective processes are an essential component for learning to think strategically. They require diligence and practice, and they work in tandem with the five attributes as we engage in an arts experience. The critical reflective processes unfold in a nonlinear, iterative manner as our mind cycles through critical inquiry, critical thinking, and critical dialogue critical reflection. Let's look at the following ways this can occur:

- *Meta-cognition connection.* Our feelings and thinking meld as we immerse ourselves in an arts experience.
- *Macro-micro connection.* We constantly oscillate between macro and micro perceptions, experiencing the relationship between the part and the whole. Also, we experience the consequences of having a single perspective and the benefits of taking a broad perspective.
- *Focus.* We practice concentration when the focal point continually changes. Also, we learn to pay attention to different cues and signals, such as the use of amplification and minimization, accents, or silence to gain or refocus attention. Additionally, we learn to focus on the appropriate domain of learning required at a given moment. The instrumental surf domain requires a skills response, while the deeper-dive domain requires a more intuitive level of feeling – eventually, practicing focus enables us to make focus a tacit ability.
- *Reflection in action.* Through practice and repetition, we refine reflection and reaction. There is no endpoint in an artistic endeavor because reflection and experience are continually at work. We constantly ask the following questions: How else? What else? When else? Who else? Why not?
- *Surprise.* We experience surprise as both a means of and a result of shifting our focus. Our pattern recognition is altered, and we shift or divert our attention. Our affective-learning dimension is heightened – we laugh, gasp, gulp, or cringe in response to a dance movement, a costume, or a line in a play.
- *Intuition.* We learn to trust our intuition through using it and reflecting on it. Trusting intuition happens naturally in the arts – as we acquire experience through practice, feedback, and repetition, we develop our intuition and become confident with using it.
- *Affective awareness.* We experience the subtleties and variances of emotions and the impact that emotions have on an arts experience or performance. Also, we become aware of feelings attached to the reactions that an artistic experience invokes. We appreciate the nuance of a specific decision, such as a subtle shift in a facial expression during a song.

- *Integration.* We synthesize and integrate the affective domain with the cognitive domain, the analytic with the intuitive, and the instrumental with the deeper-dive learning domain.
- *Systems thinking.* We make meaning of the intricate influence of relationships among the performer, audience, technician, media, business operations, teacher, composer, and so on.
- *Learning transfer.* We transfer this artistic learning to strategic thinking – one experience becomes a metaphor for the other, which facilitates pattern recognition, panoramic viewing, framing, shattering, and reframing.

Another way the critical reflective processes contribute to the development of these five attributes is through the creation of alternative scenarios to complex strategic problems. Surprisingly, we often resist examining strategic alternatives in depth because doing so can lead to confusion, ambivalence, and “messiness.” Asking questions about alternatives and assumptions seems like common sense. Yet we rarely do this in a rigorous, disciplined, and open manner during traditional strategy meetings because expediency, political ramifications, and same-frame thinking tend to prevail. Applying the critical reflective processes to workplace strategy as we would apply it to reflecting on a play or art exhibition is messy, but it will bring underlying issues to the surface and may invite new perspectives that a strategic planning mindset would typically exclude.

Critical reflection, critical inquiry, and critical dialogue support the development of the five attributes required of strategic thinking in that they sharpen reflection in action and reflection on action. When reflection in and on action is repeated sufficiently and the results are successful, this critical reflection becomes second nature. Ultimately, we learn to trust the intuitive judgment that comes from our frequent experience – an immeasurable advantage for learning to think strategically.

With regard to strategy, organizations are beginning to recognize the gap between what they need (strategic thinkers) and what many are continuing to develop by default (strategic planners). The days are long past when analytical linear thinking could be compartmentalized from “the other stuff” required of complex global business strategy. Significantly, those tasked with making strategy today need to be adept and agile at using the cognitive clusters that underlie strategic thinking and planning. Our security, health, economic, and social interests are at stake. If our future business and government leaders are going to develop and defend our values through strategy and policy initiatives, they have to understand what they are. The arts and humanities teach just that.

I argue that we must emphasize these disciplines and leverage them to strengthen the five attributes and processes that make strong strategic thinkers. Otherwise, businesses and business schools will continue to operate largely as technical operations, equipped with excellent resources for strategic planning but lacking the complex cognitive processes necessary to be competitive within the realm of

growing complexities, contradictions, and constant change. Most organizations are far from being prepared with excellent resources for strategic thinking. If this situation is to change for the better, businesses, executive development programs, and business schools need to engage in some significant frame shattering and reframing regarding their approach toward strategy development.



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Three unconventional approaches that support strategic thinking

As a result of teaching, researching, and consulting with executives from various industries around the globe, three highly unconventional approaches have emerged as strikingly convincing: AND polarity thinking, metaphor, and drawing. The strength of this surprising trio is in using them together – in concert, as they tend to have a synergistic and symbiotic relationship that works – almost like magic – to support the learning aspect of strategic thinking. Each has a history within the learning literature, but scant reference or no reference as an application within the strategic thinking literature. I have discovered these three unconventional approaches primarily through trial and error, but have continued to study them and have found them to be unexpectedly and highly effective in strengthening strategic thinking.

This chapter opens with a discussion of these three unconventional methods: AND polarity thinking, metaphor, and drawing. The latter part of the chapter closes with a presentation of two conventional approaches of action learning and lateral thinking that support the development of strategic thinking.

AND polarity thinking

I first made reference to AND polarity thinking as a necessity for learning to think strategically through a surprising research discovery in 2001.¹ I have continued to refine and adapt it as a learning method with remarkable consistency of findings within the context of learning to think strategically. I define *AND thinking* as an ability to hold two competing and paradoxical ideas in mind at the same time and to use the inherent tension as a springboard for innovative thinking about the problem.

1 Sloan, “A Case Study of How Nine Executives Learn Informally to Develop Strategy in a Global Context.”

The challenge of AND thinking is twofold: to identify the two real polarities and to resolve to work *with* the tension. The former requires a series of challenging deep-dive questions that expose and test underlying assumptions, and the latter requires trusting the process and believing it can result in innovative thought. AND thinking is a major variance to the technical rational approach of problem solving and decision making. It can be an especially complex and difficult way of thinking, because it runs counter to the notion of prioritization, reductionist, and convergent thinking that rely on the elimination of contradictory and opposing thoughts.

As a further note, AND thinking is different from “both” thinking. Although each comprises two parts, in an AND polarity, these parts work in opposition to the other. In other words, tremendous tension exists because one side of the polarity seemingly cancels and works against the other side. It is not just two matters that need attention simultaneously.

Among the most difficult junctures strategists face early on is what to do when they encounter conflicting and competing priorities. For example, a young CEO of a medical technology firm was faced with the strategic problem of increasing profits right now AND substantially expanding headcount in their research and development team right now. Initially, her impulse was to simplify the problem and escape the tension by prioritizing. Would they tackle profits or headcount first? The temptation to use her habitual either-or mindset was strong. It was only after she remembered that identifying an AND polarity is an inherent part of what gives complexity and risk to a real strategic problem that she decided to stay with the tension. Because the tension was unresolvable, it forced her into an innovative mindset – how could she create a new way to examine and frame her problem that would eventually lead to an innovative solution?

AND thinking requires that we temporarily suspend judgment and experience the tension of the polarities, as a source of creative tension, and to search for new possibilities that may seem beyond our imagination. This same medical technology CEO stated her initial hesitation:

It took me a while to muster the courage to have others see, in plain daylight, that I couldn't quite find the second half of my AND polarity – I guess it was an ego thing. But once I got over it, I was really excited. And I was impressed with their amazing questions that helped me slow down my thinking and look at the problem very differently – things I couldn't see, they saw. . . . Once I got my AND polarity framed up, it felt solid. I could feel the tension; it was real.

If we recall from Chapter 4, the intent of strategic thinking is to focus on the problem, to identify the real strategic problem – not to solve the strategic problem. Since an AND polarity gives a real strategy problem complexity, it makes sense to invest in front-end time to ensure the polarity is, indeed, comprising two competing or opposing elements, not just two parts.

*AND thinking is based on the inherent tension
created by a polarity – resulting in new meaning,
thoughts, and new ideas.*

Working within the global context of strategic thinking requires an ability to deal with complex, competing, paradoxical, and contradictory information. Our business and policy world requires leaders who are proficient using the complex cognitive cluster (see Chapter 4) that moves far beyond convergent linear thinking into the less familiar realm of ambivalence and a-rationality. Strategic thinking, as mentioned earlier, is not served by using elimination, convergent, and reductionist thinking; nor does it benefit from either-or thinking that can easily trap leaders into dualistic and binary thinking.

As mentioned earlier, AND polarities create an unresolvable tension that all too frequently ends in a conveniently efficient either-or choice that is based on reductionist and elimination thinking. Leaders who don't know that an AND polarity is an integral part of a real strategic problem to be uncovered by strategic thinking will often resort to prioritization when they feel the tension. This tension, however, signals an opportunity to activate strategic thinking and possibly allow for innovative strategy to emerge. AND thinking forces us to uncover the competing and opposing parts of a strategy in an effort to examine faulty assumptions and explore innovative alternatives. Polarities within strategy issues can often remain invisible unless we seek them out and challenge them as part of strategic thinking.

Strategy is complex and laden with risk, so being able to identify the AND polarity helps to ensure we have a real strategic problem – and not merely a big problem or an important problem. Although one part or the other of the AND polarity may at first be elusive or invisible, through critical inquiry, critical dialogue, and critical reflection, two polarities eventually emerge and are tested for validity.² Accurately identifying the real polarities of a strategic problem is an emotionally and intellectually intense exercise. Most often, we intuit the polarities – we feel the inherent tension of a strategic AND polarity – but we eliminate one side simply to ease the tension and move to a solution as soon as possible. This only serves to destroy the strategic nature of the problem. We revert to our familiar habit of mind – one of expedience and familiarity.

Curiously, in my work with corporate and government strategists in many countries, I find that Americans in particular often tend to prefer extremes when it comes to thinking about strategy. All too frequently, my American clients insist on a this *or* that decision very early in the strategy-making process, as soon as the tension from opposing or competing issues becomes apparent. Some of the common underlying assumptions that begin to surface include a premise that fence-riding

2 Sloan, *Learning to Think Strategically*.

is wrong or weak, that good strategists should be able to control everything, that tension is a source for elimination, and that there is only one best way.

Interestingly, it seems that Americans tend to prefer the expedience that comes with being definitive in the moment: pick *or* choose, this *or* that, and either/or. With few exceptions, I often notice American strategists would rather take a risk of being wrong all the way than live with the tension in AND thinking. However, what is required for dealing with the complexity of global strategic thinking is precisely this – being comfortable with the tension of dealing with complex and unpredictable circumstances that include opposites, contradictions, and paradoxes.

Curiously, I find American strategists would often rather take a risk of being wrong all the way than live with the tension of ambivalence that is inherent in AND thinking.

The thoughtful global marketing head of a dairy products company expressed surprising relief once he learned about the role that AND polarity plays within strategic thinking. Simply learning about it shaped an expectation and validated his angst when faced with his real strategy problem.

I used to blame my team for not choosing the right priority and [sheepishly] also, for not coming up with an innovative strategy. We would fight for days over this-or-that as a solution – and it [our strategy] would never get off the ground as a result. But as I came to understand that AND was an important part of strategic thinking, everything has changed.

Knowing about AND thinking made sense to his team, and it helped them to make new meaning of the tension and the risk they typically would have dodged. It helped them to understand that strategic thinking has an element of complexity and conceptualization that had eluded them. This was a big *a-ha!* moment.

AND thinking forces two opposing or contradictory ideas or opinions into a single new thought or novel concept and can create tremendous tension and imbalance – to the point of creative outbursts and innovative breakthroughs.

Our business world is a paradoxical network of global *and* local, general *and* specific, modern *and* post-modern environments. It consists of fragmentation *and*

globalization, heterogeneity *and* uniformity, passive consumption *and* active customization, individualism *and* tribalism, and the old *and* the new. Furthermore, we need to pay attention to developing affective *and* cognitive, rationality *and* intuition, dialogue *and* debate, and convergence *and* divergence.

In thinking strategically, we want to expect AND polarities and embrace the unmistakable tension. We need to experience this tension, recognize it, invite it, and work *with* it. In his compelling book, *The Opposable Mind*, Roger Martin underscores the importance of AND thinking as he writes, “This drive for the creative resolution of tensions is the single most striking feature of the successful managerial leaders who I interviewed.”³

AND thinking forces two opposing or contradictory ideas or opinions into a single new thought or novel concept and can create tremendous tension and imbalance – to the point of creative outbursts and innovative breakthroughs. The tension that accompanies AND polarities is beneficial in pushing the limits of what we can conceive as possible. A breakthrough moment or a new concept may be the eventual result of persisting with the tension of an AND polarity.

Metaphor

Metaphor is the second unconventional approach that is highly supportive to the learning process of thinking strategically. Although numerous articles have been written on this, it continues to be an underused learning mechanism for the development of strategic thinking. I am using the term *metaphor* in the broadest sense to encompass and refer to literary extensions including analogies, parables, allegories, fables, and so on. Within a strategic thinking context, metaphor is enormously helpful when it is used to portray or describe our AND polarity.

Generally speaking, metaphor is when we say something is something else. For example, we might shake our head as we mention that recent meeting was “a circus.” Or, state that the project plan was “a beautiful garden that never got watered.” Or, warn that the new leadership team is “a snake pit.”

Metaphor is a highly influential way of thinking – and also a way of impacting the thoughts of others. As discussed in Chapter 6, metaphor is an intuitive and highly perceptual way of thinking that relies on symbolic representation – the representation of a person, place, thing, or idea is offered as a sensory image that suggests a specific association or point of similarity. As an aside, bear in mind that the metaphor used must be understood to transfer to the meaning of the new AND polarity. In other words, you must be familiar with the original metaphor to be able to grasp the new concept and to diverge and grow the metaphor.

There are different types of metaphor, but the type most often used by successful strategic thinkers tends to be the conceptual complex metaphor.⁴ That is, when

³ Martin, *The Opposable Mind*, 72.

⁴ Myers and Wukasz, *Dictionary of Poetic Terms*.

one concept is used to understand another concept through the use of a prolonged series of descriptions and implications⁵ (see example in Figure 6.1, Chapter 6 and Figure 18.1, Chapter 18). The symbolic meaning of the comparison is conveyed through narrative, images, or movement that are created from the metaphor.

Lakoff and Johnson's well-researched book, *Philosophy in the Flesh*, discusses in detail the complex and simple metaphor. A simple metaphor is an easy way to make an instant conceptual connection.⁶ In the previous example, if I say our project plan was a garden that never got watered, you understand the gist of what happened. Although a simple metaphor should be encouraged, the most beneficial for strategic thinking is the complex metaphor. The complex metaphor is a greatly expanded and elaborated version of the simple metaphor.⁷ A complex metaphor is a sophisticated way to challenge and test the many variables, relationships, factors, and scenarios of a strategic problem. Although time consuming, the complex metaphor is vivid and highly beneficial for learning to think strategically. It involves conveying and revising concepts and intricacies that may not be apparent in an ordinary strategy conversation. Aspects of a problem that were previously ignored or invisible suddenly appear.

If you change your metaphor, you change your thinking.

Other benefits to using metaphor include an increased participation of those not normally included in strategy conversations. This inclusion of diverse frames of reference greatly enriches the strategy conversation and, in numerous instances, contributes to altering the strategy due to new and different knowledge and insights. As clients confront their AND polarity and begin to create a metaphor, they quickly discover a simple truth: if you change your metaphor, you change your thinking.

A product development specialist from a Swiss office furniture company explained how his team faced a strategic problem of discontinuing a favorite luxury product line with customized client service to a new online product line:

At first, all I could think of was pushing a giant, very heavy boulder up a hill. It was forced heavy labor and I felt discouraged. Honestly, that is what this strategy problem actually felt like. But when we played with other metaphors, I immediately noticed my mood changed and my thinking changed as well. For example, when someone said, "let's change it [the metaphor] to leading a frightened horse through a thunderstorm," I noticed we became

⁵ Howe, *Because You Bear This Name: Conceptual Metaphor and the Moral Meaning of 1 Peter*.

⁶ Lakoff and Johnson, *Philosophy in the Flesh*, 60–61.

⁷ Lakoff and Johnson, *In Metaphors We Live by*.

more compassionate and enthusiastic in our mood; and we had more of the caring and helping attitude. I somehow felt energized.

This team ended up changing their metaphor from laboriously pushing and heaving a giant heavy load uphill, to leading a prized horse gently through a thunderstorm to a new stable. By changing the metaphor, they changed their thinking.

Yet another advantage that is often cited by strategists who use a complex metaphor is the ease with which they slip into divergent thinking and open their imaginations more fully. The openness with which they move into requesting and receiving difficult deep-dive-level questions that uproot deeply held assumptions is supported by using metaphor. Interestingly, participating in a complex metaphor becomes a safe and engaging way for dealing with emotionally charged elements of a tough strategic problem. It coaxes people into contributing amicably and imaginatively about otherwise contentious or sensitive issues that often arise in strategy meetings. Collaborating through metaphor allows new perspectives to come to light – often in a playful, yet thoughtful manner.

A key long-term strategic advantage is that metaphor helps make complex thoughts more relevant and memorable. Memory retention of the strategic problem is enhanced when it is linked to the AND polarity. In a study we conducted of directors of technology and manufacturing companies in North America and Asia, we found nearly all of them reported that they and their direct reports remembered the specific strategy, along with the metaphor, three full years later.⁸ This was in contrast to an exceedingly low memory retention of their strategy prior to using metaphor to work out their AND polarity. They overwhelmingly reported feeling far more confident in their independent decision-making roles because of the clarity metaphor brought. These directors also expressed a high degree of certainty about their teams adhering to and implementing the strategy, even though it contained the tension of an AND polarity.

A French strategy director commented that:

Before this, it was normal that we forgot about our strategy at the first coffee break, because nobody really knew what it was or what it meant. But now we use metaphor to structure our AND polarity – and nobody ever forgets it! (laughter) We are all involved and we remember the details forever. [Metaphor] makes it easy to explain and easy to remember for all of us, wherever we are in the world.

As previously mentioned, metaphor makes the unfamiliar familiar. Metaphor is highly sensory; a complex metaphor often appeals to several senses, which compounds and strengthens the memory retention of metaphor. Furthermore, it has a strong visual component and an accompanying narrative, which further supports memory retention. Also, metaphor creates vivid images and poignant feelings

⁸ Lecture. *Metaphor as a Learning Mechanism for Teaching Strategic Thinking.*

of complex issues, which supports memory retention in terms of longevity and memory of details and relationships. This is a striking observation that is quickly noted by clients and graduate students alike as they critically reflect on their own experience using metaphor as a mechanism for identifying and testing their AND polarity.

Metaphor can, however, be time consuming. It is not premised on efficiency of thought; it is based on depth of thought and divergent thinking. It is also largely unfamiliar as a mechanism for learning to think strategically. Metaphor draws from two sources: it is rooted in experience (i.e., others have to “get” the metaphor) and parallel thinking or rapid transfer of learning.

The lure of a quick resolution to the inherent tension of an AND polarity coupled with the messiness and time that metaphor requires can tempt leaders to opt for oversimplification of the problem itself. “Simplification makes us favor linear, unidirectional causal relationships, even if reality is more complex and multidirectional,”⁹ notes Roger Martin in his book *The Opposable Mind*. He further cautions that “simplification also encourages us to construct a limited model of the problem before us, whatever it might be.”¹⁰

To highlight a few of the advantages of using metaphor as an unconventional mode of learning to think strategically: metaphor is powerful as a cognitive means to shaping and shifting our reality and/or to changing perceptions and interpretations of reality. Metaphor works across languages and cultures. If our ultimate aim of strategic thinking is to support successful implementation, then we need to ensure that people throughout the organization grasp and retain the strategic concept. The skillful use of metaphor cannot be over-emphasized as an effective cognitive process to apply. As mentioned earlier, strategic thinking is highly complex and conceptual. It is also an imperative for business leaders to remain competitive.

Drawing

The third unconventional approach that supports the learning of strategic thinking is drawing. That’s right, putting a pen to paper. Not doodling, but deliberate, intentional drawing of the AND polarity metaphor – that is, drawing a picture of the metaphor that represents the inherent tension of the two parts of the polarity. This requires a highly sophisticated and advanced combination of cognitions from the cluster that supports strategic thinking (see Chapter 4). Such a process includes the use of symbolic representation, or drawing an image that stands for a concept or detail of the problem. Drawing a complex strategic problem shines light on both the underlying concepts in addition to details. Moreover, drawing allows large amounts of information to be compressed in a simple format, and it can support leaders in linking their past knowledge to new knowledge. As you might

⁹ Martin, *The Opposable Mind*, 72.

¹⁰ Martin, *The Opposable Mind*, 77.

imagine, it can take time to draw numerous iterations and to critically inquire, dialogue, and reflect during the multiple renditions of the drawings.

Artist Andrea Kantrowitz explains:

Drawing materializes ideas and perceptions, projecting and extending thinking processes onto a surface. Interacting with marks and materials, the drawer is able to reconfigure and reimagine the underlying thoughts. Thinking through drawing harnesses the embodied, embedded nature of all human cognition. Neuroscientists and cognitive psychologists have suggested that drawing, in all its glorious ambiguity and iteration, makes visible the fuzzy and iterative nature of much of human thought. It may be argued that we all draw, with different means and materials, as we strive to make sense of the messy and unpredictable words in which we find ourselves.¹¹

I find that executives often don't know where to begin – they jokingly stress that they haven't drawn a picture in 40 years and haven't a clue as to what and how to get started. Although drawing can feel intimidating for some, it can feel liberating and exhilarating for many others. The chief financial officer of a rapidly growing software firm described seeing the broader picture as well as minute details while drawing his strategy problem:

Well, I'm the last person you would imagine as an artist! But I totally lose myself when I'm drawing my problem. It's very strange – it's amazing. It's like I have double vision. Part of me is buried in the details – things just appear – things I couldn't have seen without drawing. But the other part of me is floating above – seeing things from a very broad perspective. It's hard to explain, but I see these at the same time. I'm in a different space when I draw – it's like I feel and think more intensely at the same time.

This so-called double vision the chief financial officer described is a metacognition that neurologist Richard Restak says occurs when our “thoughts and emotions remain separately recognizable yet woven together into a unified experience.”¹² He explains that it's like what happens when we come to enjoy the counterpoint in a Bach fugue. With experience we become aware of the musicians combining two or more musical segments, yet we experience them as simultaneous yet independent lines of music.

Complex and conceptual strategy problems easily defy words. Time and again, executives tend to initially resist drawing their strategy problem. But once they begin to engage with the drawing process, they express a certain freedom and

11 Kantrowitz, Brew and Fava, “We All Draw: The Fourth International Thinking Through Drawing Symposium.”

12 Restak, *Mozart's Brain and the Fighter Pilot*, 166–167.

a newfound clarity in their thinking. Executives described a kind of intuitive or embodied dialogue that occurs between the hand and mind as they draw. A military general who initially claimed he saw no relevance to drawing and strategic thinking remarked several months later on his experience of drawing his AND polarity strategy metaphor:

This has been a revelation to me. Why didn't I learn about this 20 years ago! (laughter) I'm pretty good at getting one side of the AND polarity but it can take some time to find the other side. And this is where forming a metaphor and drawing it works well . . . you have to surrender your "thinking," but the rewards are real . . . they can be quite profound. I like the idea of sharing the drawings and metaphor with others – they always see things I've missed. It opens the channels for some broader and deeper conversations, that's for sure.

And a seasoned engineer and the regional head of a mining and engineering company explained his insights:

This experience of drawing my AND problem has completely changed the way I look at my strategy problem – it's an amazing process. I admit, I didn't understand, rationally, what exactly I was supposed to do. But as soon as I stopped thinking (ironically) and just started drawing, all kinds of things appeared. It was as if my blinders were removed. My mind opened and I was able to see things that were completely invisible to me before. And it was effortless. It just happened. As I drew, I noticed my concentration was intense; at the same time it was a lot of fun and I almost got carried away! (laughter) Time flew . . . I couldn't find words to accurately describe what happened, but it seemed like my drawing hand was guiding my thinking. It was like my hand and brain were playing.

Drawing such a complex strategic problem can capture and illustrate broad and overarching issues in a way that words never can. It brings unknown connections and relationships to the forefront of conscious awareness. Drawing uses the a-rational cluster of cognitions (Chapter 4), while explanations with words uses the rational cluster.

An Australian global marketing director of a retail clothing company wrote that:

I don't have words for what happened . . . but my entire strategy problem changed after I started drawing. It was a great freedom to not think with words, if that makes sense – it was liberating. My drawing mind went places that my rational mind would never have been invited! (laughter) I realized how my rational thinking was limiting my ability to think strategically. The most surprising thing was how the hand I drew with took over

the lead once I let go. I “saw” things I had been ignoring and avoiding as I was drawing. I now feel confident and downright jolly!

SCENARIO

Arjun was tagged as a nascent frontrunner within the fiercely competitive world of technology start-up companies. He was admired as a brilliant analytical thinker. As the CEO of a renowned Silicon Valley firm, he was hounded by ever-aggressive investors to create a new, innovative strategy. He needed a groundbreaking strategy. It needed to be ingenious, and he needed it soon.

Arjun was spinning like a hamster on a wheel trying to generate an innovative strategy. Tormented by his inability to generate such a strategy, he grew increasingly anxious as the calendar weeks became months. He stayed glued to his computer screen, hopeful that a strategy would soon emerge from the reams of data. He was scared and paralyzed.

Regardless of the many caffeinated brainstorming sessions his team had, and an exorbitant invoice from hiring a strategy consultant, the end result was merely a variation or a slight pivot of their current strategy template. The clock was ticking, and competitors were nabbing business and products.

After meeting with Arjun and his executive team, I suggested that he might want to take out a pencil and draw the problem so that he could see it. He winced at the suggestion and grew skeptical the longer he thought about it. He grumbled something about not having sketched anything beyond two stick figures in kindergarten. His initial protest was fortunately short-lived. The minute Arjun put pen to paper and focused on drawing the problem, he became immersed and energized. The process of drawing suspended his rational thinking and momentarily allowed him to tap into an a-rational mindset. He revealed telling his team how clearly he could see the whole panorama of their problem as he was drawing – the big picture came into focus, but in a totally different way. They teased him relentlessly as he described the fun he had as he put his hand and mind to paper. He passionately shared how his mind would often race ahead of his words, so drawing gave him a place to put his thoughts and return to them later.

As we spoke later that month, Arjun enthusiastically mentioned that when he was actually drawing, he felt liberated. He could see a whole new dimension to the problem. Details and circumstances that had been largely invisible to him were now part of his overall picture. Drawing his problem had highlighted variables that were hidden in the data. He claimed he had re-positioned their business at least nine times as he drew and re-drew persistent threats contained in various imaginary scenarios. Another epiphany he reported was the eagerness of his global team to become involved in his newfound approach to formulating a strategy.

Not only did he recite the old cliché of a picture being worth a thousand words, but he also noted that the exercise was expansive. He commented on the “fascinating conversation between my hand and my mind.” Once the risks and factors were sketched, he could see the limitations and constraints of his current thinking.

Much to his amazement, the more he drew the more he wanted to draw, irrespective of laughter and jovial threats to display his “masterpieces.” His sketches brought peals of laughter, but they nevertheless became a magnet to attract those who would typically have been excluded from his strategy conversations.

Arjun shifted his mindset from an over-reliance on using rational thinking and analytical data to generate a strategy to engaging in an a-rational process of drawing his strategic problem. This shift offered a means to diverge his thinking and critically examine his strategy problem in a way that is not possible when locked into a rational mindset. “Reinvigorating, energizing, and enlightening. That pretty well sums up what it was like!” revealed Arjun to a crowded room at their annual shareholders meeting. Although he may not be entered in the annals of art history with the likes of Degas or Picasso, he ultimately was able to sketch the elements of a complex strategic problem and satisfy the concerned investors, as well as keep his job.

Drawing is a unique synthesizing methodology that is easily accessible yet underutilized as a strategic thinking learning technique. It allows us to progress with complex and uncertain situations. It also allows us to delve into unknown factors by exaggerating or minimizing them and then to notice our own reaction and others’ response. Drawing slows our thinking; it can be totally engrossing and wholly consuming. Within the context of learning to think strategically, drawing is a process of deep inquiry into that which is possible to know, yet impossible to say verbally; it is a complex and layered process of the mind.¹³

Drawing our strategic AND metaphor allows us to concentrate and stay with a complex problem far longer than if we were to merely analyze data about the problem. It’s exhilarating because drawing transports us to places and spaces that our rational mind can’t go. As the vice president of a medical device company in Singapore declared about his recent experience:

Drawing was elastic to me – I could expand or shrink the scope of my strategy by drawing – it seemed to alter my thinking. I was surprised! There was a funny back-and-forth chatter between my hand and my mind that took over. I became the “outsider.” I could see things I could never have imagine had I not been drawing. Oddly, and amazingly, I was captive and free at the same time. It’s magical in some sense!

The benefits of drawing our strategic AND polarity problem extend well beyond stimulating the imagination. As strategic thinking seminar participants note over and over, there is a “dialogue” of sorts that occurs between the hand and mind once we become immersed in this a-rational iterative process. Interestingly, it permits conflicting thoughts and factors to come to light. In a sense, drawing offers us

13 Burton, “Introductory Remarks at the Symposium, Thinking Through Drawing: Practice into Knowledge,” Symposium.

a satisfying and gratifying safety net of sorts, to deconstruct and reconstruct our thinking without being encumbered with words or numbers. Delightfully, drawing forces us to focus, and it “offers an extension of memory and a place to generate and play with ideas.”¹⁴

I suggest keeping a portfolio of your drawings to reference and to track your thoughts. Our drawings and our thinking diverge, consolidate, merge, and shift as we proceed with our drawing and thinking. Return to them often as a review or as a source of new ideas. This collection allows us to refine our thinking, and it also provides a visual reference to clearly convey complex information with others. As previously noted, it is much easier to retain complex concepts and a myriad of details when we participate in the creation of drawing than it is to sit in a meeting or stare at a spreadsheet.

AND polarity, metaphor, and drawing are three highly unconventional ways that support the learning of strategic thinking. The most powerful approach is to use all three together because they are highly synergistic. An example of using these in an integrated format follows.

Figure 18.1 is an image drawn by a leader of an esteemed meritorious organization as an expression of his perception of a strategic thinking dilemma within his company’s leadership ranks. The drawing shows the AND polarity problem of, “How do we preserve our revered traditions *AND* modernize our overall approach to developing leaders?” His work is entitled *The Tale of Three Sculptors*.

In an effort to gain clarity and insight about his strategic problem, this leader’s original work consisted of five distinct sections: Figure 18.1, the drawing, Box 18.1, the parable, Box 18.2, a descriptive analysis, Box 18.3, a reflection on the drawing, and Box 18.4, an interpretive analysis. Abbreviated versions of the five sections are presented as follows. Of particular emphasis is his reflection on the highly iterative, symbiotic, and synthesizing experience that drawing, writing, reflection, and revising has on the strategic thinking process.

The overall process was a contemplative and thoughtful one that resulted in changing the way senior leaders viewed their problem. Prior to the experience, the leadership team had viewed the problem as an operational short-term matter. Following the experience, they came to see it as a long-term strategic problem. The comprehensive thinking process was slow and deliberate, taking about two weeks to work through. It yielded an abundance of rich insights about the broader circumstances of the strategic problem and striking revelations about each of the three sculptors. This shed new light on how this leader reframed his own perception of his real AND polarity problem and of his leadership role.

A metaphor of the image in Figure 18.1 is written in Box 18.1 in the form of a parable.

14 Kantrowitz, “Thinking Through Drawing: Practice into Knowledge,” Notes from Symposium.

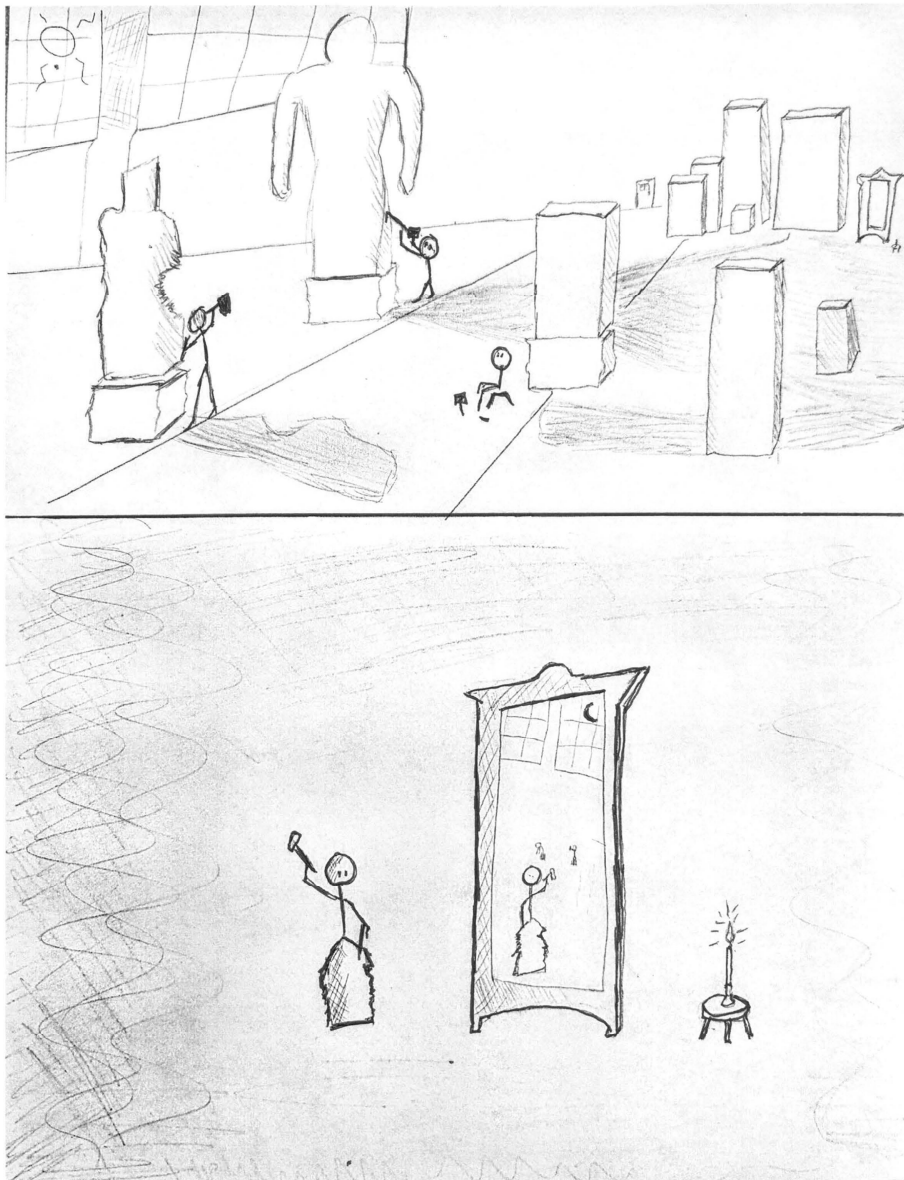


FIGURE 18.1 The drawing: the tale of three sculptors

**BOX 18.1 A LEADER'S PARABLE: THE TALE
OF THREE SCULPTORS**

"Into the statue that breathes, the soul of the sculptor is bidden."

– Richard Real

The revered and storied province was now chaotic and uncertain. People were longing for symbols to help make sense of the disruptive world around them; to create a sense of unity and hope. And so, a group of sculptors from the most esteemed institution in the land were tasked to create marble statues to exemplify greatness and stability, as a rallying symbol for the people and their legendary culture. The sculptors were held in the highest esteem and were valued for their creations. However, time moved on and the world was no less uncertain.

Within the institution, there were three sculptors: one old man, one adult, and one young boy. The old man was practiced in marble sculpting for as long as anyone could remember; the adult had worked under the old man for many years; and the young sculptor was only an apprentice being mentored by the two men.

"As they say, 'Simply remove the pieces that aren't David' " is what the older sculptor would tell his two underlings. The old sculptor was a strict disciplinarian who had years of experience in sculpting marble. He was exacting, precise, and had high expectations of his statues and of his other sculptors. He had no issue with casting aside a piece of marble that did not meet his demanding standards. His preciseness led him to create nearly identical statues every time. He would admonish the young sculptor for being too soft. "The process requires pressure and buffing, so apply it," he would say; "and get rid of the marble that can't stand it."

"As they say, 'I saw the angel in the marble and carved until I set him free,' " is what the adult sculptor would say to the young apprentice. The adult was an accomplished sculptor best known for his creative and engaging works. The adult believed that every marble piece had some unique quality that needed to be carefully nurtured. He would spend countless hours on each slab of marble, meticulously measuring each one to understand its unique properties. He would reprimand, although gently, the young one for being too hard. "My process requires understanding and a special sensitivity. My role is to create this piece of rock into the statue it is meant to be."

The young sculptor grew up under the tutelage of the two older sculptors and studiously observed them. He would ask himself, "Do we need to create David? Couldn't another figure exemplify great ideals and add value to our society?" He thought of the differences between his two mentors and what results their works may lead to. He frequently went outside to help haul in new marble slabs. Some pieces of marble were left in the rain for years, and through the repetitive beating of the rain without cover or support, were disfigured or cracked. "Perhaps these could have been great works," he thought. As he stood outside, he couldn't help but look across the fields to the city in the distance with its ever-changing landscape. It was very different from the sterile and controlled academy. The young sculptor continued to observe. Time went on.

Then, something unexpected and odd happened. As the sun rose, the sculptures changed from being inanimate figures into moving, glimmering pieces of marble. Their whiteness and polish shined in the morning light as they moved around, excited by their new humanness and freedom. Sparked with joy, they left the institution and traveled to the city, where they were to be displayed. The sculptors in the studio were shocked and in awe, watching their works take on a life of their own. They couldn't have imagined a day where their works would do anything but be on display.

"I was sculpted by the best, and as you can see, there is nothing new that should be added to my figure. All my imperfections have been removed," announced the statues produced by the older sculptor. Their tall, unblemished figures looked down on the people they walked around. "How can you not aspire to be like me? Keep up!" Although they were stunning pieces, they were entirely detached from the populace, and the arrogance about their perfect pearly marble made them unapproachable. The people of the province would say of them, "Yes, they say they are perfect, but they are blind to the ways they are imperfect! They say we should be like them, but to be honest, I don't think we need them at all."

The statues produced by the adult were more accepted by the citizens because they looked like them. Despite this, some figures were so dismantled and incoherent that it was impossible for people to understand, let alone draw any kind of message from them. Other figures were so alike the population that they were indistinguishable from the masses. The best of the statues seemed to be animated, alive, as if their joints weren't made of marble, but of flesh and blood – flexible and adaptive. Because they weren't so rigid, they had a more approachable, yet dignified aura. They understood what their figure represented, and the people of the province appreciated them for this.

The statues continued to mingle with the population. But now, the sun was setting, and a cool breeze began to blow. Something strange began happening to the sculptors. The old sculptor was sitting in his chair, chiseling at another piece as he always had. He attempted to stand up to take a break only to find that his legs were immobile. "How strange," the old sculptor said to himself. "I have done the work and sat in the same chair for so many years, yet suddenly, I am unable to move myself at all." He attempted to wiggle his toes, but they didn't flinch. He panicked, but his torso started to freeze in place too. He struggled but could not free himself, and eventually his arms and face froze, holding the chisel in the same way he always had for decades. The old sculptor became a statue. The adult sculptor began experiencing the same. The adult was working on the same two pieces he had spent countless hours on, but to no avail. He was frustrated and hunched over his tools in front of the slab. His pale and tired countenance turned into pearly marble; he was frozen in his bowed position, becoming a statue, just as the old man had.

The young one felt the cold breeze blowing and walked into the studio to close the shutters.

He walked across soft shadows on the floor of two statues he hadn't noticed before. Stunningly, he saw his two mentors motionless next to their slabs of marble. Confused, he called out their names. There was no response. He walked up to their figures and touched them. They were cold, as stone, and they were of the same marble white as their slabs. The young one cried. He was not sure if they were dead or if this were a joke that would vanish at sunset. Suddenly, he felt a breeze on his arm. He held his hand up and observed it becoming stone. He tried to move that hand and couldn't, and now his arm remained immobile, in the position he had hoped to inspect. He panicked and was overwhelmed with sadness and confusion about the day. He tried to run, but his legs soon froze.

He lay on the floor and thought, “The irony of our roles: to carve and sculpt, and to avoid becoming statues ourselves.” It dawned on him, “The statues were images of their creators, and their creators were no different from the marble they themselves carved. Both were entrenched in their ways – no different than rock from a quarry. They had failed to apply the same polishing and precision cutting to themselves as they had done to their works.” His other arm slowly lost its freedom. “My mentors themselves became statues, symbols of an ideology, relics of a time now passed, and ultimately, unable to grow. Perhaps, we’ve made a mistake.” As he reflected, the pearl gave way to his skin, and the rock became more like skin and flesh. He pushed himself up, and continued to see how they may have arrived at this moment. “I cannot become a statue as they were. I must find room to grow.” His legs unfroze just enough to get off the floor.

The sun had set, and the breeze subsided. The young sculptor moved to the corner of a room where there stood a large mirror. By candlelight, he stared intensely and began to chisel away at the jagged edges of his own figure.

Upon completing the drawing and the narrative of his parable, this leader then described what the parable meant to him, overlaying it onto his real strategic problem within his organization. He described what each of the three sculptors and the marble slabs depicted using a process of symbolic representation. Box 18.2 is his Descriptive Analysis.

BOX 18.2 A LEADER'S DESCRIPTIVE ANALYSIS: THE TALE OF THREE SCULPTORS

The three sculptors tell a tale about the tension of developing future leaders while caught between wanting to preserve tradition and wanting to modernize. It talks to the discord that exists between “producing statues” in the way it’s always been done to preserve their revered traditions, versus modernizing and innovating using a different way. The older sculptor is a disciplinarian, dogmatic, and performance oriented. He wants to produce the same person as a perfect “product” every time because this is what he has always done. He casts away the marble that simply doesn’t have what it takes to be the work of art he wants to create, getting results but at the expense of other things. His deep desire is to create flawless outcomes symbolic of the “David’s” perfect figure.

The adult sculptor, having grown up under the exacting gaze of the older sculptor, takes a different approach and follows a more nurturing and creative model. He works with the marble that’s given to him and is careful and nurturing about how he cuts each one. This produces a figure that’s more engaging and calibrated to those outside the esteemed institute. His strategy occasionally backfires as he is tired from expending energy and his work is not quite complete. His wish is to depart from tradition to reveal the special traits in people.

The marble represents the people in the organization. Marble must be chiseled and buffed to become statue figures. In the same way, people must be shaped by friction and testing because that is the way they will be challenged and grow into admirable leaders. The marble is sculpted in a secured and sterile studio environment, and in the same way, people are ultimately trained within the secure and sterile environment of an organization's headquarters, branches, and factories. This structure helps the leader be formed, but it is often physically and symbolically detached from the population it aims to serve.

I introduced the fantasy element into the parable because I believe that awe and wonder reflect the real feelings of when a young leader is sent out into the world – their day of transformation is special. No longer will they be on display as statues or showpieces. They will live with and interact with the real world and make decisions based on the way they were sculpted. This begs the question, "Though we have done everything we could to predict their outcome, will they succeed in the outside world?"

The two sculptors produced statues whose transformed versions interacted with the world in different ways. The statues produced by the old man appeared "perfect" according to his metrics, but despite their extraordinary talent and beautiful form, they were so out of touch that no one was interested in them. They succeeded according to the institutions metric's but failed spectacularly in the real world. The statues produced by the adult were more adaptable and approachable. In the best case, they were more calibrated and made no pretense of perfection just because they were from the esteemed institution. In the worst case, they were less useful, less respectable, or simply unfinished.

I continue to ask, "Who selects the sculptor?" "Who evaluates the sculptor in reference to their work?" I realized that the sculptors in the parable were no better than the marble they were cutting. In fact, the marble was just a reflection of their sculptor's own imagination. It is the sculptor who changes the marble. As a result, I turned the old and adult sculptors into statues. Since they couldn't be buffed and sculpted themselves, they then were no different than marble. If they were to be the "slab of marble" instead of the "sculptor" inside the studio, they may have been cast aside as being unworkable.

And finally, the young sculptor has no context, except for his basic talent in sculpting. He is a blank slate who only observes his mentors' strategies and the results they produce. I felt that the young sculptor was the only one who had the courage and insight to question the environment and process. As the young boy was becoming a statue, his determination to deeply question what was happening around him was enough to free him from becoming stone.

BOX 18.3 A LEADER'S REFLECTIONS ON THE EXPERIENCE OF DRAWING THE AND POLARITY PROBLEM

AND polarity problem: how do we preserve our revered traditions AND modernize?

As I reflect on this unconventional use of drawing, the most surprising thing was how it influenced my thinking – profoundly. In the beginning it was especially hard for me to

bring the crux of my problem into focus. I could feel the tension but couldn't articulate it. Drawing was new to me, it was insightful and a lot of fun – difficult to describe with words, but I'll try. Drawing helped me pinpoint the two competing concepts (preserve versus modernize) of my AND polarity, and then to translate it into an image representing this underlying tension.

Before I started drawing, I thought in a linear way about the progression of the parable. In other words, I was rationally mapping out a story line. I conceptually knew there were two opposing characters with competing views, but I hadn't considered all they would represent. With nothing but a blank slate, I finally began to take pen to paper and draw. And as I dabbled with drawing the two main characters, they began to appear in the form of two leaders committed to the formidable mission of setting the direction of our future. The more I drew them, the more I realized their character was complex and nuanced. Each represented valuable assets of our institutions.

Somehow, the drawing, thinking, and writing of my parable became almost inseparable. As I drew, I thought. As I thought, I re-wrote. As I re-wrote, I re-drew. And back-and-forth this process went. I was totally engrossed; the drawing and the narrative of the parable unfolded together. The relationships and personas of the old man, the adult sculptor, and the young boy emerged from drawing, from moving my pen on paper.

While I was drawing, I felt relaxed. Not because I have a clue about drawing, but in a strange way it felt natural, and I could feel it change my thinking and writing. I would think about the concept, then create an image, which would then either reinforce or challenge my beliefs in an "inner dialogue" of sorts. At times, my drawing hand took the lead as my writing and thinking trailed. And then I would pause, and my writing took the lead.

Although I may not be the greatest artist, the very act of drawing added new interpretations and perspective to my real-world strategic problem. Early on I realized that I was too close to the problem to see it in a new light. Drawing gave me some distance and detachment to see my strategic problem from new angles, while simplifying what I'd been trying to express for months.

And drawing has made all the difference in my ability to communicate this complex issue, leading to a new level of understanding – and comradery. Not only was the parable a playful retelling of my real strategic problem, but I was stunned at how well my primitive drawing captured and conveyed the nuances of the problem. People "got it"!

I gave my best effort to drawing my metaphor, but it is not nearly perfect; through this process, I've realized that it doesn't have to be. Articulating clear connections between my drawing and the strategic problem is much more important than the precise scale of the sculptors to their marble or trying to sketch my wobbly three-legged stool.

My parable started as two opposing concepts, but once I put pen to paper, drawing informed and transformed my metaphor. Drawing turned the concept into something concrete – an image that others understood. Once everyone had a single concept to refer to, a common strategy language was established. Within the context of strategic thinking where I work, one of the biggest challenges is getting people on the same page to understand the real problem and the scope of the strategic intent.

As someone who is expected to operate with speed and accuracy at work, the process of drawing has ironically slowed me down in a way that brings me greater speed and

success. I found that as I was drawing my problem, my team and colleagues from other departments would talk to the metaphor. The drawing became the focal point. The image of the two sculptors carving marble slabs pulled people into the problem with clarity and commitment. They quickly “saw” the broader problem without blame or attack. There was an openness and genuine interest. Although I initially expected my drawing to be laughed at, it was instead accepted and, surprisingly, helped generate unique and constructive conversations.

I grew to understand that drawing a metaphor can bring a group to a baseline understanding quickly and with a lot of laughter. Although it forced me to expand my thinking, drawing and writing the parable was a fun creative outlet that I will welcome in future strategy sessions. It was only after I took pen to paper and took on the messy process that I was able to “see” more of my own hidden assumptions and the overall panoramic view of the problem.

I see drawing as a practical tool to delve into a complex strategic problem. Metaphor is far enough from the real issue that it provides the safety of distance, allowing us to “see” the problem as somebody else’s issue. And the act of hand-drawing pictures broke my habits of thought and opened the door to my a-rational domain – a place that’s intriguing, yet difficult to describe with words, which is precisely the value it adds; a deeply sensory, emotional, intuitive perspective with visual clarity.

The final segment of this leader’s work was a summary of his overall experience written in the form of an interpretive analysis. Box 18.4 provides his concluding thoughts.

BOX 18.4 A LEADER’S INTERPRETIVE ANALYSIS: THE TALE OF THREE SCULPTORS

Structuring my AND polarity, reflecting on surf- and dive-level questions, hand-drawing my metaphor, and engaging in critical dialogue has immensely deepened my understanding of strategic thinking. Every organization, especially those with long lineages, contends with these strategic leadership development challenges of preserving tradition AND modernizing or innovating. Important factors must be challenged, such as the weight of tradition to legacy, past successes, the requirements of developing young adults into educated leaders, and its pedagogy in comparison to the realities of the current world.

After drawing the metaphor and writing the parable, I now know intuitively that we cannot be like statues and assume that tradition or past successes are sound rationales for repeating habits; nor can we assume that the people are simply pieces of rock to be cut. And we cannot assume that the world our leaders are entering is a replica of the pristine environment within our organizations; nor is it the world we reimagine of decades or centuries ago.

We need leaders who are capable of being strategic enough to orient themselves to the end state instead of the process, and continuously chisel their jagged edges along the way. There is always the silent specter of “tradition” in established organizations, but the world is not static, and future leaders will rarely have clear-cut situations in which to work. As a result, it’s easy to look at these traditions or the metrics we measure them by and make invalid decisions. Humans are not scorecards, and the measured traits are not always the ones that matter most.

Within my AND polarity, there is an unresolvable tension between preserving tradition AND modernizing. This tension can be used like a catapult aimed in the direction of the question, “Who is this statue ultimately for?”

There are many reasons why people draw. To create a masterpiece, to illustrate, for therapy, and so forth. In the case of strategic thinking, the purpose of drawing is to bring new light to complex problems. The interplay of drawing-thinking-writing-reflecting is captivating and remarkable. As you read the prior sections, did you notice there is no single “right way” to approach this highly iterative process?

Interestingly, drawing can create a great place to park thoughts that can’t yet find words. It improves focus and expands attention; it highlights concepts and presents new details; and it strengthens divergent thinking and creativity. Additionally, it is an excellent process for presenting different frames of reference and promoting critical dialogue. This drawing process requires a willingness to venture into an open mind with a playful attitude. With practice and patience, it yields richer insights and clarity about complex strategic problems that can only come from tapping your a-rational thinking as well as rational thinking, particularly in times of uncertainty.

Two conventional learning processes

Two more conventional learning processes, which I encourage anyone interested in strategic thinking to use, are action learning and lateral thinking. I recommend these two in particular because they develop critical reflective processes, they are flexible and integrative, and they can be either highly structured and formal or very informal.

Action learning

Essentially, action learning (AL) is an approach consisting of learning and action. Although AL programs vary considerably, according to AL expert Michael

Marquardt of George Washington University, all AL programs comprise six components: problem, group, questions, action, learning, and coach.¹⁵

Reg Revans introduced the concept of AL in the United Kingdom in the 1940s.¹⁶ Since then, there have been many interpretations and variations of AL applications. In a nutshell, AL is a systematic and structured approach to developing cognitive and affective discipline, skills, and thinking habits – essentials for learning to think strategically, because AL assists with learning transfer across contexts.

With regard to strategic thinking, AL integrates informal and formal learning and is an excellent way to establish individual and organizational use of the deeper-dive learning domain for strategic problem solving and decision making. Once initial problems are formulated, there is ample room to uncover patterns of thinking, inferences, and so on. Although the strategic thinking process is complex and dynamic, its components can be structured to a certain extent. AL encourages participants to experiment and make discoveries about their own learning as they embark on solving strategic problems. Furthermore, AL develops a cadre of people who have the capacity to use critically reflective processes in strategic thinking.

Linear and logical critical thinking can be included as a structured part of an AL process as a means of balancing the nonlinear and creative nature of the five essential attributes. Critical thinking establishes a logical chain of reasoning that is useful to unravel assumptions and to test new frames and ways of thinking. In critical thinking, a pattern of reasoning, starting with the basic construct of a reason, leads to a conclusion, and the conclusion is established and elaborated. This process moves toward complexities such as the deconstruction and construction of an argument, where we develop and test hypotheses, analyze assumptions, and evaluate inferences or causal explanations. Fluency and confidence in using critical thinking are necessary for shifting back and forth between dialogue, discussion, and debate, as well as for testing the rational validity of ideas generated using a-rational thinking.

The implementation of AL can vary significantly, depending on a company's specific goals, timeframes, and the individuals involved. What is most important, however, is that strategic imperatives are translated into business initiatives that can drive AL.

Lateral thinking

Lateral thinking (LT) is an approach for strengthening the strategic thinking attributes, particularly imagination, broad perspective, and juggling. I find many of the techniques developed by Edward De Bono, the originator of the concept of lateral thinking, to be helpful for expanding perspectives as well as for identifying dominant ideas. It gives vague ideas definition. Without bringing dominant themes

15 Marquardt, *Action Learning Solving Problems and Building Leaders in Real Time*.

16 Revans, *The Origin and Growth of Action Learning*.

into focus, good strategic ideas often remain stuck, tangled, or oblivious within patterns secured in our old frames.

The technique of lateral thinking can increase the chances for rearranging a pattern, which may in turn generate a strategic insight or innovative ideas. De Bono reminds us: “The more irrelevant such influences are, the more chance there is of altering the established pattern. To look only for things that are relevant means perpetuating the current pattern.”¹⁷

De Bono contrasts two terms: vertical thinking and lateral thinking. While acknowledging that lateral and vertical thinking are complementary, he differentiates the two by noting that vertical thinking is selective, meaning that it excludes other ways of thinking about accomplishing tasks. This vertical method is derived from technical rationality, as we strive to identify the most promising approach to a problem. By contrast, lateral thinking (LT) is generative and openly seeks to include other ways of approaching a problem. The intent of LT is to generate as many alternative approaches as possible, and this divergent aim supports one of the fundamentals of strategic thinking.

Accordingly, De Bono explains, “Lateral thinking is both an attitude and a method of using information.”¹⁸ LT is a kind of nonlinear, a-rational thinking that is concerned with changing patterns. Instead of simply taking a pattern and then developing it, as happens with vertical thinking, LT aims to restructure the pattern by putting things together in a different way. By its very nature, LT is compatible with and supportive of developing adaptive, innovative, and sustainable strategy.

De Bono further notes that, in using lateral thinking, one acknowledges the usefulness of a pattern, but instead of regarding it as inevitable, one regards it as only one way of putting things together. This attitude challenges the assumption that what is a convenient pattern at the moment is the only possible pattern.¹⁹

Since successful strategy is always past tense²⁰ (i.e., it never happens the same way again), LT is enormously relevant and important for learning to think strategically because it emphasizes movement and future.

*Lateral thinking enhances the effectiveness of
vertical thinking by offering it more to select
from.*

In his well-known book *Lateral Thinking*, De Bono explains that the necessity of withholding judgment when using LT is useful in three ways:

¹⁷ De Bono, *Lateral Thinking*, 52.

¹⁸ De Bono, *Lateral Thinking*, 52.

¹⁹ De Bono, *Lateral Thinking*, 229.

²⁰ Sloan, “Learning to Think Strategically.”

To arrange information in a way which would never have come about in the normal course of events; to hold an arrangement of information without judging it; and to protect from dismissal an arrangement of information which has already been judged as impossible.²¹

The ability to suspend judgment is one of the most basic principles of LT, and this ability is one of the fundamental points of difference from vertical thinking. With regard to strategic thinking, LT is useful for generating ideas, while vertical thinking is useful for developing and implementing ideas. LT enhances the effectiveness of vertical thinking by offering it more. The implications for using LT to strengthen the five attributes are obvious, but strategists and facilitators of learning must also be willing to clarify whether the situation calls for strategic planning or strategic thinking – that is, vertical or lateral thinking, respectively.

Adaptation – a strategic expectation

If the aim of good strategic thinking is to create a strategy that is sustainable, innovative, and winning, then by definition, good strategic thinking needs also to be adaptive.

Strategic adaptation is most often about recovery or trying to survive a crisis that has appeared suddenly and that threatens the strategy.

The notion of adaptability is not new, and it is generally not included within a strategic thinking context. As noted in Chapter 2, if we look at strategic thinking from the perspective of complexity theory, it is, first and foremost, about adaptation. And if we recall the ancient Greek notion of strategy, we recognize the implicit reference to the need for adaptive and flexible capability in order to deal with the polarities, uncertainties, complexities, and contradictions inherent in strategy. Drawing on Darwinism, we know that the largest, the strongest, or even the most intelligent of species are not those that survive, but those species that survive are the most adaptable to change.

Strategic adaptation consists of building on what has already been established, while exploring new possibilities in the present to benefit the future. Strategic adaptation, unfortunately, is not all about improvisation and fun. Research shows that strategic adaptation is most often about recovery or trying to survive a crisis that has appeared suddenly and that threatens the strategy.²² This research is

²¹ De Bono, *Lateral Thinking*, 229.

²² Ariely, *The Upside of Irrationality*.

consistent with transformative learning in the deepest level of the dive domain (see Chapter 9).

In his well-researched book, *The Upside of Irrationality*, Dan Ariely notes that:

*Adaptation is a very important novelty filter that helps us focus our limited attention on things that are changing and might therefore pose either opportunities or danger. Adaptation allows us to attend to the important changes among the millions that occur around us all the time and ignore the unimportant ones.*²³

In reference to the starting point of strategic thinking, a Japanese executive explained:

To start, you must have a purpose. Sometimes I start because I'm afraid of something, many times I suppose it's this. (laughter) And you understand that being afraid is a problem. So, in some sense perhaps I start with a problem, and then I just move to different places to look at the problem.

And a Hong Kong technology company COO explicitly stated:

I think I learn as much from things that hurt me as from things that help me – probably more if I take the time to think. It's like you have a net you drag through life. You bring along all your “collectibles,” your experiences, with you. And there are times when they'll help you and times when they'll get in your way. Those are the times you can learn the most from. They're your experiences, and it's up to you what you do with them.

Adaptation is closely linked to reflecting in and on action as a learning process. Reflection in action and reflection on action have become conscious habits over the years for many of the executives I interviewed – both kinds of reflection are habits they learned and valued from their experience. They seemed to be aware of, expect, and trust the chaos, tension, and unexpected elements, and they did not feel compelled to control the disorder. Instead, they accepted anxiety as part of the challenge and expressed both satisfaction and enthusiasm about using reflection in action. Through their experience, they had unknowingly made it part of their strategic thinking processes.

The executives in the study, as so many in my practice, described their ability and confidence to turn an obstacle into a game and a game into a win. They appear to have learned to facilitate their own learning by reflecting on and reframing a challenge until it became a strategic opportunity for them. I continue to be fascinated by accounts of this adaptive process – a continuous and dynamic interplay of the five attributes and the three-stage informal learning process at work.

23 Ariely, *The Upside of Irrationality*, 159.

For example, all three of the executives from a Polish manufacturing company mentioned government interference as a contextual hindrance. They referred with disdain to the degree of involvement of the government, the bureaucracy, the perception that the government's intention was to provide interference rather than support for businesses, the slow pace at which the government moved, and their past experience with punitive governmental powers. Also, the three executives indicated that the government was an "unknown" element, a "factor beyond their control," and an impassioned "source of fire" that appeared to fuel their sense of determination. Incidentally, they had learned to transform the negative factor of government into an element of challenge and a motivator for learning.

The Hong Kong technology executive explained factors that contribute to his being a successful strategy maker:

I think it's a combination of who I am and my luck, honestly. I'm basically a very driven and hardworking guy. I need to really like or be fascinated by what I'm doing – even as a kid I never just did what somebody told me. (laughter) And I like to pretend different things inside my mind. I don't give up easily. (laughter) That's probably a good trait, at least most of the time.

An adaptive strategist is able to respond rapidly and effectively to unexpected events, and can quickly shift from a planned sequence of actions to an alternative that is more appropriate.²⁴ Something I have noticed in my own practice, which was supported by the findings of the study underlying this book, is that successful strategists did not explicitly mention "mistakes" as part of their learning, nor did they respond to probes about the role of "mistakes."

A closer look at this avoidance or omission revealed that the strategists in the study did in fact acknowledge their mistakes, but they did not call them mistakes per se. They tended not to distinguish missteps from experimentation or trial and error. Their descriptions implied, however, that they incorporated learning from these experiences into their continuous cycle of critical reflection and revision during the experience and reevaluation stages of the informal learning process. Also, they used dialogue and storytelling as techniques to test and to preempt errors and to adapt in order to move forward.

One of the financial executives brushed aside the word *mistake* and went on to explain:

I don't really think about mistakes, or I'd just get stuck . . . gotta move forward. It's more like I'm adjusting to things all the time. When things don't work out, that moment becomes part of the new future. It's strange. When this happens, we look again at the data and then we pull apart the analysis. This is the part I really like because I think in a different way. It's the tough part, but I always learn from it. We imagine all these possibilities and make up a lot of stories. Telling stories is good, you know, because they help you

²⁴ Ariely, *The Upside of Irrationality*.

understand what went wrong. And we talk about all kinds of things we have to try. This kind of thing happens all the time; it's just part of learning to make adjustments and it's hard to explain. There are lots of these adjustments that need to be made to strategy, lots of things go wrong. But they're not really mistakes – they're just part of the process.

Successful strategists with whom I have worked invariably exhibit a strong degree of self-reliance. They do not dwell on negatives or obstacles – they expect them and perceive them as challenges and as learning initiatives. Mistakes simply allow them to refocus their attention and force them to see things differently.

An over-reliance on detailed plans and regimented procedures crowds out adaptive potential.

Adaptation is similar in some respects to improvisation. We cannot plan an improvisation – we assess the situation and act or react. Intuition is essential for improvisation. In strategy making, we rely on intuition to decide when to adapt, to determine the degree to which a situation is deteriorating, and to decide which routine or action script we should use to adjust. Furthermore, we rely on our intuition to decide whether or not to trust our adaptation, because the changes we want to make may result in subsequent or even worse problems.

Chaos theory warns that the closer we get to thinking we understand a pattern and believing we can control it, the more likely we are to be surprised and frustrated when it turns out to be quite different from what we imagined. Therefore, strategists must practice thinking that supports dealing with contradictions. Daily life regularly reminds us that our minds and our businesses are not always systems in balance. If we regularly allow our minds to play with highly unlikely possibilities in relation to some pattern or trend, then the future will not come as such a surprise. We will have a large repertoire of experience with such possibilities, which strengthens our intuition and increases the likelihood of adapting.

Details can doom adaptation

Frequently, I find that although regional and country business heads are tasked with strategic responsibilities and are highly committed to developing local strategic thinkers, they nonetheless tend to cancel opportunities for strategic adaptation by creating an over-reliance on excruciatingly detailed plans and procedures among their senior managers. Research has shown that an over-reliance on detailed plans and regimented procedures can diminish adaptive potential.²⁵ An overdependence on plans and procedures actually becomes an impediment and runs counter to

²⁵ Klein, *The Power of Intuition*, 151.

developing strategic thinking capability. Just as an over-reliance on a memorized script can impede improvisation, so too can a meticulously detailed plan derail the ability to think strategically.

In contrast to strategic thinkers, strategic planners often aim to specify every last detail, leaving nothing to chance. Unfortunately, the more details there are, the harder it is to adapt, the more fragile the plans become, and the more susceptible a strategic plan becomes to missing its anticipated outcome. A highly innovative chief strategist of an artificial intelligence (AI) division within an American company candidly expressed his thoughts about how details can derail strategic thinking:

At the start I have to ask myself what is my strategic intent? My role is to lead the strategic thinking process, not plan the minute details – that'll kill my ability to think strategically. Sure, details are important for implementing a strategy, but honestly, it's the easiest part. Focusing on details when your intent is strategic thinking – it's like tripping over all the electrical wires and nails and pipes laying around a house under construction. You'll end up with your nose flat against the floor boards! And you'll lose the broad perspective of not only the house, but of the entire community. Let go of the details and insist on a broad swath of time and space. Fly high.

In their book *Managing the Unexpected*, Karl Weick and Kathleen Sutcliffe discuss three ways that detailed plans can stifle adaptability.²⁶ First, plans make us insensitive to the anomalies that tell us when it is time to adapt, because plans describe what is relevant and what is not. Anything that is irrelevant to the plan does not get much attention. Second, plans may include contingency actions for coping with difficulties, but these contingencies were drawn up in advance and are usually void of context, the constraints, and any new opportunities that tend to crop up the moment the plan is being implemented. And third, plans are designed to have us repeat “optimized” patterns of activity. But high-reliability organizations cope with unexpected events by adapting to circumstances rather than by depending on plans.

Adaptation is not simply building a new strategic plan to replace an old one. Rather, adaptation means modifying a plan that is in progress via a strategic thinking process – like jumping on a moving train or trying to catch a bird in flight. Most often, the plans we develop need to be improved and modified as we learn in action, because businesses compete in a grossly complex, constantly changing, uncertain global context that is saturated with incomplete and inaccurate information. Adapting strategy is much more difficult than planning strategy, because there are innumerable variables, both known and unknown.

Executives often stumble over the paradox that the greater the uncertainty we face when making strategy, the more advantage there is to manage that uncertainty

²⁶ Weick and Sutcliffe, *Managing the Unexpected: Assuring High Performance in an Age of Complexity*.

by planning to adapt. In other words, paying attention to our hunches or our common sense is what is needed. We tend to know intuitively that the more uncertain and unpredictable our strategic environment, the more useless our detailed plans become. Strategic thinking is not about the creation of a static plan but, rather, about setting a dynamic, sustainable thinking process in motion. An important part of facilitating strategic thinking capacity is to create the expectation of adaptation. We need to be strategically adaptive to deal with such a chaotic and unpredictable environment.

Adaptation is a broad and complex process that “operates at deep physiological, psychological, and environmental levels, and it affects us in many aspects of our lives. Because of its generality and pervasiveness, there is also a lot that we don’t yet understand about it.”²⁷

Strategic planning is not the antithesis of strategic thinking; rather, it is complementary to it and needs to be balanced within the overall strategy-making process.

The concept of *bounded rationality* was first introduced by Herbert Simon, who won a Nobel Prize in 1978 for his work on decision making and problem solving. His idea was that there are too many facts and too many combinations of facts for us to make any important decision by simply gathering and analyzing all the facts.²⁸ He found that the more complex the decision, the faster the complications added up, and the more “knowing” how to make a decision in ways other than cognitive sequential analysis became necessary.

We need a method that allows us to make effective decisions in these all-too-familiar strategic situations. Technical analysis and computer models can help, but only by providing a sophisticated synopsis or consolidated information. Given that most global strategy is created under these highly complex circumstances, the decisions we make are connected to many conditions that lack metrics yet weigh heavily on the overall strategic-risk quotient. Therefore, when we consider learning to think strategically, we must pay attention to honing our adaptive capabilities in order to balance our analytical skills.

Strategic adaptation, however, is not always a good idea, and improvisation is not inherently beneficial to strategic thinking. A well-developed intuition allows us to “know” when to change a plan and when to leave it alone. Intuition raises our internal red flags and alerts us to the benefits of taking action and the unintended consequences that arise from adaptations. Our ability to adapt is only as good as our intuition, which is based on our experience.

²⁷ Klein, *The Power of Intuition*, 151.

²⁸ Simon, *Models of Man*.

Strategic planning is not the antithesis of strategic thinking; rather, it is complementary to it and needs to be balanced within the overall strategy-making process. Meticulous attention to detail is imperative to the planning and the implementation phases of strategy. If we expect to adapt our strategy, then we must tacitly accept the unpredictability of strategy and openly try to work with this unpredictability, instead of trying to out-plan it.

Part 7

Summary and questions

Engaging in any form of the arts is highly beneficial to developing the five attributes of strategic thinkers in both direct and indirect ways. Combined with the critical reflective processes, it hones the transfer of learning from one context to another, expands perspectives, stretches our imagination, and offers experience with tension. Furthermore, it develops emotional awareness, supports risk taking, offers firsthand experience with paradox and polarity, and teaches conceptual and complex thinking.

Another decidedly unique advantage is that participating in any of the arts taps into the a-rational mindset, in addition to the rational mind. In “doing” an art form, we slip into a-rational thinking and vacillate between the rational and a-rational as we think “about” the art. With practice, this yields a cognitive agility and fluency that is enormously expansive. Leveraging this can be an invaluable strategic competitive asset for individuals and for an organization.

Three unconventional ways to support the learning of strategic thinking are with AND polarity, metaphor, and drawing. Engaging in these, and particularly, in combination, is highly advantageous to the development of strategic thinking.

What I refer to as AND thinking is a type of polarity thinking that is conducive to dealing with complex and conceptual thinking. The paradoxical nature of many strategic problems requires an ability to identify the AND polarity within the problem and to work *with* the inherent tension, rather than revert to convergent thinking to eliminate the tension. The tension that accompanies AND polarities is beneficial in pushing the limits of what we can conceive as possible. A new concept or innovative breakthrough moment may be forthcoming as the result of grappling with the tension of an AND polarity.

Strategic problems tend to be enormously complex and conceptual, as attested to by the presence of an AND polarity. Drawing and metaphor help us retain the memory of such complex and conceptual problems. Creating and drawing a metaphor that illustrates our strategic problem is an unusually effective way to shift, shatter, and re-frame an issue, and to identify the real strategic problem prior to moving toward a solution. Creating and drawing such a metaphor enables us to

see significant hidden details of the problem that might ordinarily remain oblivious to us. It also allows us to easily broaden or narrow the scope and context of the problem by “zooming in” and “zooming out” through our metaphor and picture. This dual metaphor-drawing process also gives us a place and a process to park thoughts and ideas that may not have words – a very common notion conveyed repeatedly by successful strategists in the study.

Interestingly, such active engagement in drawing and metaphor supports long-term memory retention of both broad concepts and minute details of the strategy problem. Metaphor and drawing spawn a narrative and storytelling, enriching critical dialogue, discussion, and debate. A remarkable “dialogue” between the hand and the mind occurs. It slows down our thinking and sharpens our focus, yet allows us to shift our focus almost effortlessly. This results in a highly iterative cognitive process that enables us to use images and symbols to represent words that have not yet appeared.

Because metaphor and drawing have critical reflective qualities, their benefit when communicating during the strategic thinking process cannot be overstated. These are often underutilized, yet highly impactful types of informal learning that can assist in developing strategic thinkers. Drawing and metaphor in particular activate and assist in visualizing, diverging, and challenging the strategic problem. In turn, this helps integrate the five attributes and can support learning to think strategically.

Action learning and lateral thinking methods also strengthen the critical reflective processes, as well as the five attributes that are required in strategic thinking. Action learning revolves around individuals learning through experimentation and using the critical reflective processes; lateral thinking is about restructuring the problem and viewing it from multiple perspectives.

Given the complex and highly unpredictable nature of our world, strategic thinking must be adaptive. If our intent is to engage in strategic thinking, then we should refrain from becoming too involved with details, as details can inhibit and deter adaptability. Strategic thinking and strategic planning should be complementary. We want to leverage the strengths of each in order to propel an organization toward its strategic aim. Learning to think strategically is not something that can be done overnight. It requires emotional (affective) and intellectual (cognitive) learning, the inclusion of life experiences, the sum of the a-rational and rational mindsets, and adeptness at using critical reflective processes.

Moving beyond convention and into the space of exploring and experiencing metaphor and drawing these nontraditional learning processes can strengthen our ability to think strategically in many ways. There is little risk and the possibility of great return.

- 1 Is there a creative endeavor or a preferred art form that you enjoy or could access as a means to strengthening your own five attributes? How could this support you in becoming a more effective strategic thinker?

- 2 What role does informal learning play in developing all five attributes necessary for strategic thinking?
- 3 Think of a time when you *observed* a performance, museum exhibit, or another artistic event. Think of a time when you *engaged* in a creative endeavor. What was the difference? How did you experience the difference? How is this relevant for learning to think strategically?
- 4 Why is the creation of a pipeline of strategic thinkers across an organization beneficial to the sustainability of an organization's future? How could you support this?
- 5 Can you think of a time within an organization when over-attention to details was responsible for derailing a strategic aim? What factors contributed to this? How could it have been averted?
- 6 Can you think of a current strategic AND polarity where you work? Or one that exists within a familiar company or government organization? How do leaders react to the unbearable tension that is inherent in the AND polarity?
- 7 What can detract from and impede our ability to stay *with* the inherent tension of an AND polarity?
- 8 What is the eventual strategic benefit to organizations whose leaders learn to grapple with the tension of an AND polarity? What suggestions can you offer to entice a team to learn to deal with the tension?
- 9 How is your thinking enriched through the creation of a metaphor? And how is the strategic problem ultimately enhanced through the use metaphor?
- 10 How does drawing your strategic problem strengthen your ability to think strategically? What are some of the main advantages? Identify some of the possible challenges. Why?
- 11 How could you serve as a role model in using drawing to illustrate a complex problem as a metaphor? What are the important aspects of this drawing process? How will you know your drawing has helped to clarify your complex problem?
- 12 Given that drawing is a highly integrative yet unconventional way to strengthen strategic thinking of complex problems, what are some common points of resistance to using it?
- 13 What could you do to encourage colleagues and team members who are hesitant or skeptical about drawing a metaphor of their problem to begin? How could you model the practice of drawing complex problems?
- 14 When you consider drawing an image by hand versus cut-and-pasting an image from the internet, what are some of the distinct differences? How does your strategic thinking benefit from drawing the image by hand?



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Part 8

WHERE DO WE GO FROM HERE?

*Suggestions for learning
to think strategically*

*A man, though wise, should never be ashamed
of learning more, and must unbend his mind.*

– From Antigone by Sophocles (442–42 BC), Greek philosopher



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Where we've come from and where we can go: Some suggestions

Throughout this book, we have encouraged the reader to seek a balance and to integrate opposing and contradictory perspectives, or *metos*. We have followed the swinging pendulum from the ancient Greek concept of strategy, which assumed an unresolvable tension and mutuality between chaos and ordered *cosmos*, all the way over to technical rationality of the modern era, with its obsession on the linear, rational, scientific approach to strategy making. Still, in search of the holy grail for learning to think strategically, we find ourselves at a crossroads, eager to move forward and apply what we have learned.

If we assume, as many organizations do, that human capital is the only true competitive global strategic advantage, and if we also assume that the global reality in which we make strategy promises only to become more complex and challenging, then common sense tells us that we need to make a long-term business investment in strengthening and expanding the strategic thinking capacity within our organizations. Technical rational skills alone will not serve leaders well in the face of complexities that require dealing with polarity tension and unpredictability.

In this Part 8, we include a chapter offering a list of suggestions for individuals, learning facilitators, business schools, and organizations. This is followed by a “cheat sheet” that consolidates the suggestions from throughout the book.

Learning to think strategically is complex and can be enormously challenging – yet paramount among leadership responsibilities. It requires abilities that are not generally taught in formal, traditional strategy courses, but instead are learned informally. Strategic thinking requires experience, and time for critical reflection, critical inquiry, critical dialogue, and commitment to developing the five attributes. This final chapter consists of four subsections, each focusing on suggestions for a particular group: individuals, learning facilitators, business schools, and organizations.

Suggestions for individuals

Individuals can do many things to support the development of strategic thinking. First and foremost, participate in a creative art form – any art form – even if you are not “that type.” Whether you choose piano lessons, painting, carpentry, photography, or cooking, make sure you enjoy it and feel engaged when “doing” it. There is no wrong way to play or improvise – just get started.

Just as with exploring any new skill, sometimes we need a partner, such as a good friend or a coach, who can guide us through critical reflective processes (critical dialogue, critical inquiry, critical reflection) until they become habits. This kind of supported engagement can help with later transfer of learning to a business or government context.

Alternatively, or additionally, we could keep a journal about our experience, tracking our progress, reactions, and observations: what am I doing, thinking, and feeling; what is easy; what is a struggle; what am I noticing about my thinking and my progress? Recall the five attributes and use them as a guide for journal reflections and questions. By drawing parallels (literally and figuratively) about what we are noticing and experiencing in our artistic pursuit, we are laying the foundation for strategic thinking.

In case I lost you back at piano lessons and painting, rest assured that the learning from these types of efforts can be used in a competitive business setting. For instance, as I mentioned earlier, when working with executives to develop a strategy, one of the most valuable exercises I ask of them is to “draw” their strategic problem. Initially, some look at me with comic disbelief, but visualizing a complex and conceptual strategic problem through drawing can produce some terrific “a-ha!s,” amazing clarification, and innovative thoughts.

Similarly, when critical reflective processes are introduced, I find that aspiring strategists often respond apprehensively. They have a sense that critical reflective processes are probably good for someone they know but somehow not appropriate for them. Executives are often ambivalent and nervous about challenging and testing current thinking because this is not accepted within their organizational culture. They are concerned about being ridiculed and afraid that their colleagues will disapprove of their reframing. Again, they tend to like the concept, but would prefer to forgo the experience.

To ease into these difficult learning processes, I find that offering strategists some knowledge of the surf and dive learning domains provides them with a purposeful means of approaching the level of thinking to which they aspire in meetings – and practice nearly always alleviates some of the anxiety associated with the strategic learning process.

Suggestions for learning facilitators

What can be done to support the development of ambitious and aspiring leaders who wish (or need) to learn to think strategically? First and foremost, those

responsible for facilitating learning can create a climate that is conducive to strategic thinking by providing the following:

- *Offer information* about the learning process used for strategic thinking, the role of informal learning, cognitive clusters, intuition, learning domains, transfer, and the role of critical reflective processes.
- *Clearly and explicitly differentiate* between learning strategic thinking and learning strategic planning.
- *Encourage and create sufficient space and time* to critically reflect.
- *Practice critical inquiry and dialogue* so that learners have a baseline, feel confident, and gain experience in using questions, active listening, and dialogue.
- *Ensure that learners are involved in strategy making*, as this is the best way to practice reflection in and on action.
- *Trust* that executives and managers can and do have meaningful learning experiences that transfer and contribute to strategic thinking, and invite them to identify these experiences.

Roles for learning facilitators

The ability to do many things at once has become a way of life for leaders of all organizations. For better and for worse, technology can do an incredible number of remarkable things – sometimes to the point of confusion. As human beings, we often feel pressure to match the performance standards of technology. As we attempt to facilitate learning to think strategically, three main points are useful to keep in mind.

First, remember that from a strategic thinking perspective, successful strategy requires an adaptive stance. Assume that things will continue to change. Keep moving mentally. Avoid relying on past achievements, approaches, or mindsets for future success.

Second, successful strategic thinking requires agility and fluency in using both cognitive clusters: the linear, logical, analytic, convergent cluster, and the nonlinear, a-rational, divergent, intuitive, imaginative cluster. Because the linear, logical side is deeply entrenched already in traditional learning and organizational development practice, sharpen the focus on the nonlinear, a-rational, divergent, intuitive, and imaginative one.

And third, strategic thinking is adaptable, sustainable, innovative, and winning. It requires developing the five attributes (imagination, broad perspective, juggle, no control over, desire to win) and using the informal learning process to ensure the development of these attributes.

So, what does this mean for organizational learning facilitators? This knowledge opens opportunities for organizational learning facilitators to assume any or a combination of the following three roles.

Key strategist

As a partner at all levels of organizational strategy meetings, a key strategist contributes content data and offers a specific perspective. A chief learning officer, for example, has an organizational responsibility to speak directly to the contribution of individual development and to social and strategy dimensions, and to embed challenge into the culture in an effort to create a pipeline of strategic thinkers within the organization.

Concept creator

The concept creator advocates for a process that changes radically the way in which strategy is made. Instead of discussing whether to use an inside-out/outside-in approach or a top-down/bottom-up strategy or structure/infrastructure, concept creators encourage an inclusive, adaptive, nonlinear, divergent, a-rational strategic thinking approach as a genuine concept re-creation.

Process facilitator

Process facilitators often partner with the chief learning officer and organizational learning specialists who support executives and line managers. Process facilitators play a supporting role to those who challenge, revise, and test the data as well as their thinking throughout the strategy-making process.

Techniques for strengthening strategic thinking

The following suggestions provide facilitators of learning with practical techniques for promoting and strengthening the cognitive and affective skills required for strategic thinking. Learning facilitators can strengthen the learning process of strategic thinking by being willing to do the following:

- Give permission to people to act as the contrarian during strategy meetings. Rotate this role until everyone feels comfortable playing this role with everyone else during meetings. Establish purpose, pride, and respect in playing the contrarian role. Rotate people in and out of various groups – allow plenty of opportunities for people to inquire and dialogue.
- Formally teach techniques to ask deep-dive level questions.
- Formally teach and practice debate, discussion, and dialogue. Invite provocative or antagonistic speakers and urge them to shake up the thinking with fresh perspectives and challenges. Bring in outside speakers who have good thinking habits but who come from worlds that are unfamiliar and very different from your own. Listen, reflect, and dialogue about corporate, competitive, public, or political, educational, and social issues and perspectives for the sake of frame change.
- Use metaphors, analogies, fables, and parables as documentation and divergence mechanisms, which enable complex concepts and results to be transferred readily.

- Respect non-work experiences. Learning occurs throughout all activities, not just within working hours or the confines of a workspace or classroom.
- Respect deeper thinking. Doing and action are frequently rewarded, to the exclusion of deeper thinking, which requires time, critical reflection, and inquiry. Observe and listen to the learning that comes from informal opportunities.
- Explicitly recognize and appreciate executives who endorse and practice informal development efforts that focus on critical reflective processes, in order to heighten awareness and identify role models. Such learning creates an everyday environment that is conducive to strategic thinking.
- Think of ways to repeat the things that have worked, and adapt as needed. Pay attention, record, and reflect.
- “Draw” or construct a visual picture of your strategy. Use pens, markers, and objects prior to working on your spreadsheet.

By enabling everyone within the organization to learn a disciplined approach for strengthening the five essential attributes and critical reflective capacity, you can ensure that what emerges will be an informed, innovative, and sustainable strategic pipeline of sorts.

Suggestions for business school curricula

The appeal of business school curricula is that they are essentially a model of pragmatism and technical rationality. This model is also a weakness. The reality of the global business environment in which strategy is made has long ago outgrown this model. If business schools wish to move strategic thinking beyond a hope and a prayer, then the definition of strategy within curricula needs to be expanded to include learning to think strategically, rather than being limited to learning to plan and implement strategically.

Reading and analyzing novels, dramas, painting, photography, films, and music are great ways to learn about basic human nature and context – as it intersects with products and services. This is, after all, what strategy making is all about. Becoming engrossed in a novel or play, creating a complex metaphor, developing a compelling story, or being moved by a particular piece of music is a powerful experience. When we recognize that the strategic problem we encounter has been previously experienced, recorded in various forms, and reflected on by countless generations in various countries, our perspective begins to broaden, our pattern recognition sharpens, and our curiosity grows.

We begin to connect our current situation to that in the play, poem, music, dance, or picture through metaphorical thinking. Also, we gain insight through drawings, stories, paintings, and dramas from which to reflect and diverge. Through critical dialogue, continually, we transfer learning and come to understand how others have dealt with uncertainties, conflict, injustice, paradoxes, contradictions, and risk. This learning process belongs in business school conversations.

Learning is one of the very few business situations in which the process is more important than the result. Learning is the competitive factor that differentiates strategic thinking from strategic planning, namely because of its generative and sustainable nature. Therefore, we want continually to place ourselves in a state of imbalance in order to test and challenge our ability to learn.

*Learning is one of the very few business situations
in which the process is more important than the
result.*

Although I am not advocating for the inclusion of art or music appreciation courses in business curricula, nor is there any reason to eliminate the analytic content from existing courses, I do recommend that attention be given to the flip side of the strategy coin. The five essential attributes and critical reflective processes need to be developed through informal means and also through an instructional approach in order to support the learning of strategic thinking.

There are two popular schools of thought about how to strengthen critical reflective processes. One is that critical reflective processes happen naturally; the second is that they need to be structured. I believe it is important to support the former with the latter if we are to accelerate learning strategic thinking. Business schools can set an expectation for the use of critical reflective processes and also, include the processes in segments that can be practiced (e.g., listening, intuition, critical inquiry, lateral thinking, critical reflection) in a structured format using either an integrated or an isolated instructional approach.

An integrated approach might include incorporating such things as exercises in design, drawing, metaphoric writing, storytelling, and intuition into the content of existing strategy courses. On the other hand, an isolated instructional approach might require a seminar allotted to critical inquiry or a workshop on design or storytelling. Although some business schools are gradually including these, far more could benefit future leaders by doing so.

Although newly minted MBA graduates often are extremely adept at thinking within an analytical frame, I find that often they are not nearly as proficient when required to shift cognitive clusters. Frequently, across the globe, I notice that graduates of MBA programs lack the critical reflective processes and conceptual thinking needed to transfer, shatter, and reframe – precisely what is needed for innovative and adaptive strategic thinking. They are in a quagmire when trying to think strategically, unable to identify what their habits of mind and patterns are and unable to draw from and transfer experience across contexts. Without these capabilities, they cannot imagine and generate truly innovative strategy. Although many young MBA graduates have impressive professional and personal histories, an inability to critically reflect and to use AND polarity thinking impedes their

ability to transfer learning across contexts and diminishes their contribution to the strategy game.

When MBA graduates enter businesses, they typically have a fixed-frame mentality regarding problem solving and decision making. They have learned (quite thoroughly) one way to examine a problem and often assume, falsely, that there is a best solution for each problem. Although this assumption is useful for operational matters and simple problems, it is often counterproductive for the learning process needed in complex strategic thinking. Therefore, business schools could acknowledge and persistently work with both the surf and the dive learning domains across the curriculum, rather than permit the convenient and efficient surf domain of instrumental, transactional learning required in analytical courses.

In referencing the history of strategy, we can see the tremendous and long-lasting impact that the technical rational way of thinking has had on business school curricula. With regard to strategic thinking, the current perception is that many business school curricula are locked into a singular, outdated, analytical mode of thinking. The focus continues with the linear, logical, rational thinking and objective representation taking absolute precedence over anything else. No wonder executives are often disappointed with the inability of experienced and emerging leaders to think strategically – they have simply not been taught. These highly linear, rational skills need to be balanced and blended with learning that requires divergent, nonlinear, a-rational, creative, complex, critical, and conceptual thinking abilities, which are less finite and less concrete.

Suggestions for organizations

Much of what has been outlined previously can also be applied to companies, governments, and other organizations. Strategic thinking is not merely behavioral or skill development; rather, it involves a high degree of complex cognitive and affective abilities. If organizations are serious about developing a pipeline of strategic thinkers that can tackle the most complex and unpredictable problems, then they must foster a culture that includes strategic thinking.

Fostering a culture of strategic thinking

Fostering culture involves addressing all levels of organizational culture. Therefore, organizations that wish to foster a culture that includes strategic thinking must consider all three levels of organizational culture. First, organizations must consider how their so-called artifacts (e.g., enticing chat bots, easy access to paper, whiteboards, play spaces, invitations to explore new interests) can encourage strategic thinking. Are there visible objects, structures, and processes that promote the critical reflective processes, divergent thinking, deep-dive thinking, and

challenging assumptions? Is strategic thinking explicitly included in the organization's value statements?

Second, organizations should consider how their values can support strategic thinking. What do individuals at all levels of the organization value, and does this include strategic thinking? How is the organization rewarding strategic thinking, if at all?

Third, leaders should assess how their own underlying assumptions support strategic thinking – what do they model? For instance, do individuals at all levels of the organization truly feel safe to exhibit the five attributes, or is it simply an espoused value that is not enacted? How do leaders truly feel about individuals who practice strategic thinking?

Techniques for fostering a culture of strategic thinking include the following:

- Create and encourage practice time to critically dialogue during strategy meetings. The aim of such dialogue should be on developing the five attributes of strategic thinkers – imagination, broad perspective, juggle, no control over, and desire to win – and the critical reflective processes. Critical dialogue about problems requiring rational decisions should be differentiated from complex problems needing an a-rational approach.
- Focus on encouraging leaders at all levels to actively participate in creative endeavors (e.g., engaging in any of the arts) and the humanities to strengthen strategic thinking and to transfer learning across contexts. Embed a shared vocabulary and concepts; this can be highly conducive to facilitating meaningful dialogue, which enhances the transfer process. It also sends the message to all members of the organization that it is permissible, safe, and encouraged to engage in activities that strengthen strategic thinking.
- Include concepts related to the strategic thinking attributes within the mission and vision statements to send a clear message that strategic thinking is valued by leadership.
- Establish rewards mechanisms and positive recognition that value purposeful behaviors related to strategic thinking (e.g., challenging and deep-dive questioning).

A “cheat sheet” for individuals and organizations

Tips for individuals

- Instead of saying “no,” ask a question. And then another. And another. Ask questions that move from the surf to the dive level of thinking. To gain a new perspective, invite listeners and questioners who do not know the background, content, or the politics of the strategic issue.
- Take time to write down the feelings attached to your thinking in a journal or log. Over time, journal entries offer data to back up your intuitive sense of a pattern or trend. This journaling helps you to uncover assumptions, highlights traps in your thinking, and gives you confidence in your judgment.
- Critically reflect on things that provoke questions, strong feelings, or ambivalence. Seek out opportunities to practice critical reflection, like arts experiences. Exercise the critical reflective processes and develop the five attributes through creative pursuits.
- Draw or design your strategy ideas instead of writing them. Write or tell parables, fables, allegories, and metaphors that illustrate your assumptions and beliefs about strategy issues.
- Upgrade and diversify the kinds of strategy conversations you have.
- Alternate among dialogue, discussion, and debate. Include dive-level questions.
- Scrutinize the content, the process, and the premise of a strategy matter separately; then, look at connections between and among them.
- Avoid solutions and a quick-fix approach to strategy problems. Instead, hold back and suspend judgment. Deliberately poke around until you find a surprise. Then inquire and reflect on that surprise.
- Show and tell the perspectives and the patterns you see in data. Explain what they mean, might mean, why, and why not. Pointing out patterns can accelerate the discovery process in strategic thinking, because imagining patterns you have not seen is sometimes difficult. Finding patterns will sharpen your focus and attention. Actually, using show-and-tell heightens the creative process and expands the breadth of visibility in strategic thinking.

- Become comfortable balancing data and intuition. Attune yourself to emotions that rise to the surface, and consider many sources of information.
- Slow down, in order to speed up later.
- Relax. Play. Reflect.
- Identify and focus on what you *cannot* control, rather than on what you can control.
- Identify role models who practice strategic thinking. Ask them to articulate their thinking, feelings, and experiences of the learning process.
- Mix up the faces, places, and spaces where you conduct strategy sessions. Change the people and places with whom and where you conduct strategy sessions.

Tips for organizations

- Actively consider how your organizational culture is supporting strategic thinking.
- Shatter the tip-of-the-triangle model of strategy making. Instead, develop strategic thinkers at all levels, all functions, and all locales of the organization.
- Clarify the organizational intent by differentiating strategic planning from strategic thinking.
- Encourage and support activities such as participation in the arts and creative life experiences to develop the five attributes and critical reflective processes. Alternate experiences in the arts with structured or unstructured dialogue and critical reflective development sessions.
- Support and encourage learning processes, such as action learning and lateral thinking, as a means of strengthening the five attributes and transferring experience to a business-strategy context.
- Institutionalize time for reflection. Senior executives should articulate explicitly the value and relation between time, reflection, experience, and learning. Reflection can, and usually does, happen outside of work. What is important is that reflection is acknowledged and established as an expectation, supported with ideas of what reflection looks like, and then embedded into the strategic thinking process.
- Encourage the use of complex metaphor and drawing when dealing with difficult strategic problems.
- Support an awareness of intuition to develop experience and trust among executives as they use intuition as part of their strategic thinking process.
- Talk about situations where critical reflective thinking contributes to strategic decisions about the use/misuse of Gen AI as a way of helping people practice critical reflective processes.
- Do not overestimate the impact of formal learning, just because this type of learning is an organizational habit or because it is convenient to quantify. Informal learning has an important role as well.

- Explicitly recognize informal learning as being valuable to the corporate culture.
- Avoid an obsession with measuring everything. Trust that powerful and significant learning can occur outside the four walls of organizational control.
- Organize “think tanks” across the organization and around the globe (live or virtual). The purpose of “think tanks” is to develop a pipeline of strategic thinkers by strengthening the five attributes and critical reflective processes, not to solve problems. “Think tanks” can become forums to practice and experiment with new processes and an opportunity for senior executives to model and further develop strategic thinking.
- Include junior and mid-level managers in conversations about the strategic-learning process. This inclusion serves as a role-modeling opportunity to learn informally through experience. Junior managers should have access to the experienced senior executives as a learning resource, and they should be supported with adequate time for reflection. This can be a great strategic pipeline builder.
- Establish critical dialogue and inquiry as a management expectation.
- Move lessons learned from the surf domain to the deeper dive domain.
- Share more than transactional, instrumental, and surface questions. Include premise reflection to encourage the affective learning dimension.
- Include the identification of AND polarity and drawing a metaphor of the problem in strategic thinking sessions to ensure you have the real strategy problem. Insist on sufficient time to engage in these exercises.
- Expand the in-company and external groups with whom executives regularly conduct informal dialogue. Use metaphor, narratives, and critical dialogue as an everyday alternative to bullet points and sound bites. The listening required of metaphor, storytelling, and critical dialogue can create enormous tension, which can encourage and enrich reflection and divergent thinking.



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Part 8

Summary and questions

There are many ways to develop strategic thinkers, but there is no prescriptive method that works with certainty for every situation. It is up to individuals and organizations to determine which methods are appropriate and may work best for their circumstance.

Individuals are well advised to learn the difference between strategic thinking and strategic planning, and to delve into the cognitive cluster that supports strategic thinking in particular. As discussed in the previous chapters, engaging in a preferred art form lends a multitude of cross-over benefits.

Learning facilitators can encourage leaders to expand their perspective of strategic problems by enlarging and diversifying the range of frames they choose to include in meetings. They can also support the use of deep-dive-level questions and critical inquiry among leadership. And learning facilitators can underscore the importance of informal and unconventional approaches to learning that give access to the a-rational cognitive cluster, in addition to honing traditional formal learning methods.

Business schools are well advised to continue opening curricula to courses that support the development of strategic thinking, not just strategic planning. By valuing the cognitive cluster that supports strategic thinking, business schools will position future leaders as agile thinkers – adept at AND polarity thinking, the five attributes, and critical reflective processes. In turn this exposure and experience will prepare students with an ability to deal with complex, conceptual, and a-rational thinking in addition to analytical, linear, rational thinking. Significantly different capabilities need to be balanced and blended to lead in our real world of uncertainty and ambiguity and paradox.

Learning to think strategically takes time and commitment. It requires ability and fluency with a kind of thinking that is typically not taught in formal strategy courses. Yet, the types of cognitive capabilities required are heavily reliant on informal learning and are available and largely accessible across the world.

- 1 Individuals: Given your curiosity and commitment to further developing your own strategic thinking, is there an informal, unconventional learning method you could explore and fully engage in? How could you prepare? What could be the most challenging aspect for you? What could be the most rewarding aspect?
- 2 Learning facilitators: When you consider your organization's leadership, what can you leverage to differentiate strategic thinking from strategic planning in practice? What could be potential barriers?
- 3 Business schools: How can you accentuate the necessity of learning to think a-rationally as well as rationally, as a means to preparing leaders in an unpredictable and constantly changing environment? What informal learning can be incorporated? What formal learning can be applied?
- 4 Organizations: What role do leaders play and what role do individuals play in bringing strategic thinking to life within your organization?

Final summary

After centuries of traveling the long and winding roads, practitioners of strategy and scholars alike have acknowledged the uncanny similarities between the current challenges of our global strategy making and those of the ancient Greeks. Although our present-day global strategy context is, in many ways, qualitatively and quantitatively different from that of our ancient predecessors, our context remains as unpredictable, ever-changing, and rife with paradoxes as was the dawn of Western civilization. And while our learning repertoire is more expansive than that of our predecessors, common sense suggests that we can benefit from the knowledge of many previous centuries. As is often the case, this novel teaching turns out to be just a well-forgotten lesson of the past – the old is ever new again.

To promote strategic thinking as a valuable leadership capability, strategy must not be viewed as a product. Innovative, adaptive, and sustainable strategy requires that we exercise, habitually and interminably, a strategic thinking process. Leaders of today must learn to appreciate and embrace the complex tension inherent in learning to think strategically in order to competitively leverage a landscape that is turbulent, unpredictable, and rapidly changing, for the sake of tomorrow.

As noted in the introduction, these chapters have been structured around three key questions: (1) How do successful executives learn to think strategically? (2) What learning approaches are used by successful executive strategists? (3) What factors and conditions are essential for learning to think strategically? My hope is that this book has generated questions in the minds of readers that will inspire practical, original, and informal ways of learning to think strategically – ways that acknowledge and build on the strengths of the learning legacies from the past and that drive us bravely into the future.